First Edition:

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Version: 1.0/ August, 2023

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PREFACE

Welcome to "Direct Tax: A Beginner's Guide to Understanding the Basics." This concise book is designed to provide an accessible introduction to the fundamental concepts of direct taxation. Whether you are new to the world of taxation or seeking a refresher, this guide offers a clear and straightforward overview of key principles. From income tax to deductions and exemptions, we break down complex topics into easily digestible explanations. This book serves as a stepping stone to help you navigate the basics of direct tax, empowering you to make informed financial decisions and ensure compliance with tax laws. Enjoy your journey into the world of direct taxation!

The content development team of KKSL has put in tremendous effort in bringing out this publication and the team looks forward to your valuable suggestions and recommendations for the improvement of this book.

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CHAPTER -1 BASIC CONCEPTS

INCOME TAX IS A FORM OF DIRECT TAX

Direct Tax

When the person on whom incidence of tax falls also bears its impact, it is known as direct tax. Therefore, incidence and impact of tax fall on the same person. e.g. Income Tax and Wealth Tax.

Indirect Tax

When the person on whom incidence of tax falls does not bear its impact, it is known as Indirect Tax. Therefore, incidence and impact falls on two different persons. e.g. VAT, Service Tax and Excise Duty.

Operational System of the Income-Tax Act, 1961

1) **Income Tax Act, 1961:** The Indian Income - tax Act contains the law regarding computation, classification of various incomes. It also contains provisions for assessment of income, filing of appeals and also defines the powers of various income tax authorities. The Income Tax Act exhaustively defines the obligations and remedies of the tax payer.

   Finance Bill and Finance Act: The Income- tax Act is an amending statute. Every year a budget is presented by the Finance Minister in the parliament generally on the last day of February containing the financial proposals of the Central Govt. for the next financial year. One of the components of the Budget is the Finance Bill.

   The Bill contains various amendments which are sought to be made in the direct taxes and Indirect taxes. When the Bill is passed by both houses of Parliament and it receives the assent of the President of India, it is known Finance Act.

2) **Income tax Rules:** The Income Tax Act contains the various provisions of Law for computing income. To give effect to these provisions rules have been framed which are contained in the Income-tax Rules, 1962. These rules are framed by Central Board of Direct Taxes (C.B.D.T) vide power given u/s 295 of the Income- tax Act. These rules contain rates of depreciation, various income tax forms etc.

   Rates of Income-tax: The Income is chargeable to tax at rates depending upon the nature of income and status of the assessee. The rates at which the taxable income is taxed are given in

   A. The Income - tax Act; (eg. Tax on long term capital Gain, Tax on lotteries etc.)

   B. The Finance Act. (Tax at slab rates, surcharge etc.)

3) **CBDT Circulars:** The top Authority for administering the working of the Department is the

Central Board of Direct Taxes (CBDT). The Board may, from time to time, issue such circulars and clarifications to other income tax authorities, as it may deem fit for the proper administration of the Income Tax Act and such authorities and all other persons employed in the execution of this Act shall observe and follow such circulars and clarification of the Board.

The circulars issued by the CBDT are binding of the Income Tax Authorities except the appellate authorities. These circulars and clarification are not binding on the assessee but he can take advantage of benevolent circulars

4) **Judicial Decisions:** The decisions rendered by the appellate authorities are known as judicial decisions. The following are the appellate authorities in the ascending order.
   A. Commissioner of Income- tax (Appeals)
   B. Income Tax Appellate Tribunal (ITAT)
   C. High Court
   D. Supreme Court.

Commissioner of Income - Tax (Appeals) : CIT (Appeals) is the first appellate authority. The first appeal is always filed by the assessee.

Income tax Appellate Tribunal (ITAT) : Income Tax Appellate Tribunal is the second appellate authority. The appeal may be filed to the ITAT either by the assessee or the income- tax department. Decision rendered by the ITAT is binding on all the assessees as well as the Income-tax authorities which fall under their jurisdiction, unless it is overruled by a higher authority. Decision given by the ITAT is final on disputes involving questions of fact and no further appeal lies.

High Court : If the dispute over an issue involves a question of Law, the question of law may be referred to the High court for its decision. Decision given by the High Court is binding on ITAT, all the assessees and the income-tax authorities which fall under its jurisdictions, unless it is overruled by the Supreme Court.

Supreme Court : Decisions given by the Supreme Court becomes the law of the land, binding on all the high Courts, Appellate Tribunal, the income-tax authorities and the assessee.

Section 1: Short Title, Extent and Commencement

- This act may be called Income -tax Act,1961
- It shall extend to whole of India
- It shall come into force on 1st day of April,1962

Section 4: Charge of Income-Tax

- Income Tax shall be charged
- For any Assessment Year
- At rates specified for that assessment year by finance act
- On Total Income
- During Previous Year
- Of any person who is an Assessee

Section 2(31): Person Includes

1) **An Individual:** The word individual includes only natural person's i.e a Human being. E.g male, female, minors, lunatic persons.
2) **A Hindu Undivided Family:**
   - The term H.U.F is not defined under the Income-tax Act.
   - According to Hindu Law, It consists of all persons lineally descended from a common ancestor including their wives and unmarried daughter
   - H.U.F is not formed under any contract but is a creation of Law
   - It is a distinct and separate entity under Income -tax Act
3) **A Company :**

   Sec 2(17): Company means
   - Any Indian company, or Anybody corporate incorporated under the laws of a country outside India, or

   Sec 2(26): Indian company means
   - A company formed and registered under the Companies act,1956, and includes
   - A corporation established by or under a central, state or provincial act Provided that the Registered office/principal office of the above is in India
4) **A firm:**

Sec 2(23) : Firm, Partner and Partnership have the meaning assigned to them in the Indian Partnership Act,1932 and shall include a limited liability partnership as defined in the Limited Liability Partnership Act, 2008; but the partner shall also include any person who, being a minor, has been admitted to the benefits of partnership.

According to Indian Partnership Act, 1932, partnership is relationship between persons who have agreed to share the profits of Business carried on by all or any one of them acting for all.

Persons who have entered into partnership are individually called partners and collectively a firm and name under which business is carried on is called Firms name.

5) An Association of Persons or a Body of Individuals, whether incorporated or not

Association of persons

- The term AOP is not defined under the Income-tax, Act.
- The meaning of AOP can be defined on basis of various judicial decisions
- AOP means an association in which two or more persons join in a common purpose or common action
- Any association of persons does not mean any and every combination of persons. They must come together under a common design or will

The word 'associate' means, according to the Oxford Dictionary, 'to join in common purpose or to join in an action Therefore, an association of persons must be one in which two or more persons join in a common purpose or common action. [CIT v. Indira Balkrishna (SC)]

Body of Individuals

- The term BOI is not defined under the Income-tax, Act.
- The meaning of BOI can be defined on basis of various judicial decisions

The words 'body of individuals' occurring in the Income-tax Act in the definition of the word 'person' in section 2(31), therefore, could only mean a conglomeration of individuals who carry on some activity with the object of earning income. [CIT v. Smt. Vandana Verma]

Differences between AOP and BOI

- AOP consists of combination of Persons eg. Company and Individual, Firm and company etc. whereas BOI includes only combination of Individuals.
- AOP is formed only when there is some common design or will whereas BOI may or may not have such common design or will.

Similarities between AOP and BOI

- Both are to be treated as separate unit of assessment under the Income tax act.
- Tax rates applicable for both are the same

6) A local authority:

- The term Local authority is not defined under the Income-tax, Act.
- According to General Clause Act, It means
  - (a) Panchayator
  - (b) Municipality or
  - (c) Municipal committee having control of Municipal funds or
  - (d) Cantonment Board

7) Every Artificial Juridical Person not falling within any of the preceding sub-clauses

- Any other persons not falling under preceding clauses, which have separate legal entity falls under this clause
- Any income arising to them is also taxable under Income-tax Act.
- For eg. Delhi University, private religious trusts etc.

Special Point :

1. Explanation to Sec 2(31) : AOP or BOI or Local Authority or AJP shall be deemed to be a Person whether or not it is established with the object of deriving Income or profit

Section 2(7): Assessee

Assessee means a person by whom any tax or any other sum of money is Liability as per this Act and includes the following:

(i) Every person in respect of whom any proceeding under the Income-tax Act has been taken

- for assessment of income or
- for determining the loss or
- for determining the refund

Section 2(9): Assessment Year

Assessment Year means the period of 12 months commencing on the first day of April every year. It is, therefore, the period from 1st April every year to 31st of March of next year.

Section 2 (34): Previous Year

Previous year means previous year defined under Sec 3

Sec 3 : Previous year means the financial year immediately preceding the assessment year.

- Income-tax is Liability on the income earned during the previous year and it is assessed in the immediately succeeding financial year which is called an assessment year.
- Therefore, the income earned during the previous year 1st April 2021 to 31st March, 2022 will be assessed or charged to tax in the assessment year 2022 - 2023.

Case where income of previous year is assessed in the same year: As a normal rule, the income earned during any previous year is assessed or charged to tax in the immediately succeeding assessment year.

However, in the following circumstances the income is taxed in the same year in which it is earned:

(a) Non-resident shipping business (Section 172)
(b) Assessment of persons leaving India (Section 174).
(c) Associations/ bodies formed for short duration (Sec. 174A)
(d) Assessment of person trying to alienate his assets with a view to avoid tax (Section 175)
(e) Discontinued business (Section 176)

P/Y for Undisclosed Sources of Income

1. Cash credit [Sec.68] : Where any sum is found credited in the books of accounts of an assessee for any p/y and assessee offers no satisfactory explanation about the nature and source thereof then the sum so credited will be charged to tax as the income of such p/y

Provided that where the assessee is a company, (not being a company in which the public are substantially interested) and the sum so credited consists of share application money, share capital, share premium , any explanation offered by such assessee-company shall be deemed to be not satisfactory, unless

(a) the person, being a resident in whose name such credit is recorded in books of such company also offers an explanation about the nature and source of such sum so credited and

(b) such explanation in the opinion of AO has been found to be satisfactory

2. Unexplained investment [Sec.69]: Where assessee has made investment in a financial year & which are not recorded in the books of accounts and assessee offers no satisfactory explanation about the nature and sources thereof then such investment will be deemed as income of such financial year in which investment are made.

3. Unexplained money [Sec.69A]: Where in any financial year assessee is found to be the owner of money, bullion, jewellery or other valuable article which is not recorded in the books of accounts and assessee offers no satisfactory explanation about the nature and source thereof then money and value of such bullion, jewellery, etc. is deemed to be the income of such financial year in which it is found.

4. Amount of investment not fully disclosed [Sec.69 B]: Where in any financial year assessee has made Investments or is found to be owner of any bullion, jewellery etc. and Assessing Officer finds that the amount expended on making such investments, bullion, jewellery etc exceeds the amount recorded in the books of accounts and the assessee offers no satisfactory explanation about nature or source thereof then such excess shall be deemed to be the income of the assessee for such financial year

5. Unexplained expenditure [Sec.69 C]: Where in any financial year assessee has incurred any expenditure and he offers no satisfactory explanation about the source thereof then the amount of such unexplained expenditure will be deemed to be the income of the assessee of such financial year in which amount was incurred

6. Amount borrowed or repaid on Hundi [Sec.69 D]: Where any amount is borrowed on Hundi or any amount due thereon is repaid to any person otherwise than through account payee cheque then amount borrowed or repaid shall be deemed as income of the person borrowing or repaying of the p/y in which the amount was borrowed or repaid. Further, the amount repaid shall include the amount of interest paid on the amount borrowed. However where any amount borrowed on a Hundi has been deemed to be the income of any person than he will not be again liable on repayment of such amount.

Sec 115BBE: Tax on income referred u/s 68 or 69 or 69A or 69B or 69C or 69D

(1) Where the Total Income of an assessee includes any income referred under above sections, the income-tax shall be payable @ 30%

(2) No deduction in respect of any expenditure or allowance shall be allowed to the assessee under any provision of this Act in computing his income referred under above sections.

1. Sec 2(10) : Average rate of income-tax

Average rate of income-tax means the rate arrived at by dividing the amount of income-tax calculated on the total income, by such total income

Income tax calculated on total income/Total Income x 100

2. Sec 2(29C) : Maximum Marginal Rate

Marginal relief is given to the assessee who has to pay the surcharge. The idea behind the marginal relief is that the increase in tax due to surcharge should not exceed the increase in income. The relief is given to make a balance between the increase in income and increase in tax.

To understand better, take an example of a business firm having turnover more than 50 crores.

Firm ABC make a profit of Rs 1,00,00,000. According to slab rate, the tax would be

30% on 1 crore = Rs 30,00,000

Firm XYZ make a profit of Rs 1,00,10,000. According to slab rate, the tax would be

30% on 1,00,10,000 = Rs 30,03,000

12% surcharge on Rs 30,03,000 = Rs 3,60,360

Total tax = Rs 33,63,360

In this situation the increase in income is Rs 10,000 but increase in tax is Rs 3,63,630, To balance out this, marginal relief is given by the income tax department.

Under marginal relief, the surcharge cannot be more than the increase in income minus tax payable on this income. In above example surcharge would be

Surcharge = 10,000 (increase in income) – 3000 (30% tax)

= Rs 7000

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Computation of Total Income

Step 1: Compute Income from each head after deducting **allowable expenses**

Section 14 : Heads of Income

For purpose of computation of Total Income, Income shall be classified under 5 heads:

1. Income under head Salaries ***(Sec 15 to Sec 17)***

2. Income under head House Property ***(Sec 22 to sec 27)***

3. Income under head Profits & Gains of Business or Profession ***(Sec 28 to Sec 44D)***

4. Income under head Capital Gains ***(Sec 45 to Sec 55A)***

5. Income under head Other Sources ***(Sec 56 to Sec 59)***

Step 2 : Make adjustments **under each head** for

- Clubbing of Income ***(Sec 60 to Sec 65)***

- Set off of losses **(Sec 70 to Sec 80)**

Step 3 : Total of 5 heads is **Gross Total Income (G.T.I)**

Step 4 : Subtract Deductions ***(Sec 80C to Sec 80 U)***

Step 5 : Balance Amount is **Total Income (T.I)**

Sec 288A: Rounding off of Total Income

Total Income shall be rounded off in the multiples of 10 and for this purpose, any paisa shall be ignored and if the last digit is 5 or more, it will be rounded off to the higher multiple otherwise it will be rounded off to the lower multiple.

Relevance of Method of Accounting for Heads of Income

Salaries (Sec 15 – Sec 17)	1. Taxable on **due basis or on receipt basis,** whichever is earlier. 2. Method of accounting is **irrelevant.**
House Property (Sec 22 – Sec 27)	1. Income from house property is **taxable** only on **accrual basis.** 2. Method of accounting is **not relevant.**
Business Income (Sec 28- Sec 44)	1. U/s 145 assessee may follow either **Cash or Mercantile system** of accounting **regularly employed** by the assessee. 2. **Exceptions:** Certain payments are allowable only on actual payment basis. a. Certain expenses on actual payment basis u/s Sec 43B b. Telecommunication Licence u/s 35ABB c. Preliminary Expenses u/s 35D d. Amalgamation / Demerger Expenses u/s 35DD.

	e. Amount in connection with Voluntary Retirement Scheme u/s 35DDA.
Capital Gains (Sec 45 – Sec 55A)	1. Income from capital gains shall be taxable during **previous year in which Capital Asset is transferred (i.e) year of accrual.** **Exceptions : In following case, receipt basis is applicable** a) Destruction of Capital Asset u/s Sec 45(1A) b) Conversion of Capital Asset u/s Sec 45(2) c) Compulsory acquisition of Capital Asset u/s Sec 45(5) d) Liquidation of company u/s Sec 46(2) 2. The method of accounting is not relevant for taxing the income under the head capital gains.
Other sources (Sec 56 to 59)	U/s 145 assessee may follow either on **Cash or Mercantile system** of Accounting. **Exceptions :** Casual incomes is taxable on receipt basis

TAX RATES OF INCOME TAX (ASSESSMENT YEAR 2020 – 2021)-Old Regime

Nature of Person	Exemption Amount	Rates of Income Tax	Surcharge
1. **INDIVIDUAL** *(Other than 2 & 3 below)*	**2,50,000**	**Total Income** — **Rate** 0 – **2,50,000** : NIL above 2,50,000 upto 5,00,000 : 5% above 5,00,000 upto 10,00,000 : 20% above 10,00,000 : 30%	**Total Income** — **Rate**
2. **Senior Citizen** *(Resident in India & atleast 60 yrs but less than 80 yrs any time during p/y 16-17)*	**3,00,000**	0 – **3,00,000** : NIL Above3,00,000 upto 5,00,000 : 5% above5,00,000 upto 10,00,000 : 20% above 10,00,000 : 30%	0-50 Lacs : NIL 50 Lacs < upto Rs.1 crore 10% > 1 crore : **15%**
3. **Very Senior Citizen** *(Resident in India & atleast 80 yrs any time during p/y 16-17)*	**3,00,000**	0 – **5,00,000** : NIL Above 5,00,000 upto 10,00,000 : 20% above 10,00,000 : 30%	

TAX RATES OF INCOME TAX (ASSESSMENT YEAR 2021 – 2022)-New Regime

Income Tax Slab	New Regime Income Tax Slab Rates for FY 2020-21 (Applicable for All Individuals & HUF)
Rs 0.0 – Rs 2.5 Lakhs	NIL
Rs 2.5 lakhs- Rs 3.00 Lakhs	5% (tax rebate u/s 87a is available)
Rs. 3.00 lakhs – Rs 5.00 Lakhs	
Rs. 5.00 lakhs- Rs 7.5 Lakhs	10%
Rs 7.5 lakhs – Rs 10.00 Lakhs	15%
Rs 10.00 lakhs – Rs. 12.50 Lakhs	20%
Rs. 12.5 lakhs- Rs. 15.00 Lakhs	25%
> Rs. 15 Lakhs	30%

Surcharge applicable as per tax rates below in all categories mentioned above:

- 10% of Income tax if total income > Rs.50 lakh
- 15% of Income tax if total income > Rs.1 crore
- 25% of Income tax if total income > Rs.2 crore
- 37% of Income tax if total income > Rs.5 crore

Sec 87A: Rebate of Income Tax

- **Individual Resident** in India,
- whose **Total Income** is upto Rs. 5,00,000,
- shall be allowed a rebate,
- from income-tax of
- **100% of Income Tax or Rs. 12,500**, whichever is less.

Note:- An additional 4% Health & education cess will be applicable on the tax amount calculated as above

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Particulars	Existing / Old regime Tax rates	New Regime Tax rates
Company opts for section 115BAB (not covered in section 115BA and 115BAA) & is registered on or after October 1, 2019 and has commenced manufacturing on or before 31st March, 2023.	–	15%
Company opts for Section 115BAA , wherein the total income of a company has been calculated without claiming specified deductions, incentives, exemptions and additional depreciation	–	22%
Company opts for section 115BA registered on or after March 1, 2016 and engaged in manufacture of any article or thing and does not claim deduction as specified in the section clause.	–	25%
Turnover or gross receipt of the company is less than Rs. 400 crore in the previous year 2018-19	25%	25%
Any other domestic company	30%	30%

Surcharge applicable for companies is as below:

- 7% of Income tax where total income > Rs 1 crore
- 12% of Income tax where total income > Rs.10 crore
- 10% of income tax where domestic company opted for section 115BAA and 115BAB

Note:- An additional 4% Health & education cess will be applicable on the tax amount calculated as above

Income tax rate for Partnership firm or LLP as per old/ new regime.

A partnership firm/ LLP is taxable at 30%.
* 12% Surcharge is levied on incomes above Rs 1 crore. Health and Education cess at the rate of 4 %
Note- There are no concessional rates introduced for firms / LLPs in nex tax regime

Note:- An additional 4% Health & education cess will be applicable on the tax amount calculated as above

288B : Rounding off of Tax Liability

Any amount payable & refundable, shall be rounded off to nearest multiple of ten rupees & paise shall be ignored and thereafter if such amount is not a multiple of ten, then, if the last figure in that amount is five or more, the amount shall be increased to the next higher amount which is a multiple of ten and if the last figure is less than five the amount shall be reduced to the next lower amount which is a multiple of ten.

CPETER – 2 RESIDENTIAL STATUS

Need to Determine Residential Status

- A person may earn incomes from various sources. These sources may be in India or or outside India. Similarly the person earning such incomes may be an Indian Citizen or foreign Citizen.
- Income tax act neither say that Indian Citizens will pay Income tax nor does it says that only Indian Income will be taxable.
- Taxability Under Income Tax act depends upon **Residential status** of the assessee i.e whether he is a resident or nonresident in India during the **previous year**

Determination the Residential Status of an Individual

An individual may be a :
(a) Resident in India or
(b) Non-resident in India.

Individual is said to be Resident in India during a Assessment year if [SEC 6(1)]

He satisfies **any one** of the following **two basic conditions**:

1st condition: He is **IN INDIA** for a period of **182 days or more** in the **relevant previous year**

OR

2nd condition: He is **IN INDIA** for **60 days or more** during the **relevant previous year**

AND

Has been in India for **365 days or more** during **four previous years immediately preceding the relevant previous year.**

Individual is said to be Non-resident in India if
He does not satisfy either condition **1** or **2**

Special Points:

1. In computing the period of stay in India, it is not necessary that the stay should be for a **continuous period**. e.g. if an assessee is once present in India during the relevant previous year say for 120 days & then again for 90 days ,he will be satisfying the requirement of 182 days presence.
2. It is also not necessary that the stay should be only at one place. It can be at **different places** in India
3. While calculating the presence of 182 days or more, both day of arrival and day of departure should be included. But if information regarding hourly entry and hourly exit in the same previous year is also available, then a total of **24 hours will be taken as one day**.

4. India means : **Sec 2(25A)**
   - Territory of India ,
   - Its territorial waters,
   - Seabed and subsoil underlying such waters,
   - Continental shelf,
   - Exclusive economic zone and
   - Air space above its territory and territorial waters.
5. Only physical presence of assessee is relevant. His position of assets in India & residential status of family members is not relevant

Exceptions to 2nd basic condition

Under the following three cases, **2nd Basic condition is not applicable**. i.e an Individual will be resident in the following cases if he is in India for atleast 182 days in the previous year. The second condition of 60/365 days will not be applicable.

CASE 1:

- Individual, who is a **citizen of India**
- Who **leaves India** in any previous year
- For the purpose of **employment outside India**

Special point : If a person goes outside India for **business purpose** or **for training** or on **foreign tour or education purpose or temporary transfer** etc. then in such case second Basic condition **will be also be applicable**

CASE 2 :

- Individual, who is a **citizen of India**
- And also **crew member** of an **Indian ship**
- Who **leaves India** in any previous year

Special point :

- **Individual, being a citizen of India and**
- **a crew member of a foreign bound ship leaving India,**
- **period of stay in India shall,**
- **in respect of such voyage,**
- **be determined in prescribed manner and conditions.**

The numbers of days of stay in India for such person shall not include the days from the start date of the Continuous Discharge Certificate and ending on the end date of this document, as signed off on this document.

CASE 3 :

- Individual who is a **Citizen of India** or is a **Person of Indian origin**,
- Who being outside India,
- **Comes on a visit to India** in any previous year.

Special Point:

- A person is said to be of Indian origin if he or either of his parent or any of his grand parent was born in **Undivided India.**
- If a person comes to India for **permanent settlement** than 2nd basic condition **will be applicable**

An Individual cannot simply be called a Resident in India

If he is a Resident in India, we have to further determine whether he satisfies conditions of Sec 6(6) :

An Individual is Resident & Not Ordinarily Resident RNOR during a previous year if {Section 6(6)}

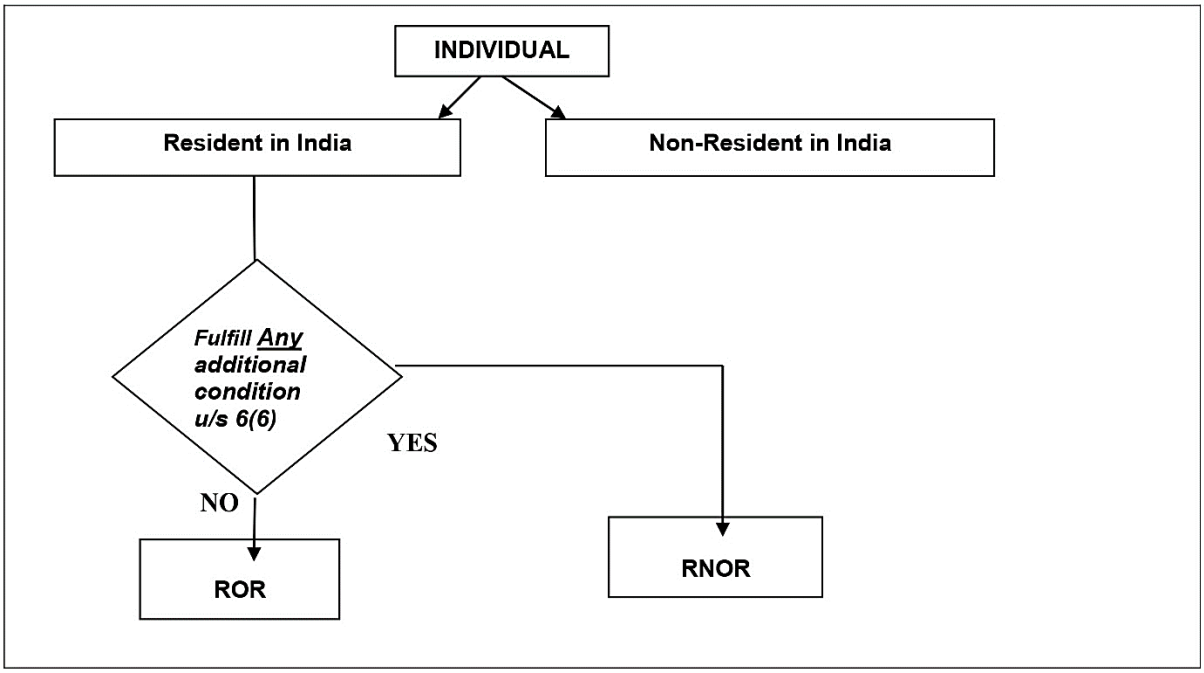
He satisfies either of the following additional conditions:

1st condition: He has been in India for 729 days or less, during 7 previous years immediately preceding the relevant previous year. OR

2nd condition: He is Non Resident in India for at least 9 out of 10 previous years immediately preceding the relevant previous year.

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Individual is said to be Resident & Ordinarily resident (ROR) in India during a previous year if He does not satisfies Either of Additional conditions



Residential Status of Hindu Undivided Family (HUF) [Section 6(2)]

HUF is said to be a resident in India during a previous year if

Any part of the control and management of its affairs is **situated in India** during the relevant previous year

HUF is said to be a Non-Resident in India during a previous year if

No part of the control and management of its affairs is **situated in India** during the relevant previous year

HUF is resident and ordinarily resident during a previous year if [Section 6(6)]

The **Karta/Manager** of the HUF satisfies **both** the following conditions:

(a) He must be resident in at least two out of ten previous years immediately preceding the relevant year

And

(b) He must be in India for at least 730 days during 7 previous years immediately preceding the relevant previous year.

HUF is said to be resident but not ordinarily resident during a previous year if

The **Karta/Manager** of the HUF satisfies any one and not both of the above conditions.

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INDIAN INCOME VS FOREIGN INCOME

Particulars		Due	Received	Type of Income
Sale in Delhi	Sale price received in Delhi	India	India	Indian Income
Sale in Delhi	Sale price received in USA	India	Outside India	Indian Income
Sale in USA	Sale price received in Delhi	Outside India	India	Indian Income
Sale in USA	Sale price received in USA	Outside India	Outside India	Foreign income

Sec 5: Scope of Total income on Basis of Residential status

	Particular of income	Indian /Foreign Income	ROR	RNOR	NR
1	Income due in India (whether Received in India or outside India)	Indian Income	Taxable	Taxable	Taxable
2	Deemed Incomes u/s 9	Indian Income	Taxable	Taxable	Taxable
3	Income due outside India & received in India	Indian Income	Taxable	Taxable	Taxable
4	Income due outside India and received outside India				
	-From Business/profession set up in India	Foreign Income	Taxable	Taxable	Not Taxable
	-From any other source	Foreign Income	Taxable	Not Taxable	Not Taxable

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CHAPTER – 3 HEAD SALARIES

Employer & Employee Relationship

- Relationship between employer and employee should be of Master and Servant
- Employer (Master) directs what & how the work is to be performed.
- Employee (Servant) is bound to follows the instructions i.e. he has no free will
- Any benefit (cash or kind) received by employee from employer, will always be chargeable under head salaries

Special Point:

1. A member of Parliament (M.P) or of State Legislature (M.L.A) is not treated as an employee of the Government. Salary and allowances received by him are, therefore, not chargeable to tax under the head salaries but under the head Income from other sources
2. Remuneration by Partner of a Firm: Any form of remuneration received by a partner from his firm will not be chargeable to tax under salaries but under head P/G/B/P.
3. Director of a Company: Ordinary director is generally not an employee therefore his remuneration will be chargeable under head Other Sources or P/G/B/P, as the case may be. If Director is an employee e.g. managing director, then his remuneration will be chargeable under head Salary

Section 15: Basis of Charge

Following income shall be chargeable to tax under the head salaries

a) Any salary due from an employer or a former employer to an assessee in the previous year, whether paid or not;
b) Any salary paid to him in the previous year by or on behalf of an employer or a former employer, though not due or before it became due to him;
c) Any arrears of salary paid to him in the previous year by or on behalf of an employer or a former employer, if not charged to income tax for any earlier previous year.

Explanation: Where any salary paid in advance is included in the total income of any person for any previous year it shall not be included again in the total income of the person when the salary becomes due

CONCLUSION

Method of accounting of employee has no relevance while computing taxable salary income
Salary is chargeable to Income Tax on RECEIPT or DUE BASIS, whichever is earlier

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Special Points:

However following are taxable on Receipt basis

1. **Arrears of Salary:** If not charged to tax in an earlier previous year, taxable in previous year of receipt. *[However assessee can claim relief u/s 89(1)]*
2. **Advance Salary:** Will be taxable first in the previous year of receipt and therefore not taxable in the previous year in which it becomes due. [However assessee can claim relief u/s 89(1)]

COMPUTATION OF INCOME UNDER HEAD SALARY

Step 1: Calculate GROSS SALARY

(Gross salary includes various elements of salary u/s 17 after allowing exemptions available against them)

Step 2: Allow deductions u/s 16 (ii) & (iii)

Step 3: Step 1 – Step 2 is Income taxable under head Salary.

Section 17(1): Salary Includes

a. Wages;
b. Any Annuity or Pension;
c. Any Gratuity;
d. Any fees, commission, perquisites or profits in lieu of salary or wages;
e. Any advance of salary;
f. Any payment received by an employee for any period of leave not availed by him;
g. The annual credit to employee account in a Recognised Provident Fund, to the extent to which it is chargeable to tax;
h. Transferred balance of an employee participating in a Recognised Provident Fund, to the extent it is chargeable to tax;
i. Contribution made by Central Govt. or any other employer to account of employee under a pension scheme referred u/s. 80CCC

DEDUCTIONS FROM GROSS SALARY

Section 16(i) Standard deduction

As per A. Y. 2020-21 flat deduction of Rs. 50,000

Section 16(ii) TREATMENT OF ENTERTAINMENT ALLOWANCE

It is first included in the gross salary (ignoring the amount of deduction available) & then a deduction is available u/s 16(ii)

The deduction available is calculated as under:

In case of Government employees i.e. employees of Central & State Govt.

The deduction from gross salary shall be the minimum of the following three amounts:

I. Actual entertainment allowance

II. Rs. 5,000

III. 20% of basic salary.

In case of other employees

Deduction on account of Entertainment Allowance is NOT ALLOWED

Special Points:

- Salary for this purpose is basic salary only. That means all allowances; commissions & perquisites will have to be ignored.
- Actual expenditure incurred by an employee for entertainment purpose is not relevant. Deduction is to be calculated only as per above-mentioned provisions.

Section 16(iii): TAX ON EMPLOYMENT

Employment/professional tax paid in allowed as deduction in the Previous Year of Actual Payment

Special point:

- The constitution has given powers to state Govts to levy tax on profession, trade, employment .Such tax payable by a person cannot exceed RS. 2500 pa.
- If professional tax is paid by the employer, then first it will be included in employee Gross salary as a perquisite, being a monetary obligation of the employee fulfilled by the employer. And then deduction will be allowed to employee u/s 16(iii)

BASIC SALARY / PAY

Basic salary/pay is minimum remuneration payable on monthly basis in money terms. It is the base on which all the other benefits like allowances and perquisites are decided by the employer. It is fully taxable.

WAGES

- Wages generally relate to manual work, whereas Salary relate to non-manual work.
- Wages can be hourly wages, daily wages, monthly wages, piece rate wages etc.
- From point of view of tax, wages are treated just like salary and, therefore wages is also taxable under head salary.

BONUS

- Bonus can be of different types. It can be based on performance, fixed or can also be paid on certain occasions eg. Diwali etc.
- All types of Bonus are fully taxable.
- Bonus is taxable on receipt basis. Therefore, it will be included in the gross salary only in the previous year in which the bonus is received.

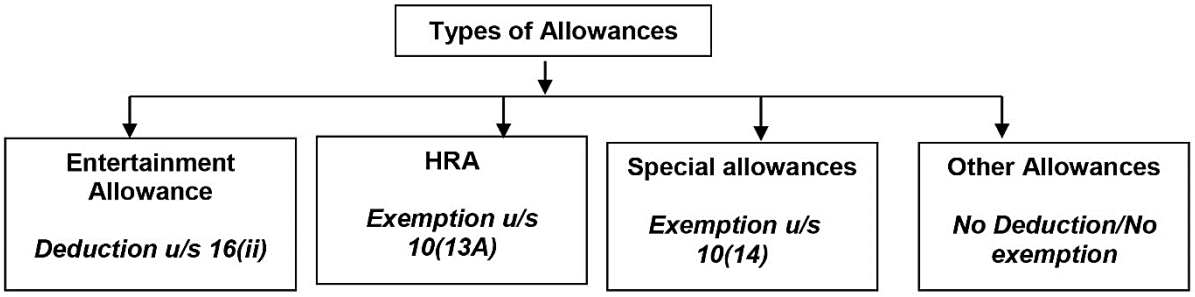
COMMISSION

- Any commission payable by employer to the employee is fully taxable as salary.
- Commission payable can be a fixed sum e.g. Rs.600 p.m., Rs.5000 p.a. & like that. It can also be on percentage basis like 3% of turnover achieved or say 2% of net profits of the company etc.
- All types of commissions including purchase commissions are fully taxable.

ALLOWANCES

What is an Allowance?

Payments in cash made by the employer to his employees monthly, other than basic salary, are called an allowance. It is a fixed sum of money paid regularly in addition to salary for the purpose of meeting some particular expenditure(whether personal or official) of an employee.



HOUSE RENT ALLOWANCE [SECTION 10(13A)]

House rent allowance is given by employer to the employee to meet the expenditure in respect of residential accommodation occupied by the employee

H.R.A to be included under head Salary = HRA received less exemption u/s 10(13A)

Exemption u/s. 10(13A):

Minimum of following is exempt

1. Actual HRA
2. Rent paid less 10% of Salary
3. 50% of Salary : If rented accommodation in Delhi, Mumbai, Kolkata, Chennai ; 40% of Salary : In other cities

SPECIAL POINTS:

- Meaning of Salary : As per Income Tax Act
- Period of Salary: Salary is to be taken on due basis for period during which the accommodation is taken on rent by the employee in the previous year e.g. if house is taken on rent by assessee only for eight months during the previous year, salary will be taken only for eight months.
- As Salary is to be taken on due basis, the salary of any other period is not to be included by the employee even though it may be received and taxed during the previous year.
- No exemption of HRA if:
  a) Employee living in his own house or at other place with no rental obligation or
  b) Rent paid is up to or less than 10% of salary.

SPECIAL ALLOWANCES [Sec. 10(14)]

All the special allowances can be divided into two categories as follows

Section 10(14)	
- Prescribed allowances u/d. **Rule2BB (1)** - Granted to meet official expenses **Exemption :** Actual amount of allowance **or** **Amount Spent for official purpose** whichever is less	- Prescribed allowances u/d. **Rule 2BB(2)** - Granted to meet personal expenses **Exemption:** Actual amount of allowance **or** **Specified Limit** whichever is less

Allowance specified under rule 2BB(1)			**Allowance specified under rule 2BB(2)**		
1	**Travelling Allowance**	Allowance to meet cost of travel on tour **or** on transfer	1	**Children Education Allowance**	**Rs. 100/- pm per child** (max. 2 child)
2	**Daily Allowance**	Granted to meet ordinarily daily charges on tour **or** on transfer	2	**Hostel Expenditure Allowance**	**Rs.300/- pm per child** (max. 2 child)
3	**Conveyance Allowance**	Granted to meet expenditure on conveyance for office duty provided free conveyance is not provided by the employer	3	**Tribal Area Allowance**	For employees working in Madhya Pradesh, Tamilnadu, U.P,Bihar, karnataka, Tripura, Assam, West Bengal, Orissa **Rs. 200/- pm**
4	**Helper Allowance**	expenditure on helper where helper engaged for			

		performance of office duty			
5	**Academic Allowance**	Granted for encouraging Academic, Research & training in Education & Research Institutions	6	**Underground Allowance**	Employee working in unnatural climate in underground mines **Rs.800/- pm.**
6	**Uniform allowance**	Granted to meet expenditure on purchase or Maintenance of uniform for office	7	**Counter Insurgency Allowance**	**For armed forces Rs.3,900/- pm**
			8	**Island duty allowance**	**For armed forces** working in Andaman & Lakshadweep islands **Rs.3250/-Pm**
			9	**High altitude allowance**	**For armed forces** 9000 to15000 ft : Rs.**1060 p.m** Above 15000 ft : Rs.**1600 p.m**

Other Allowances are fully taxable

- Dearness Allowance/Pay
- City Compensatory Allowance
- Medical Allowance
- Lunch/ Tiffin Allowance
- Overtime Allowance, Night shift allowance
- Servant Allowance etc.

Allowances Received By Below Are Fully Exempt

- Citizen of India who is a Govt. Employee for services outside India Sec. 10(7)
- High Court /S.C Judges
- UNO Employees

PERQUISITES: [Sec17 (2)]

The term 'perquisite means any benefit, attached to an office or position in addition to salary or wages

- Perquisite denotes a personal advantage. For example, if an employee is provided with a servant only for helping him in official duties, it is not a perquisite, as there is no personal benefit to the employee. But if the same servant helps the employee in his domestic obligations only. Then it is a perquisite, being a personal advantage.
- Perquisite can be given in cash or kind. If it is given in kind it should be capable of being measured in terms of money. Reimbursement of any expenses incurred by the employee, in cash, is also treated as perquisite and not allowance.

- Perquisites received from a person other than an employer is taxable under the head Profits and gains from business or profession or Income from other source, as the case may be.

Sec 17(2): Perquisites includes:

1. Value of Rent Free Accommodation PROVIDED to the employee by his employer
2. Value of Concessional accommodation PROVIDED to employee by his employer
3. Sum PAID by employer for meeting Employee obligation
4. Sum PAYABLE by employer for employee Life insurance or for Contract of annuity
5. Value of prescribed fringe benefit or amenity
6. Value of any specified security or sweat equity shares allotted directly or indirectly, by the employer, or former employer, free of cost or at concessional rate to the assessee
7. Amount of any contribution to an approved superannuation fund by the employer in respect of the assessee, to the extent it exceeds 1,50,000/-;
8. Value of any benefit or amenity Provided free of cost or at concessional rates (Taxable for Specified Employee only)

1st PERQUISITE: RENT FREE ACCOMMODATION

Provided to the employee or to any member of his household will be taxable in the hand of the employee

Member of household

- Spouse(s),
- Children& their spouses ,
- Parents,
- Servants &
- Dependants

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Valuation of perquisite is done as follows :

Central/State Govt. Employee		
Unfurnished Accommodation	***Furnished Accommodation***	
(A)	***Other than in a Hotel***	***In a Hotel***
License fees determined by Central/State Govt.	Value as per **(A)** **Add** : 10% p.a of actual cost of furniture etc **(if owned)** **or** Actual hire charges **(if hired)**	**24% RFA Salary** **or** Actual charges paid/payable to hotel by employer **Whichever is less.**

Other Employee			
Unfurnished Accommodation		**Furnished Accommodation**	
(B)	**(C)**		
If Owned by employer Population ***(as per 2001 census)*** of city in which house provided / **RFA salary** Upto 10 lakhs / **7.5%** More than 10 lakhs but upto 25 lakhs / **10%** More than 25 lakhs / **15%**	***Not owned (e.g Rent or lease)*** Rent paid / Payable by employer ***or*** **15%** of **RFA salary** ***Whichever is less.***	**Other than in Hotel** Value **(B)** or **(C)** **Add :** 10% p.a of actual cost of furniture etc ***(if owned)*** ***or*** Actual hire charges payable ***(if hired)***	**In a Hotel** Same as for Govt employee

Special Points

1. Salary for the purpose of Rent free accommodation (RFA SALARY)

Inclusions:

1. Basic Salary
2. DA/DP (if for retirement benefits)
3. Bonus & commission
4. Taxable portion of allowances
5. Other monetary payments (Excludes lumpsum payments at the time of leaving the service like Gratuity, Leave salary, VRS etc.)

   - Salary to be taken on DUE BASIS during period for which accommodation occupied by employee. Thus advance salary or arrears of salary, though taxable during previous year are to be ignored.

   - Salary to include salary from more than one employer during above period

Exclusions:

1. Employer contribution to Provident Fund
2. Perquisites u/s. 17(2)

2. No perquisite if accommodation provided in a Hotel for period upto 15 days & provided on transfer of employee from one place to another

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3. If New Accommodation is provided on transfer while retaining Old Accommodation. For First 90 days : Accommodation having lower value shall be taxable After 90 days : Both Accommodation shall be taxable
4. Accommodation includes a house, flat, farmhouse, accommodation in a hotel, motel, service apartment, guesthouse, caravan, mobile home, ship.
5. Hotel includes licensed accommodation in the nature of Motel, service apartment or guest house.

2nd PERQUISTE: SUM PAYABLE FOR LIC OR ANNUITY OF EMPLOYEE

- Sum Payable by the employer
- for Life Insurance Policy or Annuity policy taken by him
- for the benefit of the employee
- is a perquisite in the hand of the employee

3rd PERQUISITE: FRINGE BENEFITS OR AMENITY

Fringe benefits or amenity provided to employee or member of household is taxable in hands of the employees It includes the following benefits

a) Interest free/Concessional loans
b) Use of movable assets
c) Transfer of movable assets
d) Travelling, Tour, Accommodation & Other Expenses Paid or Reimbursed by Employer
e) Free Meals, Tea & Snacks
f) Gift, Vouchers or token
g) Expenditure on Credit Card
h) Club membership & Club Expenses
i) Other benefits

a) Interest Free or Concessional Loans made available by Employer

If a loan (interest free or at concessional rates) is made available by employer to employee or to any member of his household, such will be a perquisite chargeable to tax

The valuation of perquisite is done as follows

Step 1: Determine Maximum outstanding monthly balance of the loan on the last day of each month

Step 2: Find out rate of interest charged by State bank of India for similar loan on the 1st day of the previous year in which such loan is given

Step 3: Determine interest for each month on the above rate applied on balance determined under step 1

Step 4: Total of step 3 is the value of the perquisite

If however, some interest is charged from employee, reduce such rate from the SBI rate

Advance salary & Advance against salary

Advance salary is taxed as per section 15 on receipt basis. If any salary paid in advance is included in the total income of any person for any previous year it shall not be included again in the total income of the person when the salary becomes due.

Advance against salary is not considered to be income rather it is a loan. However, loan involves valuation of perquisite with respect to interest free loan i.e. from the date the loan is given to the date it is repaid, the employee shall be subject to perquisite u/s section 17(2) & Rule 3.

b) Use of Movable Assets

Laptop/Computers	**Exempt** as per Rule 3
Telephone including mobile	**Exempt** as per Rule 3
Motor Cars	**Taxable** under Perquisites for ***Specified Employees***
Other Movable Assets	If **owned** by employer **: 10% p.a of original cost** In other cases : **100% of hire charges** payable by employer for such assets

Special Point:

- As per ***circular no. 15/ 2001***, use of an asset which is older than 10 years shall be exempt from tax.
- The taxable amount shall be reduced by amount *recovered from employee* against this facility.

c) Sale of Movable assets belonging to employer to employee/ household member

COMPUTER & ELECTRONIC ITEMS	MOTOR CAR	OTHER MOVABLE ASSETS
Actual cost to Employer **Less :** **50%** reduction on **WDV basis** (for each completed year asset **used by employer**) **Less :** Selling Price	Actual cost to Employer **Less :** **20%** reduction on **WDV** basis (for each completed year asset **used by employer**) **Less :** Selling Price	Actual cost to Employer **Less :** **10%** reduction on **SLM** basis (for each completed year asset **used by employer**) **Less :** Selling Price

Special Point:

- Complete year here does not mean either calendar year or financial year. It means complete 365 days
- As per clarification by **circular no. 15/2001** electronic gadgets in this case means the data storage and handling devices like computer, digital diaries and printers. They do not include household appliances like washing machines, micro-wave ovens, mixers, TV etc.

d) Travelling, Tour, Accommodation & Other Expenses paid or Reimbursed by Employer (Such expenses **shall not include LTC** provided by employer)

OFFICIAL TOUR		
Employee	Household Member	
	Facility maintained by employer & not available for all employees	Other Cases
Exempt	Value at which similar services provided by other agencies to public	Actual expenditure of employer

PRIVATE TOUR	
Employee/Household Member	
Facility maintained by employer & not available for all employees	Other Cases
Value at which similar services provided by other agencies to public	Actual expenditure of employer

Special Point:

In case above facility is not provided free of cost, Deduct amount paid/recovered from Employee

e) Free Meals, Tea & Snacks

FREE MEALS/NON ALCHOLIC BEVERAGES			**TEA AND SNACKS**	
Office premises OR At eating joints (by paid vouchers)		**Other Case**		
Office Hours	Non Office Hours	Actual expenditure of employer	Office Hours	Non Office Hours
Nil, provided value upto Rs.50/- per meal (If value > 50 excess taxable)	Actual expenditure of employer		Nil	Actual expenditure of employer

Special Point :

In case Meal is not provided free of cost , Deduct amount recovered from Employee

f) Gift, Vouchers or token

Gift, Voucher or token on ceremonial or Other occasions		
In Kind		**In Cash**
Aggregate value up to Rs.5,000 during P/Y	**Aggregate value** more than Rs.5,000/- during P/Y	Any amount
Exempt	Perquisite Value = **(Actual value – 5,000/-)**	Fully **Taxable**

g) Club membership & Club Expenses

Club membership & club expenses (including annual or periodic fees)	
Paid or reimbursed wholly & exclusively for official purpose	Other Purposes
Nil, Provided : a) Details of date & nature of expenditure maintained by employer and b) Employer certifies that expenditure incurred for official purpose	**Amount paid or reimbursed by employer** Less : Amount recovered from employee

Special Point:

1. Initial fees of corporate membership of a club is not taxable as perquisite.
2. Use of Health club, sports & similar facility provided uniformly to all employees is not perquisite.

h) Any other benefit or perquisite

Valuation shall be done on the basis of cost to the employer under an arm's length transaction as reduced by the employee's contribution

4th PERQUISITE: Employer Contribution to Approved Superannuation Fund

Value of Perquisite: Employer contribution to Superannuation fund during the p/y in excess of Rs. 1, 50,000/-

APPROVED SUPERANNUATION FUND

The purpose of this fund is to provide for annuities to employees on their retirement or to their widows, children or dependents on the death of such employee.

Tax treatment of Superannuation Fund

Annuities received by employee are taxable as Salary income, while those received by the widow etc. is taxable under other sources.

Approved Superannuation Fund

Employees Contribution	Employer's Contribution	Interest on accumulated balance	Payment of Accumulated balance
Deduction **80C from GTI** is available to employee	Excess of Rs.1,50,000 treated as Perquisite	Exempt from Tax	Exempt from tax u/s **10(13),** if ○ on death , ○ on retirement , ○ after specified age **or** ○ becoming incapacitated before retirement ○ Transfer employee account under pension scheme u/s 80CCD

The following perquisites provided by Employer to Employee or to any Member of his household are taxable perquisite in the hands of specified employee only.

a) Motor Car
b) Sweeper, Gardener, Watchman or Personal attendant
c) Supply of Gas, Electricity or Water provided to Employee
d) Educational facilities to employee children & members of household
e) Free or concessional tickets provided to employee of transport undertakings

a) Valuation of Motor Car

The perquisite of Motor car is divided into 4 Cases

1. Motor car owned/Hired by employer & expenses incurred by Employer
2. Motor car owned/Hired by employer & expenses incurred by Employee
3. Motor car owned by employee & expenses incurred by Employer
4. Other conveyance owned by employee & expenses by Employer

1. Motor Car owned/ hired by employer & expenses met by Employer		
Exclusively for official purpose	Exclusively for private purpose	Partly official & partly private
Nil (Provided specified documents are maintained by employer)	Sum total of : a. **Actual** running & maintenance expenses b. **Actual** remuneration to chauffeur c. 10% of cost of car (if owned) or hire charges (if hired) **Less: Amt recovered from employee**	**Car upto 1.6 Lit.** 1,800 p.m **+** 900 pm for chauffer(If any) **Car > 1.6 Lit.** 2,400 p.m + 900 p.m for chauffer (If any)

2. Motor Car owned/ hired by employer & expenses met by Employee		
Exclusively for official purpose	Exclusively for private purpose	Partly official & partly private
Exempt	Sum total of : **a) Actual** running & maintenance expenses	**Car upto 1.6 Lit.** 600p.m + 900 pm for chauffer.(If any) **Car > 1.6 Lit**.

	b) Actual remuneration to chauffeur (If borne by employer)	900 p.m + 900 pm for chauffeur (If any)

3. Motor Car owned by employee & expenses met by Employer		
Exclusively for official purpose	Exclusively for private purpose	Partly official & partly private
Nil (Provided specified Documents maintained by employer)	**Amount paid by employer**	Actual Exp. of employer **Less :** 1,800 pm + 900 pm **(car upto 1.6Lit)** OR 2,400 pm + 900 pm **(car > 1.6 Lit)** **Higher deduction** for official expenses if specified documents are maintained

4. Other Conveyance owned by employee & expenses met by Employer		
Exclusively for official purpose	Exclusively for private purpose	Partly official & partly private
Nil (Provided Specified documents are maintained by employer)	**Expenditure** paid by employer **Perquisite taxable for all employees**	Actual Exp. of employer **Less :** 900 pm **Higher deduction** for official expenses if specified documents are maintained

Special Points

1. **Applicable for Case 1:** Where **more than one** motorcar is provided by employer and the employee is allowed to use them for both official & private purposes (i.e. not exclusively for official purposes).
   - Value of One Car = Value as per **partly official & partly private**
   - Value of Other Cars = Value as per **private purpose**
2. **Specified Documents** :
   a) Employer should maintain complete details of date of **journey, destination, mileage, amount of expenditure** incurred
   b) And employer gives certificate that expenses incurred **wholly & exclusively for official purpose**.
3. Vehicle provided by employer to the employee for journey from his residence to his office or other place of work & back shall not be regarded as perquisite.

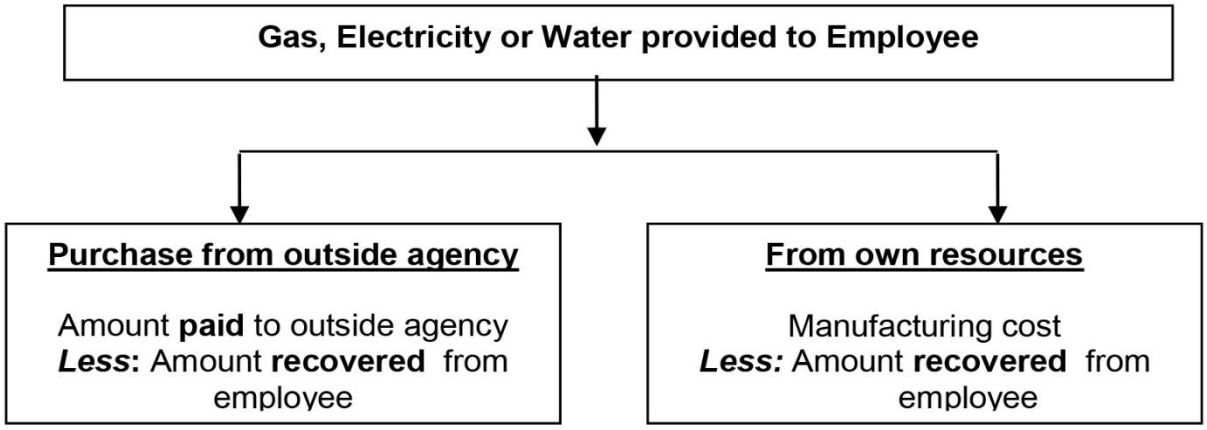
b) Sweeper, Gardener, Watchman or Personal attendant

Engaged by **employer** & **provided** to employee/household member, such perquisite shall be taxable for all specified employee

Value of perquisite: Actual cost to employer ***Less*** Amount **paid** by employee.

Special point: Cost to employer shall be salary payable to such person by employer

c) Supply of Gas, Electricity or Water provided to Employee



Special point

If Electricity, gas & water connections are in the name of employee and employer is bearing the expenditure either directly or indirectly then it will be covered under 3rd perquisite of Sec 17(2) i.e obligation of employee paid by employer and therefore will be taxable for all employees

d) Educational facilities to employee children & members of household

A) Facility in Educational institutions maintained by employer or in other educational institutions due to employment

To whom	Cost of education in similar school in similar locality	Value of Perquisite
Employee child	upto Rs.1,000 p.m per child	**Fully exempt**
	greater than Rs.1,000 p.m per child	**Cost of education in similar school in same locality less : 1,000 pm/per child**
Household members	Limit of Rs.1,000 irrelevant	**Cost of education in similar school in same locality**

B) Facility in any other educational institutions

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To whom	Value of Perquisite
Employee child	Actual Cost to Employer
Household members	Actual Cost to Employer

Special Points :

(a) If any amount is recovered from employee, reduce the value by that amount

(b) Education facility **to employee** in any form like training, seminars, conference etc. is fully exempt.

e) Free or concessional tickets provided to employees of transport undertakings for private journeys

- Employees of Airlines and Railways : Exempt in hands of employees
- Employee of other transport undertaking : Value at which such benefit or amenity is provided by the employer to public

Special point: If any amount is recovered from employee, reduce the value by that amount

LEAVE TRAVEL CONCESSION IN INDIA: SECTION 10(5)

- Travel concession or assistance due or received from employer
- For himself or family member
- For travel to any place in India
- During Service or on leave or after retirement or after termination
- Value to be included in salary :

  Amount of concession due or received

  Less: exemption u/s. 10(5)

Exemption u/s 10(5)		
Journey by Air	**Journey by Rail**	**Journey by other modes**
Minimum of following **i.** Actual concession **ii.** Amount actually incurred by employee **iii. Air economy fare of National Carrier by shortest route**	Minimum of following **i.** Actual concession **ii.** Amount actually incurred by employee **iii. AC 1st class RAIL FARE by shortest route**	**<u>Connected by Rail</u>** Same as column 2 **<u>Not Connected by Rail</u>** Minimum of following **i.** Actual concession **ii.** Amount actually incurred by employee **iii. Deluxe fare of such transport by shortest route** (where recognized transport exists) **OR**

		Similar AC 1st class rail fare by shortest route (if recognised transport does not exists)

Special Points:

- Exemption available on twice in a block of FOUR CALENDAR YEARS : 1986-89, 1990-93, 1994-97, 1998-2001, 2002-05, 2006- 09, 2010- 2013 , 2014-2017, 2018-2021
- No exemption claimed or only one exemption claimed in a block, then ONLY ONE exemption carried forward in Calendar Year succeeding end of block. Exemption only for the fare: - The exemption is strictly limited to expenses on air fare, rail fare and bus fare only. No other expenses, like scooter charges at both ends, porterage expenses [money paid for carrying luggage] during the journey and lodging / boarding expenses will qualify for exemption.
- LTC available for a TWO children born on or after 01.10.1998. However, this restriction shall not apply in respect of children born before 1-10-1998 and also in case of multiple births after one child.
- Family for the above purpose means Spouse & Children & Parents, brother, sisters of employee who are dependent on employee. Explanation to Sec 10(5)
- In case the LTC is encashed without performing the journey, the entire amount received by the employees would be taxable.

MEDICAL FACILITIES (Proviso to Sec 17(2))

MEDICAL FACILITIES IN INDIA (to EMPLOYEE / Family Members)			
Hospital **maintained by employer**	**In Govt Hospital** or **local authority hospital** or **Govt. approved hospital** or **Hospital approved by CCIT** (For **prescribed disease** only)	**Premium paid for Health Insurance under approved scheme**	**Other case**
Fully Exempt	Fully Exempt	Fully Exempt	

Special Points:

1. Family for above purpose means
   - Spouse & children of employee
   - Parents, brother & sister of employee who are dependent on employee.
2. Hospital includes dispensary, clinic or nursing home.
3. Expenditure on medical treatment by the employer can be by way of payment or as reimbursement.
4. Medical allowance is fully taxable.

RETIREMENT BENEFITS

Retirement benefits consists of following

1. Gratuity
2. Pension
3. Leave salary
4. Compensation on voluntary retirement/Retrenchment compensation
5. Provident fund / Superannuation funds

GRATUITY

Gratuity is a kind of retirement benefit, like provident fund or pension. It is a payment, which is intended to help an employee after his retirement whether the retirement is the result of the completion of age of retirement or some physical disability. The general principle underlying gratuity schemes is that by faithful service over a long period the employee is entitled to claim a certain amount as retirement benefit. Thus it is earned by an employee as a reward for long and meritorious service.

***Gratuity to be included under Salary = Amount of Gratuity *less* Exemption u/s. 10(10)**

Exemption u/s. 10(10):

Type of Employee	**Employee of Central & State Govt., Local Authority**	**Employee covered under payment of Gratuity Act, 1972**	**Other Employees (not covered under earlier categories)**
Exemption Amount	100% of Gratuity received is **Exempt**	**Minimum of Following:** i. Actual Gratuity received. ii. **Rs.20,00,000** iii. **[15 X** Completed yrs of service **Including** part excess 6 mths**] X [last month SALARY/26]**	**Minimum of Following:** i. Actual Gratuity received. ii. **Rs. 20,00,000** iii **[15 X** Completed yrs of service **Excluding** part**] X [Average monthly SALARY / 30]**
Definition of Salary	N.A	**SALARY =** Basic Salary + **100%** DA	**SALARY =** Basic + DA (retirement Benefits) + Commission % of turnover
Special point			**1.** Commission received as a fixed percentage of turnover would form part of the salary **[Gestetner Duplicators Pvt. Ltd. v CIT (SC)]** **2**.**Average Monthly Salary** = Average of last **10 months** immediately **preceding the**

			month of leaving service

SPECIAL POINTS:

- Where an employee had received gratuity in any earlier years and had claimed exemptions u/s 10(10) in respect of the gratuity received earlier also, he will still be entitled to this exemption but the limit of Rs.10,00,000 shall be reduced by the amount of exemption availed in the earlier year.
- If gratuity is received from more than one employer in the same previous year, the limit of Rs.10,00,000 would apply to the aggregate of gratuity received from one or more employers
- Any gratuity paid to an employee, while he continues to remain in service with the same employer is taxable under the head "Salaries" because gratuity is exempt only on retirement or on his becoming incapacitated or on termination of his employment or death of the employee.

PENSION

- Refers to Periodic Payment made by the employer after retirement or death of the employee as a reward for past services rendered by the employee
- Pension can be **Uncommuted** or **Commuted**

TAX TREATMENT OF UNCOMMUTED PENSION

Pension payable to an employee **periodically** e.g. **every month,** after retirement from service. This pension is known as uncommuted pension.

- It is **Fully Taxable** in the hand of all employees, whether government or non-government.

TAX TREATMENT OF COMMUTED PENSION

Sometimes the employee wants to have a lump-sum payment in lieu of certain portion of monthly pension, which he would have otherwise received monthly. The lump-sum payment which he receives on foregoing the monthly pension is known as commuted value of the pension. Commutation is done having regards to age of recipient, state of his health, rate of interest and tables of mortality.

- Though it is also taxable, exemption u/s 10(10A) can be claimed by the employee

Exemption u/s 10(10A):

- Treatment for employees of Government, local authority & Statutory Corporations :
  Commuted pension received by these employees is 100% Exempt

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- Treatment in the case of Other Employees

Commuted value of pension received is exempt to the following extent:

(A) If receives Gratuity: 1/3 of Normal commuted pension

(b) If he does not receive Gratuity: 1/2 of Normal commuted pension

Normal Commuted pension = Actual commuted pension x 100
% of commutation

SPECIAL POINTS:

- The pension discussed above is different from "Family Pension"

While the pension paid by the employer to the employee is known as pension, the monthly payment by the employer to the family of such employee after his/her death is known as family pension.

The family pension is taxable as Income from other source

Deduction against such family pension: 1/3rd of family pension or Rs.15, 000, whichever is less.

- Pension received from a United Nations organization is not taxable.
- Exemption of Commuted pension is also available to Judges of High courts and Supreme Court.

LEAVE SALARY

Employees are entitled to various types of leave on the job. These leaves may either be availed by the employee or may not be availed. If they are not availed, they can also be encashed.

Such leave which the employee gets encashed is taxable under head salary

Encashment of leave during tenure of service:

Leave encashment by an employee, while he continues to be in service, is fully taxable for all categories of employees [Whether Govt. employee or a Private employee]

Encashment of unavailed leave at the time of retirement/ resignation

This is also taxable but employee can claim exemption u/s Section 10(10AA)

Exemption u/s 10(10AA)

I. Central Government/ State Govt. Employees:
   It is fully exempt from tax.
II. Other Employees (i.e. Private employees including employees of local authority and statutory corporation)
   It is exempt to the extent of the minimum of the following four amounts:
   (a) Leave encashment actually received

(b) Rs.3, 00,000

(c) 10 X Average Monthly SALARY

(d) Unavailed Leave X Average Monthly SALARY

30

Unavailed leave =

Step 1: [Total leaves entitled by employer]

or

[30 days leave per Completed Year of Service, Excluding part]

Whichever is less?

Step 2: Leaves actually taken + leaves encased while in service

Step 3 : Step 1 – Step2 is unveiled leave

Meaning of Salary: Basic + DA (retirement Benefits) + Commission % of turnover

Average Monthly Salary: is to be calculated on the basis of the average of salary (as valued above) drawn by the employee during the period of 10 months immediately preceding the date of his retirement.

SOME SPECIAL POINTS

- Exemption to Govt employee will still be available if he joins a private organisation after retiring from government service.
- If the employee had availed exemption of leave salary in earlier previous year, then the limit of Rs. 3,00,000, shall be reduced by the amount of exemptions availed earlier.
- Where the leave encashment is received by the employee from more than one employer in the same previous year, the limit of Rs.3, 00,000 would apply to the aggregate of leave encashment received from one or more employers.
- Any leave salary to the legal heirs of the deceased employee in respect of earned leave standing to the credit of such employee at the time of his death is not taxable (both for private and Govt. employees).
- Even if there is voluntary retirement (e.g resignation) from services, the provisions of section 10(10AA) will apply.

COMPENSATION ON VOLUNTARY RETIRMENT

- Refers to compensation received on voluntarily retirement or termination of service before the date of actual retirement.
- Voluntary retirement compensation to be included under head Salary
  = Voluntary Retirement Compensation Less Exemption u/s.10(10C)

Exemption u/s. 10(10C):

Types of Employee	• Employees of Central or State Govt or Local Authority or Statutory corporation • Company or Co-operative Society • Declared University, IIT, Notified IIM or Notified institutions
Conditions to be satisfied	• Compensation received on Voluntary Retirement **and** • The scheme of Voluntary
Amount of Exemption Least of following	- **Actual Compensation received/receivable** - **5,00,000** - 3 months **Total SALARY X** Completed years of service (Part Ignored - Current **SALARY** per month **X** Balance months of service left **SALARY = Basic + DA(retirement Benefits) + Commission % of turnover**

Special Points :

1. [**Rule 2BA**] : The scheme of Voluntary Retirement should be framed in accordance with below guidelines.
   a) Employee should have completed **10 yrs of service or 40 yrs of age**. [This condition is not applicable in the case of an employee of a public sector company]
   b) Scheme should be applicable to **all employee** (except Directors)
   c) Scheme should be drawn to result in **overall reduction in existing strength of employees.**
   d) **Vacancy** caused by voluntary retirement should not be **filled up.**
   e) Retiring employee shall not be employed in other concern of same management.

If the guidelines are not followed, exemption shall not be available

2. Exemption under 10(10C) can be claimed only **Once** by the Assessee.

TYPES OF PROVIDENT FUND

Provident fund is of four types:

i. **Statutory Provident Fund:** Statutory provident fund is set up under the provisions of the Provident Funds Act, 1925. Generally, this provident fund is maintained by Govt., Semi-Govt. offices like local authorities, universities, other recognised educational institutions, statutory corporations and nationalized banks etc.

ii. **Recognised Provident Fund**: This provident fund is meant for private sector employees. This fund is set up under the employee provident fund and miscellaneous act, 1952.According to this act, any establishment employing 20 or more employees is under

an obligation to register itself under this act. An employer employing less than 20 persons, can also start a P.F. scheme if both employer and employee want to do so.

An establishment who wants to start a R.P.F scheme has two alternatives.

a) Set up provident fund as per **scheme mentioned under the P.F. Act, 1952**.
b) Set up Provident fund under its **own scheme.** In this case approval of the provident fund commissioner is required together with approval of commissioner of Income Tax. If both the approval is granted, it is called Recognised provident fund

III. **Unrecognised Provident Fund:** It is that provident fund which is set up under own scheme (as in (b) above) and which is not approved by Commissioner of Income tax.

IV. **Public Provident Fund:** This fund is set up under Public provident act, 1968. Every individual (including a salaried employee) can contribute to this fund. An account under this scheme can be opened at a branch of the State Bank of India or at a branch of any of the authorized nationalized banks. The accumulated sum is repayable after 15 years. This provident fund carries compound interest (tax-free) at prescribed rate. Interest is credited every year but is payable only at the time of maturity.

TAX TREATMENT OF PROVIDENT FUNDS

Statutory Provident Fund (SPF)			
Employees Contribution	***Employer's Contribution***	***Interest on Provident Fund***	***Payment of Accumulated balance***
Deduction **u/s 80C from GTI** is available to employee	Not Taxable	Not Taxable	Exempt **u/s 10(11)**

Recognised Provident Fund (RPF)			
Employees Contribution	***Employer's Contribution***	***Interest on Provident Fund***	***Payment of Accumulated balance***
Deduction **u/s 80C from GTI** is available to employee	Exempt upto 12% of **SALARY** *Excess* Taxable under Salary	Exempt upto 9.5% p.a *Excess* Taxable under Salary	Exempt **u/s 10(12)** *(Refer special point below)*

Note: SALARY = Basic + DA (retirement Benefits) + Commission % of turnover

Un Recognised Provident Fund (URPF)			
Employees Contribution	***Employer's Contribution***	***Interest on Provident Fund***	***Payment of accumulated balance.***
Deduction u/s **80C** is **NOT** available to employee	Not Taxable	Not Taxable	**Taxable in P/Y of Receipt** - Employers contribution + interest on it taxable as **profit in lieu of salary u/s 17(3)** - Interest on Employee contribution **taxable under I/O/S**

Public Provident Fund (PPF)			
ASSESSEE Contribution	***Employer's Contribution***	***Interest on Provident Fund***	***Payment of Accumulated balance***
Deduction **u/s 80C from GTI** is available to assessee	No employers contribution	Exempt from Tax	Fully exempt **10(11)**

Special point: Accumulated balance of RPF is exempt only if :

i. Service of atleast 5 yrs (Current employer & Former employer) OR

ii. Termination due to :
- ILL health or
- Discontinuance of employer business or
- Other reason beyond employee control or

iii. Takes up new employment & Accumulated balance transferred to new RPF A/c under new employer.

If none of above situations exist, then amount shall be treated as if PF is unrecognised since Beginning

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CHAPTER – 4
INCOME UNDER HEAD HOUSE PROPERTY

Section 22 : Charging Section

- **Annual value** of property consisting of
- **Building or Lands Appurtenant thereto**
- Of which Assessee is the **Owner**
- Shall be chargeable to Tax
- Under Income from House Property.
- Building will **not include** such portion which is occupied by assesse for **HIS Business or Profession**

Special Point :

Sec 2(*2*): Annual value in relation to any property, means its annual value as determined under section 23

Essential Conditions for Taxable Income under this Head

(1) Property must **consist of any buildings with or without adjoining lands**

BUILDING : The term building is not defined in the Income tax Act. As per general meaning it means a permanent structure built of bricks and/or stones, having a foundation, doors, windows etc, which may or may not have a roof.

- Stadiums & swimming pools don't have any roof, but still they can be treated as building.
- A house under construction, incapable of being let out, is not treated as building until it is completed

Lands Appurtenant there to : This term is also not defined in the Income tax act. It means land which is attached to a building which is used as a part of building. e.g. garden, garage, car parking, cycle stand Land, which is not adjoining, to any building is not covered by this section. Rental income of such land is taxable under the head **income from other source**

- **Independent and commercial income of adjoining land**

It is taxable as income from other source or business income e.g. permanent source of drinking water in adjoining land. Commercial exploitation of such source is independent of income from building. It is income from other source. **Ramalakshmi Reddy (Mad HC)**

(2) Assessee must be **the owner of the property**:- It is only the owner of the house property, who is liable to pay tax, under this head of income. Thus where a person is himself a tenant

& and if he further let out this property (i.e. subletting), he is not taxable under this head but under the head Income from other source, as he is not the owner of the property.

- Ownership includes legal ownership as well as **deemed ownership.**
- If a person is owner of a building and not the owner of the land on which the building is built, even then income form such building will be taxable in his hands

COMPUTATION OF INCOME UNDER HOUSE PROPERTY

Step 1 : Calculate **ANNUAL VALUE** of House Property
Step 2 : Allow **Deductions** u/s **Sec. 24**
Step 3 : Step 1 – Step 2 is **Income Taxable** under head House Property

Sec 23 of the Income Tax Act, 1961

Annual value how determined.

23. (1) For the purposes of section 22, the annual value of any property shall be deemed to be—

(a) the sum for which the property might reasonably be expected to let from year to year; or

(b) where the property or any part of the property is let and the actual rent received or receivable by the owner in respect thereof is in excess of the sum referred to in clause (a), the amount so received or receivable; or

(c) where the property or any part of the property is let and was vacant during the whole or any part of the previous year and owing to such vacancy the actual rent received or receivable by the owner in respect thereof is less than the sum referred to in clause (a), the amount so received or receivable :

Provided that the taxes levied by any local authority in respect of the property shall be deducted (irrespective of the previous year in which the liability to pay such taxes was incurred by the owner according to the method of accounting regularly employed by him) in determining the annual value of the property of that previous year in which such taxes are actually paid by him.

Explanation — for the purposes of clause (b) or clause (c) of this sub-section, the amount of actual rent received or receivable by the owner shall not include, subject to such rules as may be made in this behalf, the amount of rent which the owner cannot realise.

(2) Where the property consists of a house or part of a house which—

(a) is in the occupation of the owner for the purposes of his own residence; or

(b) cannot actually be occupied by the owner by reason of the fact that owing to his employment, business or profession carried on at any other place, he has to reside at that other place in a building not belonging to him, the annual value of such house or part of the house shall be taken to be nil.

(3) The provisions of sub-section (2) shall not apply if—

(b) the house or part of the house is actually let during the whole or any part of the previous year; or

(c) any other benefit therefrom is derived by the owner.

(4) Where the property referred to in sub-section (2) consists of more than one house—

(a) the provisions of that sub-section shall apply only in respect of one of such houses, which the assessee may, at his option, specify in this behalf;

(b) the annual value of the house or houses, other than the house in respect of which the assessee has exercised an option under clause (*a*), shall be determined under sub-section (1) as if such house or houses had been let.

Section 23: ANNUAL VALUE

Calculation of Annual Value

Step 1 : Calculate **Reasonable Value for the P/Y: [Sec. 23(1)(a)]**

Reasonable Value	=	i. **Municipal value** or **Fair rental value**, *whichever is higher* ii. Value determined under (i), above ***cannot exceed*** value of **Standard Rent**, if such property is governed by Rent Control Act

Special Points:

1. Municipal Value :

Municipalities or Municipal corporations impose property/house tax on properties which are under their jurisdiction. For the purpose of levying such tax, valuation of the property is done. The valuation so determined is known as municipal value.

2. Fair rental value / Market Rental Value :

Fair rental value of the property is the rent prevailing in the market for same type of house in the same or similar locality

3. Standard Rent:

If a property is governed by the provisions of the rent control act, then the rent fixed under the rent control act is known as Standard Rent.

As per **Mrs. Shiela Kaushik v CIT (S.C) : Reasonable value cannot exceed the standard rent**.

Step 2 : Calculate **Actual Rent Received/Receivable [Sec. 23(1)(b)]**

Determine the rent for the period, during which the property is let out in the previous year. Even if the entire rent for the period for which property is let out, is not received during the previous year, total amount of rent will be taken for calculating value under step 2

However there is an exception to this rule.

Actual rent received or receivable will not include **Unrealised rent**

Actual rent shall Not include Unrealised Rent provided the adjacent conditions are satisfied	Unrealised rent is rent which is receivable & which is proved to be lost & irrecoverable. • Tenancy is bonafide. • Defaulting tenant has vacated or steps taken to compel him to vacate property. • Defaulting tenant not occupying assessee's other property. • Assessee taken reasonable steps to institute legal proceedings for recovery of unpaid rent or satisfies AO that proceedings will be useless.

Step 3 : **Calculate Gross Annual Value**, where
GAV = Step 1 or Step 2, whichever is higher

Step 4 : **Calculate Net Annual Value**
= Value determined in Step 3
Less : Municipal Taxes (Actually **paid** by **Owner** during P/Y)

Special Point:

- Municipal tax paid during the year is **fully deductible**, if **paid** by **owner.**
- Municipal taxes can be house tax, water tax, fire tax, education tax, scavenging tax (cleaning tax), sewage tax, general tax or local tax.
- If amount is paid by tenant, the amount is not deductible.
- This deduction is on payment basis. Deduction is available for the municipal tax paid whether for current year, earlier years or next years
- Municipal tax paid can exceed the GAV. In this case Annual Value shall be negative.

Computation of Taxable House property Income

1. Municipal value	XXXX
2. Fair Rental value	XXXX
3. Standard Rent	XXXX
4. Expected Rent u/s 23(1)(a)	XXXX
(1 or 2 , higher but cannot exceed	XXXX
Standard rent)	XXXX
5. Actual Rent u/s 23(1)(b)	XXXX
Gross Annual Value (GAV)	XXXX
(4 or 5 , higher)	
Less : Municipal Taxes	XXXX
Net Annual Value (NAV)	
Less : Deductions	XXXX
u/s 24 (a)	XXXX
u/s 24 (b)	XXXX
Amount after deduction	XXXX
Add : Recovery	XXXX
u/s 25A	XXXX
Taxable HP Income	XXXX

For calculating Annual Value, House Property is divided following categories

LET OUT PROPERTY

1. House property let out for whole of p/y
2. House property let out but remained vacant for part of p/y
3. House property let out but remained vacant for whole of p/y
4. House property not let out but remained vacant for whole of p/y

PROPERTY OCCUPIED FOR SELF RESIDENCE

5. One property occupied for Self residence during p/y [Sec. 23(2)]
6. One property which could not be occupied for self-residence because of business/profession or employment [Sec. 23(2)]
7. More than one house occupied for Self residence during p/y [Sec. 23(4)]

PROPERTY PARTLY SELF OCCUPIED AND PARTLY LET OUT

8. House property Self occupied for part of p/y and let out for balance of p/y

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I. HOUSE PROPERTY LET OUT FOR WHOLE OF PREVIOUS YEAR

This covers a case when the house property has been let out for entire previous year to a tenant

Annual value shall be determined as follows

Step 1 : Calculate Expected Rent for the entire P/Y

Step 2 : Calculate Actual Rent Received/Receivable for entire P/Y

Step 3 : Calculate Gross Annual Value (GAV = Step 1 or Step 2, whichever is higher)

Step 4 : Net Annual Value = Value as per Step 3

Less: Municipal Tax (Actually paid by Owner during P/Y)

2. HOUSE PROPERTY LET OUT BUT REMAINED VACANT FOR PART OF P/Y

This covers a case when the house property has been partly let out & partly vacant during the P/Y

Step 1 : Calculate Expected Rent for the entire P/Y

Step 2 : Calculate Actual Rent Received/Receivable for the period property is let out.

Step 3 : Calculate Gross Annual Value

Where value as per	**Gross annual Value shall be**
i. Step 2 greater than Step 1	= Value as per Step 2
ii. Step 2 less than Step 1 (Because of vacancy)	= Value as per Step 2
iii. Step 2 less than step 1 (Due to rent being less)	= Value as per Step 1

Step 4 : Net Annual Value = Value as per Step 3

Less Municipal Tax (Actually paid by Owner during P/Y)

3. House Property Let Out but Remained Vacant For Whole of P/Y

This covers a case where the owner wants to let out the house property during the p/y but remained vacant throughout the previous year as no suitable tenant could be found

Step 1 : Calculate Expected Rent for the entire P/Y

Step 2 : Actual Rent Received/Receivable will be NIL

Step 3 : Gross Annual Value shall be NIL (Sec 23(1)(c)

Step 4 : Net Annual Value = Value as per Step 3

Less Municipal Tax (Actually paid by Owner during P/Y)

4. House Property Not Let Out but Remained Vacant For Whole of P/Y

This covers a case where the owner does not want to let out the house property during the p/y and therefore remained vacant throughout the previous year

Step 1 : Calculate Expected Rent for the entire P/Y

Step 2 : Actual Rent Received/Receivable will be NIL

Step 3 : Gross Annual Value shall be Step 1 (Benefit of vacancy not available)

Step 4 : Net Annual Value = Value as per Step 3

Less Municipal Tax (Actually paid by Owner during P/Y)

5. ONE SELF-OCCUPIED PROPERTY [SEC. 23(2)]

- Where a property consists of a house or part of a house
- Which is in occupation of **Owner** for his own **Residence**
- **Net Annual value** of that House/Part shall be **NIL**.

Special Points:

1. **Sec 23(3) :** Net Annual Value shall be Nil if
   - Such House/part is not let out for any part of the previous year &
   - Owner derives no other benefit from such property
2. Assesse lets out his house to his employer, who reallots the house to him as rent free accommodation. In such case **NAV will not be Nil.**
3. Benefit of sec 23(2) is available for Individuals & HUF only

6. One Self-Occupied Property Which Could Not Be Occupied [Sec. 23(2)]

- Where property consists of a house or part of house
- Cannot be occupied because of
- Employment/Business/Profession carried on at any other place
- Has to reside at that place in a building not belonging to him.
- Net Annual value of that House/Part shall be NIL.

Special Points :

1) Sec 23(3) : Net Annual Value shall be Nil if
   - Such House/part is not let out for any part of the previous year &
   - Assessee derives no other benefit from such property.
2) Where assessee did not occupy his own residential house but lives in the same town in a house owned by his father for the sake of personal convenience, annual value of such house shall not be taken as nil.
3) Where an official or a dignitary, has to reside in official residence as a constitutional obligation & therefore, his own residential house is kept vacant, the benefit of Section 23(2) would apply

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7. Assessee owns more than one house for his residence [sec. 23(4)]

This covers a case where the assessee has more than one house for self-residence purpose during a p/y

Assessee, at his option, can treat any one house to be self-occupied and the Net Annual Value of such House shall be NIL.

- Then the Other Houses which are used for self-residence, shall be Deemed to be let Out

Calculation of Annual Value of deemed to be let out property

Step 1 : Calculate Expected Rent for the entire P/Y

Step 2 : Actual Rent Received/Receivable will be NIL

Step 3 : Gross Annual Value shall be Step 1

Step 4 : Net Annual Value = Value as per Step 3

Less Municipal Tax (Actually paid by Owner during P/Y)

8. One house property self Occupied for part of p/y & let out for balance of p/y

Calculation of Annual Value

Step 1 : Calculate Expected Rent for the entire P/Y

Step 2 : Calculate Actual Rent Received/Receivable for the let out period

Step 3 : Calculate Gross Annual Value, where

GAV = Step 1 or Step 2, whichever is higher

Step 4 : Annual Value = Value as per Step 3

Less Municipal Tax (Actually paid by Owner during P/Y).

ONE HOUSE USED FOR MULTIPLE PURPOSES

Where one house is used for multiple purpose and percentage of use is also specified, then annual value of each part shall be calculated as if it is a separate house property

DEDUCTIONS FROM HOUSE PROPERTY INCOME (Sec. 24)

Following TWO deductions are ONLY allowed from Net Annual Value of the house property

Sec. 24(a) : Statutory Deduction

- This is allowed at a flat rate of 30% of positive Net annual value
- If Net annual value is Negative or Nil then such deduction is not allowed.
- Deduction u/s 24(a) is not available from one self occupied property, whose NAV is taken as NIL
- This deduction is allowed to cover repair expenses of house property & similar other expenses like Insurance premium, annual charge, ground rent, land revenue, depreciation of the building etc. Actual expenses incurred have no relevance for calculating this deduction.

Sec. 24(b) : Interest on borrowed capital

- Interest payable on loan taken
- For the purpose of
- Purchase, construction, reconstruction, repair or renovation of house property
- is allowable as a deduction
- On DUE BASIS.

For computing deduction u/s 24(b), loans are divided as follows:

1) POST ACQUISITION/CONSTRUCTION LOANS
Loan taken after purchase or construction of House Property for Repair, Renovation or Reconstruction of house property.
Interest on such loans which become due during the previous year will be allowed as deduction for that previous year.

2) PRE ACQUISITION/CONSTRUCTION LOANS
Loan taken before purchase or construction of house property for the purpose of Purchase or Construction of House property

INTEREST FOR PRE- CONSTRUCTION / ACQUISITION PERIOD

This interest is allowed as deduction in five equal annual installments starting from the year of completion of construction / acquisition.

So we can say ,Pre acquisition/construction period is

- Date of loan to
- 31st march of previous year prior to previous year of construction/purchase or Date of repayment , whichever is earlier

For computing Limit of deduction u/s 24(b), Properties are divided into two categories

1. Let out and vacant property
2. Self occupied property whose Net annual value is NIL

1. Deduction u/s 24(b) for let out and vacant properties

Under this categories all types of let out properties are covered e.g. fully or partly let out, fully or partly vacant, partly self occupied and partly let out or deemed to be let out.

For these types of properties, deduction of interest u/s 24(b), calculated in above manner, is 100% ALLOWED without any limit.

2. Deduction u/s 24(b) for Self occupied property whose Net annual value is NIL

Deduction of section 24(b) is allowed subject to a maximum limit of Rs.30,000.

However,
Where loan is taken on or after 1st April, 1999

- for purchase or construction of
- Self occupied property
- and such purchase or construction is completed
- Within 5 years from the end of the F/Y in which loan is taken,
- Deduction u/s 24(b) shall be allowed upto maximum limit of 2,00,000

Provided, the person extending the loan certifies that such interest is payable for acquisition or construction of the house.

Special Points

- Interest on unpaid interest is not deductible.
- Interest on a fresh loan raised merely to repay the original loan taken for the above purpose is allowable as a deduction under this section.
- Brokerage or commission paid for arranging the loan is not deductible.
- If arrears of interest is paid during the previous year, no deduction is available in respect of arrears as it has already been claimed on due basis in earlier years.
- Similarly interest paid in advance is not fully deductible in one year, as deduction is on accrual basis.
- Interest payable outside India [SECTION 25]
  - The interest u/s 24(b) payable outside India
  - shall be allowed as deduction u/s 24(b),
  - If tax on the same has been paid or
  - Deducted at source or
  - There is a person in India, who may be treated as agent of recipient for such purpose
- If interest is paid on unpaid purchase price to the seller then also deduction can be claimed u/s 24(b)

Sec 25A : Recovery of Arrears of Rent or Unrealised Rent

2) The amount of arrears of rent received from a tenant or unrealized rent realised subsequently from a tenant, by an assessee shall be deemed to be the income from house property in respect of the financial year in which such rent is received or realised, and shall be included in the total income of the assesse under the head “Income from house property”, whether the assessee is the owner of the property or not in that financial year.
3) A sum equal to 30% of the arrears of rent or the unrealised rent referred to in sub-section (1) shall be allowed as deduction.

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OTHER CONCEPTS UNDER HEAD HOUSE PROPERTY

1. Concept of Composite Rent

- Property is let out by the assessee
- together with Services (e.g. electricity, gas, water etc.) or Assets (e.g plant, machinery or furniture)
- Rent charged by the assessee is a consolidated sum(i.e Rent for property + Rent for services/assets)

Treatment of Composite Rent is done as under

<table>
<tr><td colspan="2">Where rent of property and rent of services / assets can be separated</td><td>Where rent of property and rent of services / assets cannot be separated</td></tr>
<tr><td>Rent of letting of property</td><td>Rent of service, assets</td><td rowspan="2">Taxable under Other sources or Business</td></tr>
<tr><td>Taxable under House property</td><td>Taxable under Other sources or business</td></tr>
</table>

2. DEEMED OWNERS [Section 27]

The following are deemed to be the owners of the property:

II. An individual who transfers any house property to his spouse, or to his minor child, for inadequate consideration shall be deemed to be the owner of the house property even after transfer

Exceptions to the point are:

- House transferred to spouse under an agreement to live apart.
- House transferred to minor married daughter.
  - If a person transfers the money to his spouse and then spouse purchases the house property out of that money. In this case, assessee is not the treated as deemed owner of the property but any rental income arising to the spouse will be taxable for the assessee as per clubbing provisions.

III. The holder of an Impartible estate is deemed to be the owner of all the properties comprised in the estate. A HUF property belongs to its members. But until the partition, HUF is the holder and therefore deemed as owner under house property

IV. A member of a Co-operative Society, Company or an Association of persons to whom a building/ flat is allotted under a house building scheme of the society, company or association, shall be deemed to be the owner of that property, although the co-operative society/ company/ association is the legal owner of that building.

V. Person in possession of a property:- A person who is allowed to take the possession of the property by way of " power of attorney" transactions (as per section 53A of Transfer of property Act), will be deemed to be the deemed owner of the properties.

if the following conditions are satisfied :-

- Possession of the property has been handed over to the buyer.
- Sale consideration has been paid to the seller by the buyer.
- Sale deed has not been executed in favour of the buyer , although certain other documents like power of attorney / agreement to sell ,have been executed.

VI. A person, who acquires a property on lease of 12 years or more, shall be deemed to be owner of property. If right of extension is given to lessee, then aggregate period is considered for such purpose.

3. PROPERTY IN A FOREIGN COUNTRY

If foreign property is taxed in India, it will be taxable under the head ' Income from house property' and its annual value shall be computed as if the property is situated in India. In computing annual value of such a house property, municipal taxes levied by a local authority of foreign country and which have been paid are to be deducted in computing the annual value.

4. DISPUTED OWNERSHIP

Mere dispute as to ownership cannot hold up an assessment. Income tax department will decides based on the facts of each case, as to who is the owner of the property. Generally, the one, who is receiving the rent or is having the possession of the house property, shall be declared as owner and is thus taxable under this head.

5. ASSESSEE ENGAGED IN PROPERTY DEALING BUSINESS:

Supreme Court in East India Housing and Land Development Trust Ltd. vs. CIT (1961) held that if an assessee is dealing in purchasing and selling buildings, Rental income received from such buildings upto they are owned by the assessee will be taxable under house property

6. LETTING OUT IS SUBSERVIENT AND INCIDENTAL TO THE MAIN BUSINESS

As per CIT v. Delhi Cloth & General Mills Co. Ltd., if an assessee constructs residential quarter's & lets them out to his employees & letting out of residential quarter's is only related to business, i.e. it is not main business of assessee, then income is taxable as business income & not income from house property.

- In the same way it was held in CIT v. National News prints & Paper Mills Ltd., that if the assesse makes its accommodation available to Govt. for locating a branch of nationalised bank, post office, police station, central excise office etc., with the aim of carrying on its business efficiently and smoothly, rent collected is taxable as business income and not as house property income.

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7. EXEMPTIONS REGARDING INCOME FROM HOUSE PROPERTY :-

B. Income from farm house. [Section 10(1)]
C. Annual value of one palace of ex-Indian Ruler. [Section 10(19A)]
D. Property used for own business or profession [Section 22]
E. One self-occupied property.[Section 22]
F. Income from property owned by:
   i. Local authority; [Section 10(22)
   ii. Scientific Research Association; [Section 10(21)]
   iii. University, college etc.; [Section 10(23 C)]
   iv. Hospital; [Section 10(23C)]
   v. Games or sports association; [Section 10(23)]
   vi. Trade union; [Section 10(24)]
   vii. Charitable trust; [Section 11]
   viii. Political party. [Section 13A]

8. PROPERTY OWNED BY CO-OWNERS [SECTION 26]

- If a property is owned by two or more persons, who are knows as co- owners
- their share in property is definite and ascertainable
- then the share of each co-owner in the income of the property (as computed under the head "Income from house property")
- Shall be included in the total income of each such person.

Special point :

1) The benefit of Section 24(b) to the extent of Rs. 30,000 / Rs. 2,00,000 is available to each of the co-owner, if used for own residence
2) The co-owners shall be assessed as an Association of Persons if the share is not definite

9. TREATMENT OF LOSS

If the IFHP is negative, it will first be adjusted against other positive incomes under the same head, i.e. it will first be adjusted against other positive incomes of house property and if the loss cannot be fully adjusted then balance will be adjusted against other incomes under other heads of income like salary income, business income etc. [Section 70 & Section 71].

If, still some amount is left to be adjusted, then it is carried forward for next years to be adjusted against house property income only. It means during the current year of loss, the house property losses can be adjusted against other heads of income, but during subsequent years [maximum 8 years] it can be adjusted only against house property incomes. [Section 71B].

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CHAPTER – 5
INCOME UNDER THE HEAD PROFIT & GAINS OF BUSINESS OR PROFESSION

PGBP – 1 : BASICS

Section 28 : Following Incomes are chargeable under "P/G/B/P"

a) Profit of any Business or Profession carried by assessee **at any time** during P/Y

b) **Partner of a Firm**.
Any Interest, Salary, Bonus, Commission, or any type of remuneration due /received from Firm.

c) **Compensation due or received**.
- Termination/Modification of agreement for managing a Company.
- Termination/modification of terms of Agency.
- Vesting in Govt, management of any property/business under any law.

d) Non-Compete fees & Exclusivity rights.
Any sum received/receivable in Cash or Kind under an agreement for:
1) Not carrying out any activity in relation to any business **or profession**,
2) Not sharing any know-how, patent, copyright etc., and any similar right.

e) Benefits/Perquisites in cash or kind arising from carrying on business or profession

f) Sum received under Keyman Insurance Policy including bonus on such policy

g) Export Incentives like
- Sale of Import license.
- Cash assistance against Export.
- Duty drawback of Customs/Excise.
- Profit on transfer of duty entitlement pass book scheme

h) Income derived by trade, professional association from Specific services performed for its member.

i) Any sum in relation to capital asset which is allowed as deduction u/s 35AD

Special Points:

1. Sec 2(13) : Business includes any Trade, Commerce or manufacture or any Adventure or concern in the nature of trade, commerce or manufacture
2. Sec 2(29BA) : Manufacture means A change in non living physical object or article
   - Resulting in transformation of object or article into a New and Distinct object or article having a different name, character or use

- Bringing into existence of a new object or article with a Different chemical composition or integral structure

3. Sec 2(36): Profession includes vocation
4. Illegal Business : From Income Tax point of view, even profits of illegal business are taxable under P/G/B/P.
5. Speculation Business : Where speculative transaction is of such a nature as to constitute a business, such speculation business shall be deemed to distinct & separate from any business.
6. Business Loss :Business Income includes business losses provided they are of revenue nature, real losses & are incidental to carrying on business

Method of Accounting (Sec. 145)

- Income under head P/G/B/P & Income under head Other Sources is to be calculated on basis of Cash or Mercantile basis of accounting regularly employed by the assessee
- And in accordance with Income computation & Disclosure standards notified by Central Government

  Where the AO is not satisfied about the
  - correctness or completeness of the accounts of assessee, or
  - where the method of accounting have not been regularly followed by the assessee
  - Income has not been computed in accordance with the standards notified
  - the AO may make an assessment u/s 144

Income computation & Disclosure standards notified by Central Government

ICDS I : Accounting Policies
ICDS II : Valuation of Inventories
ICDS III : Construction Contracts
ICDS IV : Revenue Recognition
ICDS V : Tangible Fixed Assets
ICDS VI : Effects of Changes in Foreign Exchange Rates
ICDS VII : Government Grants
ICDS VIII : Securities
ICDS IX : Borrowing Costs
ICDS X : Provisions, Contingent Liabilities and Contingent Assets

PGBP – 2: ALLOWABLE DEDUCTIONS

Section 32 : DEPRECIATION

Depreciation shall be allowed if all the following conditions are satisfied:

1. Specified Assets :Only the following types of assets are eligible for Depreciation.

- Tangible Assets : Building, Machinery, Plant or Furniture.
- Intangible Assets : Know-how, patent, copyright, trademark, licence, franchise or other rights

2. Purpose: The specified assets should be used for Business or Profession of assessee.
3. Ownership: The specified assets can be Wholly or partly owned by assessee during the previous year.
4. Basis of Depreciation: Depreciation shall be calculated as

[Rate of Depreciation] X [WDV of the Block Of Asset as on last day of the P/Y]

BLOCK OF ASSET

- Group of assets falling within a class of assets
- Comprising of Tangible assets and Intangible assets
- In respect of which same percentage of depreciation is prescribed.

WRITTEN DOWN VALUE (WDV)

WDV of block of assets at the beginning of relevant P/Y	**A**
Add : Actual Cost of asset belonging to that block acquired during P/Y	**B**
Less : Money Receivable on assets sold, discarded, demolished or destroyed during previous year including Scrap Value	**C**
WDV of the block of asset as on the last day relevant P/Y	**A+B-C**

Special point: Where the income of an assessee is derived in **Part from Agriculture & in Part from P/G/B/P**, for computing WDV, the total amount of depreciation shall be computed as if the entire income is derived from the business of the assessee under the head P/G/B/P

RATES OF DEPRECIATION

TYPES OF ASSETS	**% Depreciation**
Building :	
- Residential	5 %
- Non Residential	**10 %**
- Temporary Structure	100 %
Furniture & Fittings including Electrical Fittings	**10%**
Plant & Machinery :	
- Books owned by assessee carrying on Profession, being annual publications	100%
- Books owned by assessee carrying on Business of running lending Libraries	100%
- Air & Water Pollution control equipments	100%

- Energy saving device, renewal energy device **(Wind Mills Installed on or after 1/4/12 depreciation reduced to 15%)**	80%
- Books owned by assessee carrying on Profession, other than annual publications	60%
- COMPUTER including computer software	60%
- Aero planes	40%
- Motor car, buses, lorries etc used for hire	30%
- Ships	20%
- Motor car used for Business & Profession	15%
- General rate of other machinery	**15%**
Intangible Assets :	**25%**

Special Points :

1. **Plant** Includes Ships, Vehicles, Books, Scientific Apparatus & Surgical Equipment used for business or profession and does not include Tea Bushes, Live Stock , Building or furniture & fixtures.
2. Building includes Roads, Bridges, Wells, Tube wells.
3. Residential Building mean building in which **at least 2/3rd** of built-up area is used for residential purposes.

Depreciation Restricted to 50%

- Where assets acquired during previous year
- and put to use for less than 180 days in that previous year
- Then depreciation on that asset restricted to 50% of normal rate
- for that previous year only

Additional Depreciation

a. General Case :
   - Assessee engaged in the business of manufacture or production of any article or thing or "In business of Generation, Transmission or Distribution of power
   - New Machinery or plant acquired and installed (other than ships & aircraft)

b. Specific case :
   - Assessee, sets up an undertaking for manufacture or production of any article or thing,
   - On or after the 1st day of April, 2015
   - In any backward area notified by Central Government in this behalf,
   - In Andhra Pradesh or Bihar or Telangana or West Bengal,
   - Acquires and installs any new machinery or plant (other than ships and aircraft)
   - for the purposes of the said undertaking
   - during 1/4/15 and 31/3/2020 in the said backward area

c. Conditions to be satisfied:
   - P&M should not be used by any person in India or outside India before date of installation by assessee.

- P&M not installed in office premises or in residential accommodation including a guest house.
- P&M should not be an office appliance or road transport vehicle.
- Whole of actual cost of P&M not allowed as deduction under P/G/B/P of any one previous year.

d. Quantum of Increased Depreciation

General case : 20% for the P/Y in which conditions are satisfied
(If acquired and put to use for less than 180 days then 10% & balance 10% next year

Special case : 35% for the P/Y in which conditions are satisfied
(If acquired and put to use for less than 180 days then 17.5% & balance 17.5% next year

Proportionate Depreciation

- In case of successionRs. of Partnership Firm by a Company u/s 47 or
- Conversion of Private Company or Unlisted Public Company into a LLP u/s 47
- Succession of Proprietary Concern by a Company u/s 47or
- Amalgamation or De merger or
- Other cases of Succession otherwise on death
  - Depreciation allowable for the P/Y in which the above succession takes place
  - Shall be apportioned between the Predecessor & Successor
  - On the basis of Number of days the assets used by them during that P/Y.

Section 43(1) : Actual Cost

Means actual cost of the asset to the assessee reduced by that portion of the cost, which is met directly or indirectly by any other person or authority

Explanations to section 43(1)	**Notional Actual Cost**
Asset ceases to be used for Scientific research & now to be used for B/P of the Assessee.	Actual Cost to Assessee **Less:** Deduction claimed u/s.35
Asset belonging to other person is gifted or inherited by the Assessee	Actual cost to other person **Less:** Deduction allowed to previous owner as if only asset in block
Asset belonging to other person , used for the purpose of his business or profession is transferred to Assessee and AO is satisfied that transfer is to reduce Income tax liability	Amount determined by AO with prior approval of Joint Commissioner
Building belonging to assessee brought into B&P during P/Y	Actual cost **Less** Depreciation allowable as if building used for B&P since its acquisition.
Interest paid or payable for acquiring an asset	Will not be added to actual cost after asset first put to use.
Where an asset is acquired on which Excise, Custom duty is repayable	Actual cost reduced by Excise, Custom Duty repayable

Where portion of cost of an asset met by Central Government, State Government, Authority or other person	
If Subsidy, Grant etc., is directly related to the asset	Actual cost reduced by value of subsidy
If Subsidy, Grant etc., is not directly related to an asset but a consolidated sum	Actual cost reduced by proportionate amount of subsidy.
Capital asset on which deduction has been allowed u/s 35AD	NIL

If there is any payment exceeding Rs. 10000/- in a day for purchase of any asset or to any creditor for purchase of such asset, otherwise than through an a/c payee cheque or a/c payee bank draft or use of ECS through a bank account then such payment will not //be considered for determining actual cost of asset as per Sec. 43(1) for the purpose of Sec. 28 to 41, therefore depreciation will not be allowed on such payment exceeding Rs. 10000/-.

MISCELLANEOUS ISSUES OF DEPRECIATION

1. **Is it mandatory to claim depreciation:**

   Explanation to Sec. 32 : Depreciation provisions shall apply whether or not the assessee has claimed deduction for depreciation.

2. **Carry forward and set off of unabsorbed depreciation [Sec. 32(2)]**
   a. Deduct current year depreciation from current year income under P/G/B/P.
   b. If current year P/G/B/P is insufficient deduct balance depreciation from other head of income for same previous year.[Except Salary & Casual income]
   c. Even if incomes under other heads insufficient, it is unabsorbed depreciation which will be carried forward for **any number** of assessment years.
   d. In the next assessment years ,b/f unabsorbed depr will be added to current year depreciation and again step 1 to step 4 will be followed

   However, if B/F losses are also there in a previous year along with B/F unabsorbed depr, then priority of set off shall be as follows
   - 1st setoff current year depreciation
   - Then setoff brought forward losses
   - Then setoff unabsorbed depreciation.

Special point :

1. The business or profession of which depreciation was computed need not be carried on in the previous year in which b/f depr is set off.

2. Depreciation can be c/f only by the **same assessee**. i.e Assessee who has claimed the deduction for depreciation and the assessee who wants to carry forward the depr. must be the same.

Exceptions to 2nd point:

a) Firm succeeded by a company u/s 47

b) Proprietary concern succeeded by a Company u/s 47

c) Amalgamation or Demerger

PGBP – III : Other Allowable deductions

Section 30 : Rent, Repairs, Taxes & Insurance for Buildings used for B&P

If assessee is a Owner, following deductions shall be allowed to him

- Revenue Repairs
- Municipal Taxes (Subject to 43B)
- Insurance Premium for insurance of building

If assessee is a TENANT, following deductions shall be allowed to him

- Rent & following expenses if borne by him
- Revenue Repairs
- Municipal Taxes
- Insurance Premium for insurance of building

Section 31 : Machinery, Plant & Furniture used for B&P

- Following deductions shall be allowed:
- Revenue Repairs
- Insurance Premium of such Plant, Machinery & Furniture

Asset not exclusively used for Business or Profession [Sec. 38(2)]

- Where Building, Machinery, Plant or Furniture
- Not exclusively used for Business or Profession
- Then deduction u/s. 30, 31, 32
- Shall be restricted to such fair proportion as AO may determine for purpose of business or profession.

Sec. 43B: Certain deductions on Actual Payment Basis

- **Overriding other provisions of IT Act**
- If assessee is maintaining **accrual** basis of accounting
- **Specified Expenses** which are **allowable under other sections**
- Shall be allowed only in **Previous year** in which such expenditure is **actually paid**

Specified Expenses						
Tax, duty under	Employer Contribution to Provident fund, Superannuation	Bonus or Commission to employee	Interest on Loan from Public Financial	Interest on any loan or advance from schedule bank or	Payment of leave Salary to employee	**Sum payable to Indian**

any law	fund, Gratuity Fund or welfare fund		Institution, State Financial Corporation **or** state industrial investment corporation	**cooperative banks other than a primary agricultural credit society or a primary cooperative agricultural and rural development bank**		**Railways for use of railway assets**

Special point :

- Provision of Sec. 43B Shall not apply
- for the P/Y in which liability to pay such sum was incurred
- If such sum is **Actually Paid** by Assessee
- On or before the **due date of return u/s. 139(1)**
- And evidence of such payment is furnished along with ROI

Section 36(1) : **Expenses allowed from Business/Profession**

1. Premium for insurance of Stock in trade used for Business or Profession.
2. Premium by employer for Health insurance of his employees by any mode other than cash under a approved scheme
3. Bonus or Commission to employee provided such bonus or commission is not payable as Dividend. (Subject to sec 43B)
4. Interest on Capital Borrowed for the purpose of Business or Profession. (Subject to sec 43B)
5. Prorata amount of Discount on a Zero Coupon Bond.
6. Employer contribution towards Recognised Provident Fund or Approved Superannuation Fund or Approved Gratuity Fund. (Subject to sec 43B)
7. Employer contribution towards a pension scheme u/s 80CCD, on account of an employee upto 10% Salary of the employee in the previous year. [Refer Chapter Deductions] (Subject to sec 43B)
8. Sum received by employer as employee contribution to Provident Fund, Superannuation Fund or under other welfare fund provided such amount is credited by employer in account of employee upto due date of relevant fund

Special Point :

Sec 2(24) : Amount received by employer from employee as contribution to Provident Fund,

Superannuation Fund or other welfare fund, shall be treated as **deemed income** of such employer.

If the employer satisfies condition of sec 36(1) then he will be entitled to deduction of such amount.

9. Animals used for Business or Profession (not as S.I.T) & have died or become useless for such purpose Deduction of Difference between actual cost to such assessee & realisation (if any) from sale of carcass of such animal.

10. Bad debt is written off as irrecoverable in accounts of assessee during p/y Provided such debt should have been taken into account for computing income of any P/Y

Special Points:

1. Where assessee deals in money lending or is a Bank, income condition need not be satisfied.
2. No deduction is allowed for provision made for bad & doubtful debt (Except Next deduction)
3. Sec. 41(4) : Subsequent recovery of written off bad debt.
   - Where deduction claimed upto 36(1)for any previous year
   - and subsequently amount is recovered,
   - than such amount shall be the income under P/G/B/P
   - of P/Y in which recovered.

However,

a) Assessee claiming Bad Debt & who recovers the bad debt should be same

b) It is not necessary business is in existence in previous year of recovery.

11. Provision for bad and doubtful debts made by—

(a) Bank or a co-operative bank : Upto 7.5% of Gross Total Income (computed before making this deductio) + upto 10% of aggregate average advances made by rural branches of such bank

(b) Foreign Banks/Public financial institution/Sate financial corporation/State industrial investment corporation/Non Banking financial company : Upto 5% of Gross Total Income (computed before making this deduction)

12. Special reserve created and maintained by a specified entity,

Deduction : Least of following

a) 20% of profits derived from eligible business computed under head "PGBP" (before making this deduction)
b) Profit transferred to special reserve account:
c) 2 x {[Paid up share capital + General reserves as on last day of P/Y] – [Balance of special reserve A/c on 1st day of P/Y] }

Special Point :

(a) "Specified entity" means ,

i. Financial corporation u/s 4A of the Companies Act;
ii. Financial corporation which is a public sector company;
iii. Banking company;
iv. Co-operative bank other than a primary agricultural credit society or a primary

v. co-operative agricultural and rural development bank;

vi. Housing finance company; and

(b) "Eligible business" means ,

i. providing long-term finance for

- industrial or agricultural development;
- development of infrastructure facility in India; or
- development of housing in India;

(c) "long-term finance" means any loan where the terms under which moneys are loaned for repayment along with interest during a period of not less than five years;

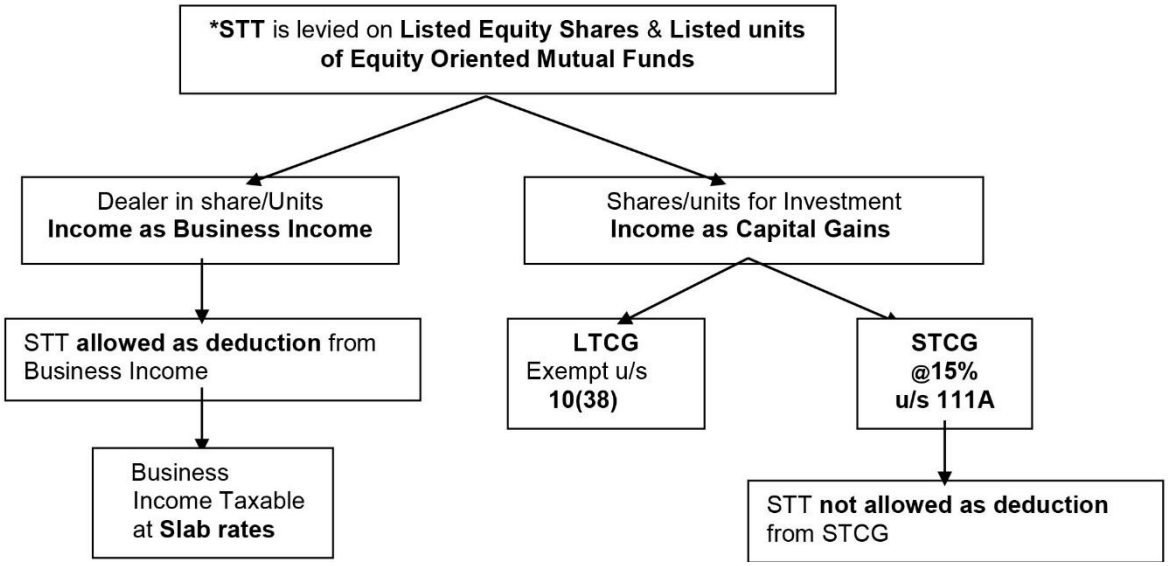
13. Expenditure incurred by Company

- for promoting Family Planning among Employees
- If expenditure is Revenue Expenditure : 100% allowed in P/Y in which incurred
- If expenditure is Capital Expenditure :Allowed in 5 equal installments from P/Y in which incurred

Special Points:

Sale of family planning capital assets treatment same as sale of scientific research capital asset

14. Security Transaction Tax (STT) on Transaction arising in course of Business or profession.



15. Commodities Transaction Tax (CTT) in respect of Specified Commodities Transactions if the income arising from such transactions is chargeable under Business or Profession.

Special Point :

Commodities Transaction Tax is levied on every taxable commodities transaction, being sale of commodity derivative @ 0.01 % on value of such transaction & such tax shall be payable by the seller.

Specified Commodities Transaction means a transaction of sale of commodity derivatives in respect of commodities, other than agricultural commodities, traded in recognised associations.

16. Expenditure incurred by a co-operative society engaged in the business of manufacture of sugar for purchase of sugarcane at a price which is equal to or less than price fixed or approved by Government.

Sec. 37(1) : GENERAL DEDUCTION

If an expenditure fulfills ALL the below conditions it will allowed u/s 37(1)

- If not covered under Sec. 30 to Sec. 36
- If incurred during P/Y wholly & exclusively for B/P
- If not of Capital Nature
- If Not a personal expense of Assessee

Special Points:

1. Expenditure of any purpose which relates to any Offence or which is prohibited by law shall not be allowed a deduction
2. Sec 37(2B) : Expenditure on advertisement in any Newspaper, Magazine, souvenir, pamphlet etc. of a political party is not allowed as deduction
3. Any expenditure incurred on corporate social responsibility u/s 135 of Companies Act, 2013 shall not be allowed as deduction u/s 37(1)

PGBP – IV : Disallowances

Sec. 40(a) : Expenses not deductible

Overriding Sec 30 to Sec 38

1. Expenditure to Non resident without TDS
   - Expenditure during P/Y of Interest ,Royalty, fees for technical services or other sum chargeable under this act (other than salary)
   - Payable to Non-Resident
   - No Deduction of such expenses shall be allowed if
   - Tax has been not been deducted at source or after deduction has not been deposited upto due date of return(DDR) u/s 139(1)
   - However, if deducted in later p/y or deducted earlier but deposited after DDR, then deduction will be allowed in p/y in which it is actually deposited

2. Expenditure to Resident
   - Incurs Any Expenditure subject to TDS during P/Y
   - Payable to a Resident

- 30% of such expenditure shall be disallowed allowed if
- Tax has not been deducted at source or after deduction has not been deposited Upto Due Date of Return u/s 139(1)
- However ,if deducted in later p/y or deducted earlier but deposited after above DDR, then 30% of such expenditure shall be allowed as deduction in previous year in which it is actually deposited.

  Special point : If Payer fails to deduct tax for above payment to resident payee but is not deemed as assessee in default as resident payee has directly paid the tax , than it shall be deemed that payer has deducted & paid the tax on such sum on date of furnishing of return of income by the resident payee

3. Income Tax shall not be allowed as deduction.

4. Royalty / Licence fee / Service fee / Privilege fee / Service charge by State Government undertaking to State Government

Special point :

State Government undertaking includes—

(i) Corporation established under any Act of State Government

(ii) Company in which more than 50%of paid-up equity share capital is held by State Government

(iii)Undertaking in which State Government has the right to appoint the majority of the directors

5. Tax u/s.10(10CC) on Non Monetary Perquisite shall not be allowed deduction.

6. Any consideration to a non-resident for a specified service on which equalisation levy is deductible & such levy has not been deducted or after deduction, has not been paid upto due date u/s 139(1)

Provided that where in respect of any such consideration, the equalisation levy has been deducted in any subsequent year or has been deducted during P/Y but paid after due date u/s139(1), such sum shall be allowed as deduction in computing income of P/Y in which such levy has been paid.

Sec. 40A(2) : Expense greater than Market value

- Expenditure by which payment made /is to be made to Specified Person
- AO may disallow so much expenditure as he consider Excessive or Unreasonable
- Having regard to
- FMV of goods or service for which payment made or legitimate needs of business.

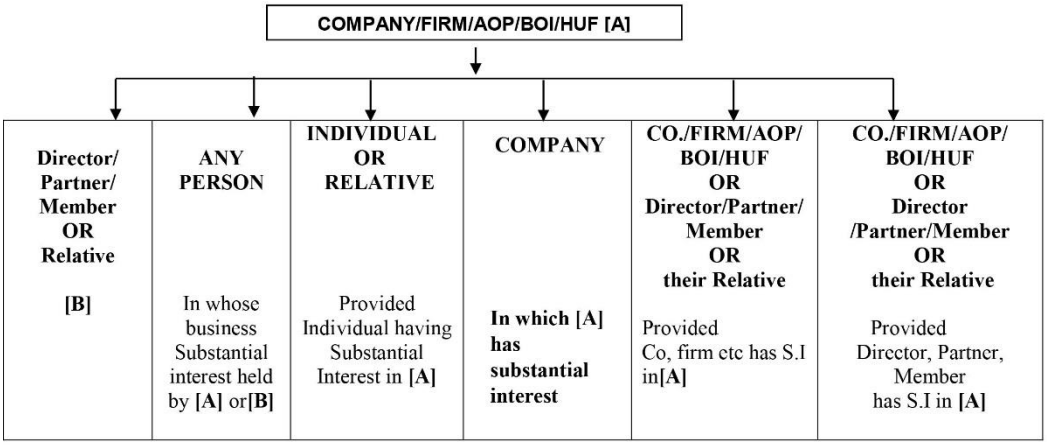
Special Points :

1. Specified Persons :

i. Where assessee is an Individual.

- His Relative
- Entity In which such Individual or his Relative has Substantial Interest

ii. Where Assessee is :



2. A Person has Substantial Interest in

- Company, if he holds at any time during the P/Y beneficial ownership of at least 20% Equity Shares in that company
- Other than company, if he is at any time during the P/Y entitled to at least 20% profits

3. Disallowance u/s 40A(2) shall be made in respect of a specified domestic transaction referred to in section 92BA, if such transaction is not at arm's length price as defined in 92F.

Sec. 40A(3): Expenditure in cash

Expenditure of a sum in excess of Rs. 10,000 AND

Payment or aggregate of payments made to a person in a day, in excess of Rs. 10,000 otherwise than by account payee cheque or account payee bank draft or use of ECS through a bank account

Then No Deduction of such expenditure shall be allowed

Special Point : <u>The limit for Payment for plying, hiring or leasing goods carriages is Rs.35,000</u>

Special Point :

- Where an **expenditure is allowed** during any previous year
- and in subsequent previous year
- the assessee makes payment in respect thereof
- in excess of twenty thousand rupees otherwise than by an account payee cheque or account payee bank draft or use of ECS through a bank account
- the payment so made
- shall be **Deemed to be P/G/B/P** Income of subsequent P/Y

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Exceptions to Sec. 40A(3) : Rule 6DD

No disallowance in the following cases even if payment greater than 10,000 is made otherwise by Account payee cheque or Account payee bank draft or use of ECS through a bank account

a) Payment to Banks, LIC
b) To Government.
c) Payment through letter of credit, telegraphic transfer, bill of exchange, ECS, credit card or debit card
d) Payment to cultivator or producer of agriculture, forest, animal husbandry, dairy, poultry farming or fish products.
e) Payment for purchase of products manufactured by producer without aid of power in a cottage industry.
f) Payment in a village or town not served by any bank on date of payment to a person who resides in such village or carrying on his business, profession or vocation in such village
g) Payment to an employee or his legal heir of gratuity, retrenchment compensation or similar terminal benefit provided aggregate of such amount does not exceed Rs. 50,000
h) Payment on the day on which banks were closed on account of holiday or strike.

If there is any payment exceeding Rs. 10000/- in a day for purchase of any asset or to any creditor for purchase of such asset, otherwise than through an a/c payee cheque or a/c payee bank draft or use of ECS through a bank account then such payment will not //be considered for determining actual cost of asset as per Sec. 43(1) for the purpose of Sec. 28 to 41, therefore depreciation will not be allowed on such payment exceeding Rs. 10000/-.

Sec. 40A(7) : Disallowance for Gratuity

No deduction shall be allowed of any provision made by the Assessee being an Employer for payment of Gratuity to his employees unless provision made

- Towards **Approved** Gratuity Fund or
- For payment of gratuity actually becoming payable during P/Y

Sec 40A(9):Employer contribution towards funds required by law

No deduction shall be allowed of sum paid by employer towards the setting up/formation or as contribution to any fund not required to be kept under law

Sec. 40(b) : Salary /Interest by Firm to Partner

- Partnership firm/LLP shall be allowed deduction of
- Salary, Bonus, commission or other remuneration to **Working Partner** and
- Interest to **Any Partner**
- Subject to certain **conditions**

Working Partner : Individual who is actively engaged in conducting the affairs of Business or Profession of the firm of which he is a partner.

Analysis of sec 40(b)

Type	**Salary/Bonus/Commission/other Remuneration**		**Interest on Capital**
Partner	Working Partner		All Partner
Partnership deed	Authorized by the terms of Partnership Deed		Authorized by the terms of Partnership Deed
Prospective	Such payment should relate to period after date of Partnership Deed.		Such payment should relate to period after date of partnership Deed
Amount of deduction	Book Profits	Maximum Deduction	Upto 12 % P.a
	First 3,00,000 (Including Loss)	Rs. 1,50,000 or 90% Book profits (whichever is more)	
	Balance Book profit	60% of Book Profit	

Computation of Book Profits

1. Compute Net profit of firm under head P/G/B/P after making adjustments as per Sec 29 to 43D
2. Add Remuneration to working partner (if Debited to P&L A/C)

Tax treatments in Hands of Partner

Type of Payment	**Working Partner**	**Non working Partner**
Salary from firm	Taxable to extent allowed as deduction to firm	Not Taxable
Interest from firm	Taxable upto 12%	Taxable upto 12%
Share of Profit	Exempt U/s 10(2A)	Exempt u/s 10(2A)

Sec. 44AA : Maintenance of accounts

Sec 2(12A):Books or books of accounts includes ledgers, day-books, cash books, account-books and other books, whether kept in the written form or as print-outs of data stored in a floppy, disc, tape or any other form of electro-magnetic data storage device

Specified Profession		**Non specified Profession / Business**	
Gross Receipt exceeds Rs.1,50,000 in ALL the 3 years immediately preceding P/Y	Other case	Individual/HUF : Gross Receipt exceeds Rs.25,00,000 OR	Other case

OR where profession is newly setup in P/Y, above limits are likely to exceed for that P/Y		P/G/B/P exceeds Rs.2,50,000 in Any of 3 years preceding P/Y OR where profession is newly setup in P/Y, above limits are likely to exceed for that P/Y Other than Individual/HUF : Gross Receipt exceeds Rs.10,00,000 OR P/G/B/P exceeds Rs.1,20,000 in Any of 3 years preceding P/Y OR where profession is newly setup in P/Y, above limits are likely to exceed for that P/Y	
Specified books of accounts has to be maintained for that P/Y	Such books of accounts has be maintained that will enable the AO to compute his TI (i.e. Cash Book, & Ledger)		Not required to Maintain any books of accounts

Special Points :

1. Specified profession : Legal, Medical, Engineering, Architectural, Accountancy, Technical Consultancy, Interior decoration or other notified profession
2. Specified books of accounts :
   a. Journal (if accounts on mercantile basis).
   b. Cash Book & Ledger.
   c. Carbon copies of bill issued exceeding Rs.25
   d. Original bills or receipts received for exp. incurred exceeding Rs.50
   e. Payment vouchers prepared and signed for exp. incurred upto Rs.50

   These books are required to be kept and maintained for 6 years from end of relevant A/Y
3. A person carrying on **Medical Profession**, in addition to above shall maintain :
   f. A **daily case register** in Form 3C.
   g. A **stock register** showing inventory as on the 1st and last day of p/y of stock of drugs, medicines and other consumable accessories used for profession.

Sec. 44AB: Compulsory Audit of Accounts

PROFESSION:

Compulsory audit of accounts for that P/Y in which Fees/Gross receipts exceeds Rs.50,00,000

BUSINESS:

Compulsory audit of accounts for that P/Y in which Sales/Gross receipts exceed Rs.1,00,00,000

Income claimed to lower than the presumptive limit

Where the assessee is covered under section 44AD, 44ADA, 44AE, (44BB or 44BBB)5 and claims that the profits and gains from business are lower than the profits and gains computed on a presumptive basis. In such cases, the normal monetary limits for tax audit in respect of business would not apply.

Special Points:

Accounts have to be audited u/s. 44AB by a CA before due date u/s 139(1) and also the audit report is to be furnished on or before the said date.

COMPUTATION OF P/G/B/P ON PRESUMPTIVE BASIS

		SEC 44AD	**SEC 44ADA**	**SEC 44AE**
1	Overriding	Sec 28 to 43C	Sec 28 to 43C	Sec 28 to 43C
2	Assessee	Resident Individual, Resident HUF or Resident Partnership Firm Excluding LLP	Resident Individual, Resident HUF or resident Partnership Firm Excluding	Any Assessee (Resident/Non Resident)
3	Business	Any Business except business u/s 44AE EXCEPTION : i. Specified Profession u/s 44AA or ii. income of commission or brokerage iii. (iii) Agency business	Specified Profession u/s 44AA	Plying, Hiring or Leasing goods carriage
4	Limitations	Provided Gross receipts/turnover does not exceeds 2 Cr	Provided Gross receipts does not exceeds 50 lacs	Owns not more than 10 goods carriage at any time during p/y
5	Deemed P/G/B/P	8 % of Gross Receipts/ Turnover in P/Y however he can claim his income to be 6% of the total payments received digitally i.e. through	50% of the total gross receipts	Rs. 7,500/- pm (or part) for every good carriage owned during p/y

		Cheque / DD/Debit cards / Credit cards or any other cashless mode.		
6	Deductions under PGBP	No deduction u/s Sec. 30 to 38 shall be allowed from Deemed income	No deduction u/s Sec. 30 to 38 shall be allowed from Deemed income	No deduction u/s Sec. 30 to 38 shall be allowed from Deemed income
7	B/F losses	Set off of Brought Forward losses Shall be available	Set off of Brought Forward losses Shall be available	Set off of brought Forward losses Shall be available
8	Benefits	If assessee declares Deemed income or any amount higher, then no requirement to maintain books u/s 44AA or to get audit u/s 44AB	If assessee declares Deemed income or any amount higher, then no requirement to maintain books u/s 44AA or to get audit u/s 44AB	If assessee declares deemed income or any amount higher, then no requirement to maintain books u/s 44AA or to get audit u/s 44AB

Special point :

1. Sec 44AD : Where assessee declares profit for any P/Y u/s 44AD & he declares profit for any of 5 P/Y succeeding such P/Y not in accordance with sec 44AD, he shall not be eligible to claim the benefit of this section for 5 subsequent P/Y from P/Y in which the profit has not been declared.

Example:

Let us consider the following particulars relating to a resident individual, Mr. A,being an eligible assesse whose gross receipts do not exceed Rs. 2 crore in any of the assessment years between A.Y.2018-19 to A.Y.2020-21

Particulars	**AY 2018-19**	**AY 2019-20**	**AY 2020-21**
Gross receipts	1,80,00,000	1,90,00,000	2,00,00,000
Income offered for taxation	14,40,000	15,20,000	10,00,000
% of Gross Receipts	8%	8%	5%
Offered income as per Presumptive taxation scheme u/s 44AD	Yes	Yes	Yes

In the above case, Mr. A, an eligible assessee, opts for presumptive taxation under section 44AD for A.Y.2018-19 and A.Y.2019-20 and offers income of Rs.14.40 lakh and Rs. 15.20 lakh on gross receipts of Rs.1.80 crore and Rs1.90 crore, respectively. However, for A.Y.2020-21, he offers income of only Rs. 10 lakh on turnover of Rs. 2 crore, which amounts to 5% of his gross receipts. He maintains books of account under section 44AA and gets the same audited under section 44AB. Since he has not offered income in accordance with the provisions of

section 44AD(1) for five consecutive assessment years, after A.Y. 2018-19, he will not be eligible to claim the benefit of section 44AD for next five assessment years succeeding A.Y.2020-21 i.e., from A.Y.2021-22 to 2025-26.

Eligible assessee to whom above provisions are applicable & whose total income exceeds exemption limit, shall be required to keep and maintain such books of account u/s 44AA & get them audited and furnish a report of such audit as required u/s 44AB.

2. Sec 44AE : Assessee covered u/s 44AE & disclosing lower profits than deemed profits, shall be required to keep and maintain such books of account u/s 44AA & get them audited and furnish a report of such audit as required u/s 44AB

Sec 44ADA : Profits and gains of profession on presumptive basis.

1. Overriding : Notwithstanding anything contained in sections 28 to 43C
2. Assessee : Resident in India, who is engaged in specified profession u/s 44AA & whose Gross receipts is upto 50 lakh in a P/Y.
3. Sum Deemed as business profits : 50% of Total Gross Receipts in P/Y or sum higher claimed to have been earned by the assesse
4. Deductions : Deduction u/s 30 to 38 shall be deemed to have been allowed and no further deduction under those sections shall be allowed.
5. WDV of block : The WDV of any asset used for purposes of profession shall be deemed to have been calculated as if the assessee had claimed and had been actually allowed the deduction in respect of the depreciation for each of the relevant A/Y.
6. Lower Profits : An assessee who claims that his profits from profession are lower than deemed profits & whose total income exceeds exemption limit shall be required to keep & maintain such books of account and other documents u/s 44AA and get them audited and furnish a report of such audit as required u/s 44AB.

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CHAPTER – 6
INCOME UNDER THE HEAD CAPITAL GAINS

Sec. 2(14) : Capital Asset

Capital asset means—

A. Property of any kind held by assessee, whether or not connected with his business or profession
B. Any securities held by Foreign Institutional Investor(FII) which has invested as per SEBI Regulations

but does not include—

1. Any stock-in-trade [other than securities referred to in sub-clause (b)
2. Personal Effects
   - Movable property (including wearing apparel & furniture)
   - for personal use of
   - assessee or for dependent family member.

   Personal effects excludes the following
   a. Jewellery
   b. Archaeological collections
   c. Drawings
   d. Paintings
   e. Sculptures
   f. Any work of art

Special Point

Jewellery Includes	
Ornaments of Gold, Silver, Platinum or Other precious Metal With or without precious/semi-precious stones & whether or not worked into wearing apparel	**Precious or Semi-precious stones** Whether or not set in furniture, utensil or other article and whether or not worked into weaning apparel

3. Agricultural Land in India situated in RURAL AREA

   Following types of Agricultural Lands are Capital Assets
   a) Agricultural Land situated in Urban area of India
   b) Agricultural land situated outside India

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Sec 2(1A) : URBAN AREA

a. Any area within the Jurisdiction of a municipality /Municipal corporation/cantonment board and which has a population of atleast 10,000 OR
b. Any area within the distance, measured aerially,
   (I) Upto 2 kms from local limits of above jurisdiction having population > 10,000 but upto 1,00,000 or
   (II) Upto 6 kms from local limits of above jurisdiction having population > 1,00,000 but upto 10,00,000 or
   (III) Upto 8 kms, from the local limits of above jurisdiction having population of > 10,00,000.

Special point : "Population" means the population according to the last preceding census

4. Gold Deposit Bonds/Certificates issued under Gold deposit scheme,1999 or Gold monetization scheme,2015

Section 2(47): Transfer Includes

(a) Sale, Exchange or Relinquishment of Capital Asset
(b) Extinguishment of any right in a Capital Asset
(c) Compulsory Acquisition of Capital Asset under Any law
(d) Conversion of Capital Asset into Stock in trade of Business
(e) Any transaction in which possession of Immovable Property is givern u/s.53A of Transfer of Property Act
(f) Any transaction (whether by way of tranferring membership/shares in a Coop. Society, Company), which has effect of transferring of Immovable Property
(g) Maturity or Redemption of a zero coupon bond

Types of Capital Gains

There are 2 types of Capital Gains

1. Short Term Capital Gain (STCG): It arises on transfer of Short Term Capital Assets. Sec 2(42A).
2. Long Term Capital Gain (LTCG) : It arises on transfer of Long Term Capital Assets. Sec 2(29A).

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CAPITAL ASSETS		
-Listed Security (other than unit of MF) on recognized stock exchange in India - Unit of UTI or Equity oriented fund - Zero Coupon Bonds	Unlisted shares or An immovable property, being land or building or both	Other Capital Asset

Held for a period Upto 12 months preceding date of transfer	Held for period more than 12 months preceding date of transfer	Held for a period Upto 24 months preceding date of transfer	Held for a period more than 24 months preceding date of transfer	Held for a period Upto 36 months preceding date of transfer	Held for a period more than 36 months preceding date of transfer
Short Term Capital Asset	Long term Capital Asset	Short Term Capital Asset	Long term Capital Asset	Short Term Capital Asset	Short Term Capital Asset

Section 48 : Computation of Capital Gains

Short Term Capital Gain	Long Term Capital Gain
FULL VALUE OF CONSIDERATION (Received or accruing on transfer of STCA) Less : Expenditure Incurred (Wholly & exclusively for transfer) : Cost of Acquisition of STCA : Cost of improvement of STCA	FULL VALUE OF CONSIDERATION (Received or accruing on transfer of LTCA) Less : Expenditure Incurred (Wholly & exclusively for transfer) : Indexed Cost of Acquisition of LTCA : Indexed Cost of Improvement of LTCA

Special Points : No deduction of Security transaction tax whether paid on purchase or sale

Indexed Cost of Acquisition

$$\text{Cost of Acquisition of Capital Asset} \times \frac{\text{Cost inflation index } (\textit{of financial year in which asset } \textbf{\textit{transferred}})}{\text{Cost inflation index } (\textit{of the 1st financial year in which asset } \textbf{\textit{held}} \textit{ by } \textbf{\textit{Assessee}}) \textbf{ or } (\textit{of financial year 2001-2002}), \textit{whichever is later}}$$

Indexed Cost of Improvement

$$\text{Cost of Improvement} \times \frac{\text{Cost inflation index } (\textit{of } \textbf{\textit{financial year}} \textit{ in which asset } \textbf{\textit{transferred}})}{\text{Cost inflation index } (\textit{of } \textbf{\textit{financial years}} \textit{ in which improvement has taken place by Assessee } \textbf{\textit{or/and}} \textit{ Previous Owner})}$$

Cost Inflation Index

Financial Year	Cost Inflation Index	Financial Year	Cost Inflation Index
2001-02	100	2010-11	167
2002-03	105	2011-12	184
2003-04	109	2012-13	200
2004-05	113	2013-14	220
2005-06	117	2014-15	240
2006-07	122	2015-16	254
2007-08	129	2016-17	264
2008-09	137	2017-18	272
2009-10	148	2018-19	280
		2019-2020	289
		2020-2021	301

Special Points:

- In case of LTCA, we take Indexed cost of Acquisition and Indexed cost of Improvement.
- However, where LTCA consists of Debentures & Bonds (other than capital indexed bonds of Government & sovereign gold bonds issued by RBI) , No indexation is to be done

Section 10(37) : Income exempt from compulsory acquisition of land

- Individual or HUF
- Compulsory acquisition of urban agricultural land (LTCA or STCA)
- Used for 2 yrs before date of transfer for agricultural by individual or his parents or HUF
- Compensation received shall be exempt
- from capital gains

Section 10(38) : Income exempt from transfer of certain Capital Assets

- Transfer of equity shares in a company or units of equity oriented fund (LTCA)
- Transaction subjected to security transaction tax on acquisition and transfer.
- Such Capital Gains shall be exempt

Notes: Except transfers notify by government for which the condition of chargeability to Securities Transactions Tax on acquisition shall not be applicable.

Section 111A : STCG on listed equity shares/Listed units of EOMF

- Any assessee transfers Short Term Capital Asset
- being Equity shares or Units in Equity oriented Mutual Fund
- and such transaction is chargeable to security transaction Tax,
- then such STCG shall be chargeable @15%

Section 112A : LTCG on listed equity shares

- Taxable @ 10%, if Capital Gains above 1 lac.

Special Points:

1. Benefits of Slab: Following are some benefits
   - Individual or HUF (Resident)
   - [Total Income] - [Taxable LTCG] - [STCG Taxable @ 15%]
   - Is less than Exemption Limit
   - Such shortfall shall be reduced
   - From Taxable LTCG or
   - STCG taxable @ 15% and
   - Tax shall be payable on balance
2. Restriction of Other Benefits: -
   - Deduction from Sec. 80C to 80U
   - Shall not be allowed
   - [From taxable LTCG], or [STCG taxable @ 15%] or [Casual Incomes]

EXEMPTIONS FROM CAPITAL GAINS *(SEC 54 to 54H)*

Section		54 : Transfer of Residential Property	54B : Transfer of Agricultural Property	54EC : Transfer of LTCA	**54EE :** Investment in units of specified fund.
1	**Assessee**	Individual or HUF	Individual ***or HUF***	Any Assessee	Any Assessee
2	**Capital Asset Transferred**	Residential House	**Urban** Agricultural Land used by assessee / parent for agricultural purpose for min **2 years prior** to date of transfer.	Any Capital Asset	Any Capital Asset
3	**Nature of CA**	**LTCA**	**STCA or LTCA**	**LTCA**	**LTCA**
4	**New Asset**	**One Residential house in India**	**Agricultural Land (any area)**	***Bonds of NHAI or RECL or any other bond notified by C.G.*** ***(Redeemable after 3 years)*** ***Max Investment in F/Y of Transfer & Subsequent F/Y is 50 lakhs***	Units issued before1/4/19 of such fund as notified by Central Government
5	**Time period of New Assset**	Within **1 year** before **or** within **2 years after** transfer **or** construct within **3 yrs** after transfer	Within **2 yrs** after transfer	Within **6 months** of transfer	Within **6 months** of transfer
6	**Capital Gain Account Scheme**	Deposit in **CGAS on or before Du Date of Return (DDR)** u/s. 139(1)	-Do-	**NA**	**NA**
7	**Exemption**	**LTCG invested in New asset + Deposited in CGAS upto DDR**	-Do-	**LTCG invested in Specified Bonds upto 6 months of transfer**	**LTCG invested in Specified Units upto 6 months of transfer**
8	**Transfer of New Asset**	If **New Asset** transferred within **3 years** from date of purchase/ construction, **then** Cost of acquisition of new asset **Reduced** by Capital Gain exempted earlier	-Do-	If **New Asset** is t/f or converted into money within **3 years** from date of acquisition., then **exempt LTCG taxable in p/y of transfer/ conversion of new asset** ▪ Loan taken on security of new asset amounts to conversion into money	If **New Asset** is t/f or converted into money within **3 years** from date of acquisition., then **exempt LTCG taxable in p/y of transfer/ conversion of new asset** Loan taken on security of new asset amounts to conversion into money

	Section	54F : Transfer of LTCA	54GB: Capital gain on transfer of Residential property [upto A/Y 17/18] *[For Eligible start up upto 31/3/19]*
1	**Assessee**	Individual or HUF	Individual or HUF
2	**Capital Asset Transferred**	Any Capital Asset **(Other than Residential house)**	Residential property (a house or a plot of land)
3	**Nature of CA**	**LTCA**	**LTCA**
4	**New Asset**	**One Residential house in India**	Subscription in Equity shares of **Eligible company** & company has utilised this amount for purchase of new asset i.e New Plant & Machinery **Exceptions** ***(i)*** P&M which, before its installation used by other person ***(ii)*** P&M installed in office premises or residential accommodation, including guest-house ***(iii)*** any office appliances including computers ***(iv)*** any vehicle or ***(v)***P&M the whole of the actual cost of which is allowed as 100% deduction under PGBP **Eligible Company** means **(i)** Indian Company incorporated between 1st April of P/Y of capital gain upto due date of return u/s 139(1) **(ii)** Engaged in business of manufacture **or <u>eligible business</u>** **(iii)** company in which assessee has more than 50% share capital **(iv)** company qualifies to be small /medium enterprise **or is <u>an eligible start-up</u>**
5	**Time period of New Asset**	Within **1 year** before **or** within **2 yrs** after transfer **or** constructed within **3 yrs** after transfer	Company has within 1 year from date of subscription in Equity shares by assessee purchased new asset
6	**CGAS deposit upto DDR**	Available	Available
7	**Exemption**	LTCG **X** (Cost of new asset + Amount deposit in CGAS) / **Net** Consideration	LTCG **X** (Cost of new asset + Amount deposit in CGAS) / **Net** Consideration
8	**Transfer of New Asset**	If **New Asset** t/f within **3 yrs** from date of purchase/ construction, then **Exempt Capital Gains taxable in P/Y of transfer of new asset**.	If **Equity shares or New Asset** t/f within **<u>5 yrs</u>** from date of purchase/ construction, then **Exempt Capital Gains taxable in P/Y of transfer of Equity shares/New asset**

	Section	54D : Compulsory Acquisition of Land & Building	54G : Transfer under shifting of Industrial Undertaking	54GA: Transfer of industrial undertaking to SEZ
1	**Assessee**	Any Assessee	Any Assessee	Any Assessee
2	**Capital Asset Transferred**	**Compulsory acquisition** of **Land & Building** used for **Industrial undertaking** in **Any Area** & Used by Assessee for Business for **2 years** immediately **prior** to date of acquisition	**Plant & Machinery / Land & Building** used for **Industrial undertaking** in **Urban Area**	**Plant & Machinery / Land &Building** used for **Industrial undertaking** in **Urban Area**
3	**Nature of CA**	**STCA or LTCA**	**STCA or LTCA**	**STCA or LTCA**
5	**New Asset**	**Land/Building** for shifting of undertaking **in any area**	**Plant/Machinery & Land/Building Including expenses on t/f** for shifting of undertaking in **Rural Area**	**Plant/Machinery & Land/Building Including expenses on t/f** For shifting of undertaking to **SEZ** in **any area**
6	**Time period of New Asset**	Within **3 years** after transfer	**Within 1 year** before or **within 3 yrs** of transfer	**Within 1 year** before or **within 3 yrs** of transfer
7	**Exemption**	**Same as Sec. 54.**	**Same as Sec. 54.**	**Same as Sec. 54.**
8	**Transfer of New Asset**	**Same as Sec. 54.**	**Same as Sec. 54.**	**Same as Sec. 54.**

COMMON POINT FOR ALL EXEMPTIONS

Non utilization of balance in Capital Gain A/c. Scheme:

a. Amount deposited is not utilized wholly or partly for specified purpose by specified time.
b. Exemption claimed on unutilized amount is taxable as Capital Gain of P/Y in which specified time expires.

Section 54H : Extension of time for acquiring new asset

- ✓ Where transfer of capital asset is by compulsory acquisition under any law.
- ✓ Time limits for acquiring new asset & for depositing in CGAS shall be
- ✓ Computed from date of receipt of compensation and not from the date of compulsory acquisition

Sec 54GB :

Eligible business means a business which involves innovation, development, deployment, or commercialisation of new products, processes or service driven by technology or intellectual property.

Eligible start-up means a company engaged in eligible business an satisfies the following conditions:

1. It is incorporated during April 1, 2016 and March 31, 2019
2. The total Turnover of its business does not exceed Rs 25 crore in any of the previous years during April 1, 2016 and March 31, 2021.
3. It holds the certificate of eligible business from the Inter-Ministerial Board of Certification as notified by the Central Government

1. Tax on Short-Term and Long-Term Capital Gains

Tax Type	Condition	Tax applicable
Long-term capital gains tax	Except on sale of equity shares/ units of equity oriented fund	20%
Long-term capital gains tax	On sale of Equity shares/ units of equity oriented fund	10% over and above Rs 1 lakh
Short-term capital gains tax	When securities transaction tax is not applicable	The short-term capital gain is added to your income tax return and the taxpayer is taxed according to his income tax slab.
Short-term capital gains tax	When securities transaction tax is applicable	15%.

2. Proposal of introduction of Section 112A

The Budget 2018 introduced Section 112A by withdrawing Section 10(38). It proposed to impose tax on the LTCG of the following:

a) Shares,
b) Equity-oriented funds or
c) Business trusts

The LTCG tax is applicable at a rate of 10% on gains over and above Rs 1 lakh a year, and there is no benefit of indexation.

3. Applicability

The provisions of this section will apply from the financial year (FY) 2018-19, i.e. AY 2019-20. This otherwise means any transfer carried out after 1 April 2018, resulting in LTCG above Rs 1 lakh, will attract tax at the rate of 10%.

4. Proposal to grandfather investments made upto 31 January 2018

In the budget, there has been a proposal to grandfather investments made on or before 31 January 2018.

What is the concept of Grandfathering?

When a new clause or policy is added to a law, certain persons may be relieved from complying with the new clause. This is called “grandfathering”.

span>

“Grandfathered” persons enjoy the right to avail concession because they have made their decisions under the old law. The concept of grandfathering in the case of LTCG on sale of equity investments works as follows:

The concept of grandfathering in the case of LTCG on sale of equity investments works as follows

A method of determining the Cost of Acquisition (COA) of such investments have been specifically laid down as per the COA of such investments shall be deemed to be the higher of:

1. The **actual COA** of such investments; and
2. The **lower** of-
    - **Fair Market Value (‘FMV’)** of such investments; and
    - the **Full Value of Consideration** received or accruing as a result of the transfer of the capital asset i.e. the **Sale Price**

Further, the FMV would be the highest price quoted on the recognised stock exchange on 31 January 2018. In case there is no trading of the said asset in such stock exchange, the highest price on a day immediately preceding 31 January 2018 shall be considered to be the FMV. In effect, the taxpayer can claim the highest price quoted on the recognised stock exchange on 31 January 2018 as the COA and claim the deduction for the same.

The computation mechanism has been further explained by way of the following examples

Capital Gain/ Loss = Sale Price – Revised Cost of Acquisition on 31.1.2018

Example 1

Mr X bought equity shares on 15/Dec/2016 for Rs. 10,000. FMV of the shares was Rs. 12,000 as on 31/Jan/18. He sold the shares on 10/May/2018 for Rs. 15,000. What will be the long-term capital gain/ loss?

Cost of Acquisition (COA)

Higher of –

- Original COA i.e. Rs. 10,000, and
- Lower of –
  - FMV on 31.1.18 i.e. Rs. 12,000, and
  - Sale Price i.e. Rs. 15,000

Hence, COA = Higher of (Rs. 10,000 or Rs. 12,000) = Rs. 12,000

Capital Gain/ (Loss)

- Sale Price – Cost of Acquisition
- Rs. 15,000 – Rs. 12,000
- Rs. 3,000

Example 2

Mr. A purchased equity shares on 20/Jan/2017 for Rs. 16,000. FMV of the shares was Rs. 11,000 as on 31/Jan/18. He sold the shares on 26/Apr/2018 for Rs. 26,000. What will be the long-term capital gain/ loss?

Cost of Acquisition (COA)

Higher of –

- Original COA i.e. Rs. 16,000, and

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- Lower of –
  - FMV on 31.1.18 i.e. Rs. 11,000, and
  - Sale Price i.e. Rs. 26,000

Hence, COA = Higher of (Rs. 16,000 or Rs. 11,000) = Rs. 16,000

Capital Gain/ (Loss)

- Sale Price – Cost of Acquisition
- Rs. 26,000 – Rs. 16,000
- Rs. 10,000

Example 3

Mr. D bought equity shares on 11-Nov-2016 for Rs. 19,500. FMV of the shares was Rs. 12,000 as on 31-Jan-18. He sold the shares on 21-May-2018 for Rs. 9,000. What will be the long-term capital gain/ loss?

Cost of Acquisition (COA)

Higher of –

- Original COA i.e. Rs. 19,500, and
- Lower of –
  - FMV on 31.1.18 i.e. Rs. 12,000, and
  - Sale Price i.e. Rs. 9,000

Hence, COA = Higher of (Rs. 19,500 or Rs. 9,000) = Rs. 19,500

Capital Gain/ (Loss)

- Sale Price – Cost of Acquisition
- Rs. 9,000 – Rs. 19,500
- Rs. (10,500)

Example 4

Mr. D bought equity shares on 23/Oct/2016 for Rs. 14,500. FMV of the shares was Rs. 18,000 as on 31/Jan/18. He sold the shares on 18/May/2018 for Rs. 7,000. What will be the long-term capital gain/ loss?

Cost of Acquisition (COA)

Higher of –

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- Original COA i.e. Rs. 14,500, and
- Lower of –
  - FMV on 31.1.18 i.e. Rs. 18,000, and
  - Sale Price i.e. Rs. 7,000

Hence, COA = Higher of (Rs. 14,500 or Rs. 7,000) = Rs. 14,500

Capital Gain/ (Loss)

- Sale Price – Cost of Acquisition
- Rs. 7,000 – Rs. 14,500
- Rs. (7,500)

Given below is further analysis of the LTCG implications of certain other scenarios which will help understand the proposed amendment better:

No.	Scenario	Tax Implications
1	Purchase and sale before 31/1/2018	Exempt under Section 10(38)
2	Purchase and sale before 31/1/2018 Sale after 31/1/2018 but before 1/4/2018	Exempt under Section 10(38)
3	Purchase before 31/1/2018 Sale on or after 1/4/2018	LTCG taxable Gains accrued before 31/1/2018 exempt Capital Gains computed in the manner as discussed above
4	Purchase before 31/1/2018 Sale on or after 1/4/2018	LTCG taxable Capital Gains computed in the manner as disc

CHAPTER -7
INCOME UNDER HEAD OTHER SOURCES

Sec. 56(1) : CHARGING SECTION

- Income of every kind
- Not Excluded from Total Income
- Not chargeable to tax under other 4 heads
- Shall be chargeable to Income Tax under Income from Other Sources.

Examples :

1. Rental Income from vacant land
2. Income from sub-letting of house property
3. Interest on loan/deposits.
4. Agricultural Income outside India
5. Family pension.
6. Insurance Commission
7. Income from Undisclosed sources
8. Royalty(If not covered under P/G/B/P)
9. Receipt of LIC money(If not exempt u/s 10(10D)
10. Director fees/Commission
11. Director salary if not chargeable under salary
12. Salary to MP/MLA etc

Special point : Exemption u/s 10(17) :

The following allowances to MP/MLA are exempt from tax

1. Member of Parliament : Daily Allowances or Other Allowances
2. Member of Legislative Assembly : Daily Allowance and Constituency Allowance

Sec. 56(2): Following Incomes SHALL BE chargeable under head Other Sources

1. Dividend Income
2. Winnings from Lotteries, cross word puzzles, card games etc.
3. Interest on Securities ,if not chargeable under P/G/B/P
4. Income from letting of Plant, Machinery or Furniture, if income not chargeable under P/G/B/P
5. Income from composite letting of BUILDING together with Plant, Machinery or Furniture, which is inseparable from letting of such building, if such income not chargeable under P/G/B/P
6. Sum received under Keyman Insurance Policy, if not chargeable under salary or P/G/B/P
7. Sum of money/Property received as Gifts by any person.

8. Specified shares received by Firms/Closely Held Company.
9. Share premium in excess of fair market value received by Closely Held Company.
10. Interest received on compensation or on enhanced compensation
11. Advance or other money received in course of negotiations for transfer of a capital asset, if such sum is forfeited & negotiations do not result in transfer of such capital asset.

❖ Winnings from Lotteries, Crossword Puzzle, Races including horse races, Card games & other games of any sort or from gambling or betting of any form

❖ Interest

Income from Interest on Securities is chargeable under head other sources.(If not chargeable under P/G/B/P)

Sec. 10(15) : Interest Exempt from Tax

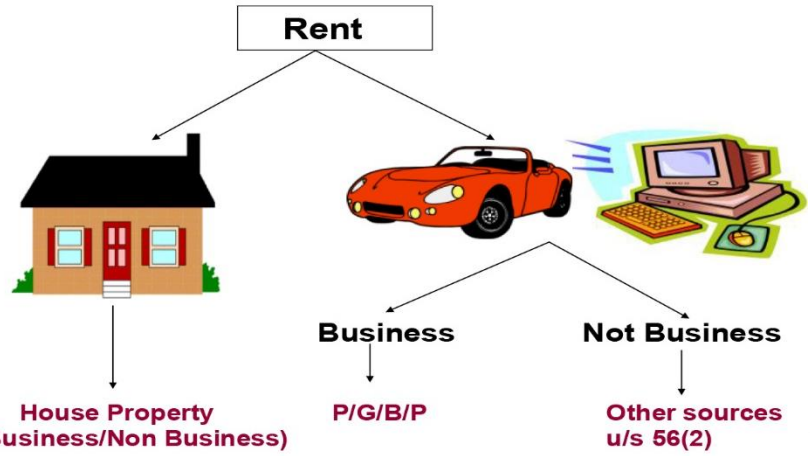
1. Interest on Notified bonds/certificates
   - Post office Saving Bank account upto Rs.3,500 / Rs.7,000 in joint account in P/Y
   - Post office Time deposit
   - Special Bearer Bonds
2. -Notified Capital Investment Bond
   - Notified Relief Bonds of RBI
3. Notified Bond/Debenture of Public Sector Companies. Eg Rural Electrification Corporation Limited, Indian Railway Finance Corporation Limited
4. Bonds of Local Authority, i.e. Municipal Bonds.
5. Interest on Gold Deposit Bonds/certificated issued under Gold Deposit scheme 1999/Gold monetization scheme,2015

Section 14A : Expenditure of any exempt income is not allowed as a deduction from taxable income

❖ Income from letting of Machinery, Plant or Furniture belonging to assessee

If P&M etc. is NOT let out as part of assessee's business activity than income arising from such hire will be taxable under other Sources

If letting is as part of his business activity than under P/G/B/P



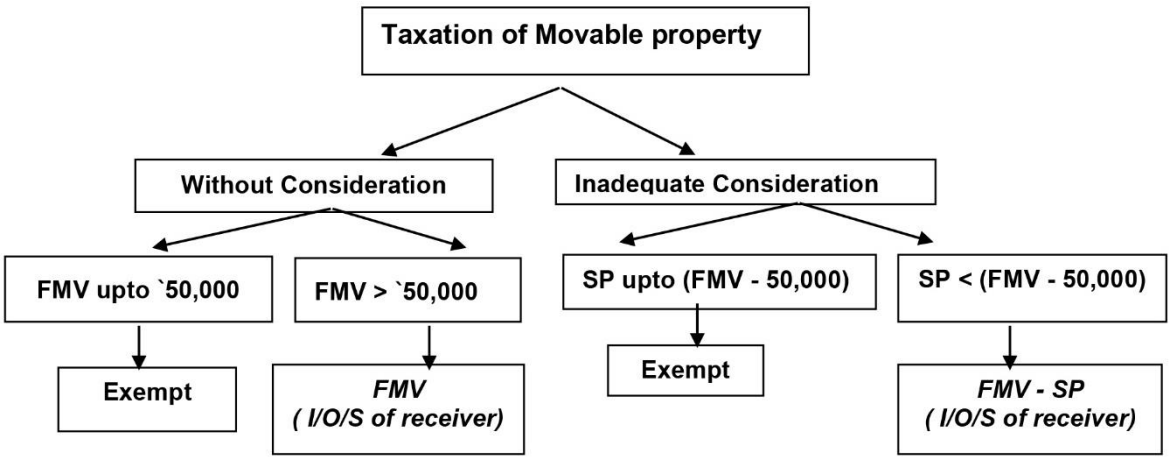
❖ **Sum/Property received by Individual or HUF as Gifts**

A. Taxation of Cash Gifts
- Sum of money received by Individual or HUF
- Without consideration
- In excess of Rs. 50,000/-
- in a previous year
- the whole of such sum
- Shall be included in income of receiver under head I/O/S

B. Taxation of Property as Gift/Inadequate consideration

Property means following Capital asset of the assessee, namely
- Immovable property being land or building or both;
- Shares and securities;
- Jewellery;
- Archaeological collections;
- Drawings;
- Paintings;
- Sculptures;
- Bullion;
- Any work of art

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Special Point :

1. Sec 49(4) : If Property is taxable in hands of recipient under I/O/S then its Stamp value / FMV will be taken as its Cost of Acquisition
2. Sum of Money/Property received from following will not be included in Income
   a. From RELATIVE
   b. On Marriage of Individual.
   c. Under will or inheritance.
   d. Received in contemplation of death of payer/donor
   e. From Trust registered u/s 12AA
   f. From Local authority u/s 10(20)
   g. From any university /educational institution/hospital/trust/institution u/s 10(23C)
3. RELATIVE : <u>For above purpose "Relative " means</u>

   <u>In case of individual :</u>

   (a) Spouse of the individual
   (b) Brother or sister of the individual
   (c) Brother or sister of spouse of the individual
   (d) Brother or sister of either of the parents of the individual
   (e) Any lineal ascendant or descendant of the individual
   (f) Any lineal ascendant or descendant of the spouse of the individual
   (g) Spouse of the persons referred to in clause (ii) to (vi)

   <u>In case of HUF : Any member thereof</u>

Sec 57 : Deductions available from Income under Other Sources

1. <u>Collection Charges against taxable Dividend/Interest</u>

   Any reasonable sum paid by way of commission or remuneration for realising such dividend/interest
2. <u>Deduction against Income from letting of Plant, machinery etc</u>

   Revenue Repair ,Insurance , Depreciation of Building ,Machinery, Plant or Furniture

3. Deduction against family pension
   1/3rd of Pension OR Rs.15,000/- , whichever is less
4. Any other Expenditure
   Any other expenditure (not being a capital expenditure) expended wholly and exclusively for the purpose of earning such income.
5. A deduction of 50% shall be allowed from interest received on compensation for compulsory acquisition of capital asset. No other deduction shall be allowed from such income

Special Points :

1. FAMILY PENSION
- Regular Amount payable by Employer,
- To Legal Heir of Deceased Employee
- Is Taxable under other sources
- Deduction u/s 57 is available against such pension

However following pension are exempt from tax

10(18) Pension received by Individual or Family Pension by family member if Individual has been in service of C/S Govt. & awarded Vir Chakra or Mahavir Chakra or Param Vir Chakra or other notified gallantry awards.

10(19) Family pension received by widow or children or heir on death of member of armed forces during duty

2. Interest on money borrowed to earn income taxable under other sources, is allowed as a deduction u/s 57.

Sec 58 : No deduction of following expenses from Income from Other Sources

- Personal Expenses of Assessee.
- Interest paid outside India on which Tax not paid or deducted at source
- Income Tax / Wealth Tax.
- Expenditure referred to in Sec. 40A(2),40A(3)
- Expenditure or allowance for earning income from Lottery, Crossword Puzzles etc., (except
- Income from owning & maintaining race horses)

Sec 59 : If an expense is allowed as deduction from I/O/S in any P/Y, recovery of any amount out of that expense shall be taxable as I/O/S in p/y of receipt

CHAPTER – 8 CLUBBING OF INCOME

SPECIFIC CLUBING PROVISIONS

Sec. 64(1)(ii): Clubbing of Spouse Remuneration

- If an individual has
- Substantial interest in a Concern,
- then Salary, Fees, Commission, or other remuneration
- In cash or Kind
- drawn by Spouse of such individual
- from that concern
- shall be Clubbed
- With Income of the Individual

Special Points :

1. Substantial Interest :
   a) Company :If individual himself or with relative hold atleast 20% of equity shares beneficially at any time during p/y
   b) Other Concern :If individual himself or with relative entitled to atleast 20% profits at any time during p/y

Sec 2(41): Relative in relation to an individual, means Husband, Wife, Brother or Sister or any Lineal ascendant or Descendant of that individual

2. If spouse has Technical or Professional qualifications or experience & getting the remuneration solely on application of such technical or professional knowledge, No clubbing shall be done
3. Husband & Wife both have Substantial interest in concern and both getting remuneration from concern, then remuneration of both shall be clubbed with that Spouse, whose Total income is greater, before clubbing that income.

   (Once income is clubbed with either spouse, Next year income shall be clubbed with that spouse only unless AO satisfied, it is not necessary to do so)

4. Income to be clubbed = Income taxable under head Salary

64(1)(iv): Income from Asset transferred to Spouse

- If an individual transfers
- Any asset (other than house property)
- directly/indirectly to Spouse
- For Inadequate consideration
- then income from such asset arising to spouse
- shall be clubbed
- With Individuals income

Clubbing will not be done in the following cases

1. Transfer of Asset is under any agreement to live apart or
2. Husband & wife relationship does not exist either at the time of transfer of asset or at time of accrual of Income.

Sec. 64(1)(vi) : Income from Asset transferred to Son's wife

- ✓ If an individual transfers
- ✓ Any asset
- ✓ directly/indirectly to son's wife
- ✓ for Inadequate consideration
- ✓ then income arising out of such asset arising to Sons wife
- ✓ shall be clubbed
- ✓ With Individual's income

Clubbing will not be done if

The relationship father/mother in law and daughter in law does not exist either at the time of transfer of asset or at time of accrual of income

Sec. 64(1A): Clubbing of Minor's Income

- All incomes
- arising to the Minor child
- shall be clubbed
- with income of that Parent
- whose Total Income (excluding minor income) is Greater

Special Point:

5. **If marriage of parents does not exist**, minor income will be clubbed with that parent who maintains the minor in the previous year

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6. Once income is clubbed with either parent, Income of next previous year will also be clubbed with that parent only, unless AO is satisfied it is not necessary to do so because child is maintained by the other parent
7. **Minor income will be taxable in the hands of minor only**
   i. Minor suffering from **disability** specified in **Sec.80U**.
   ii. Income of minor arising due to **Manual work** done by him.
   iii. Income of minor arising due to application of his **skills, talent or specialized knowledge** and experience.

Special Points:

- Where minor's income is clubbed, that parent can claim exemption **u/s. 10(32)** subject to Max. **Rs. 1500/- per minor child**
- If Minor attains majority during P/Y, income till date of majority to be clubbed.
- Minor child includes step and adopted child.
- Where minor income taxable in his hands, **Income on such income** shall be clubbed with parent.

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CHAPTER -9

SET OFF OR CARRY FORWARD AND SET-OFF OF LOSSES

Process of Setting off of losses & their Carry Forward

Step 1 : Sec. 70 : INTRA head set off (same head set off)

- ✓ Loss in respect of any Source of income under any head
- ✓ shall be set off
- ✓ against income of other source under same head

If loss cannot be set off under step1, then proceed to step 2

Step 2 : Sec. 71 : INTER head set off (Different head set off)

- ✓ loss under any head
- ✓ Shall be set off
- ✓ against income of Other head

If loss cannot be set off under step2, then proceed to step 3

Step 3 : Carry forward of loss to subsequent A/y & then set off

- ✓ Where all loss could not be set off under Sec.70 & Sec.71
- ✓ That loss which could not be set off
- ✓ Can be Carried forward for subsequent A/Y
- ✓ To be set off
- ✓ Against income of same head of subsequent A/Y

Set off & Carry forward of House Property Loss

Step 1 : Sec. 70 : INTRA head set off (Same head set off)

Loss under any property can be set off against any other income of property.

If loss cannot be fully set off , then proceed to step 2 .

Step 2 : Sec. 71 : INTER head set off (Different head set off)

Loss under head house property can be set off against any income of other head except casual incomes.

However sub-section (3A) in the said section to provide that set-off of loss under the head "Income from house property" against any other head of income shall be restricted to two lakh rupees for any assessment year.

Step 3 : Sec 71B : Carry forward of House property loss to subsequent A/y & then set off

- ✓ Where Loss under House property
- ✓ could not be set off under Sec.70 & Sec.71
- ✓ That loss can be Carried forward u/s 71B
- ✓ for subsequent 8 A/Y
- ✓ to be set off
- ✓ against Income from house property of subsequent A/Y

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Special Point: Ownership of the same house property, which resulted in loss is not necessary, in the previous year of carry forward & set off.

Set off & Carry forward of Business/profession Loss

Step 1 : Sec. 70 : INTRA head set off (Same head set off)

- ✓ Loss under any business/profession
- ✓ can be set off against
- ✓ income of any other business/profession.

If loss cannot be fully set off , then proceed to step 2 .

Step 2 : Sec. 71 : INTER head set off (Different head set off)

Loss under head Business/Profession can be set off against any Income of other head

Except :

a) Income from Salary

b) Casual Incomes

Step 3 : Sec 72 : C/F of loss of Business/Profession to subsequent A/y & then set off

- ✓ Where Loss under Head Business/Profession other than speculation
- ✓ could not be set off under Sec.70 & Sec.71
- ✓ That loss can be Carried forward u/s 72
- ✓ for subsequent 8 A/Y
- ✓ to be set off
- ✓ against Income under P/G/B/P of subsequent A/Y

Special Point :

1. Ownership of the same Business/profession, which resulted in loss is not necessary, in the previous year of carry forward & set off.
2. Unabsorbed depreciation, unabsorbed capital expenditure on scientific research, and unabsorbed capital expenditure on family planning are not business losses and therefore can be carried forward for any number of assessment years
3. Priority of Set off under P/G/B/P

   Step 1 : 1st set off current previous year depreciation, current previous year capital expenditure on scientific research and current previous year capital expenditure on family planning

   Step 2 : Then set off brought forward business loss

   Step 3: Then brought forward depreciation, brought forward capital expenditure on scientific research and brought forward capital expenditure on family planning

4. Sec 73A : Set off & carry forward of Business u/s 35A

   (1) Any loss of specified business u/s 35AD can only be set off except against profits and of any other specified business.

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(2) Where loss of specified business has not been wholly set off under sub-section (1), so much of the loss as is not so set off shall be carried forward to the following assessment year, and

a) It shall be set off against the profits of any specified business carried on by him for that assessment year &

b) If the loss can not be wholly so set off, the amount of loss shall be carried forward to the following assessment year and so on

Set off & Carry forward of Loss of Speculation Business

Step 1 : Sec. 70 : INTRA head set off (Same head set off)

- ✓ Loss of Speculation Business
- ✓ can be only set off against
- ✓ Income of any other Speculation Business

Step 2 : Sec. 71 : INTER head set off (Different head set off) : NOT POSSIBLE

Step 3 : Sec 73 : Carry forward of loss of speculation business to subsequent A/y & then set off

- ✓ Where Loss of speculation Business
- ✓ could not be set as above
- ✓ That loss can be Carried forward u/s 73
- ✓ for subsequent 4 A/Y
- ✓ to be set off
- ✓ against Income of Speculation Business of subsequent A/Y

Special Point : Sec 43(5) : Speculative transaction means :

A transaction in which a contract for the purchase or sale of any commodity, including stocks and shares, is periodically or ultimately settled otherwise than by the actual delivery or transfer of the commodity or scrips.

Special Point : Following transaction shall not be treated as Speculative transaction :

(a) A contract in respect of raw materials entered into by a person in course of his manufacturing or merchanting business to guard against loss through future price fluctuations in respect of his contracts for actual delivery of goods manufactured by him or merchandise sold by him or

(b) A contract in respect of stocks and shares entered into by a dealer or investor therein to guard against loss in his holdings of stocks and shares through price fluctuations or

(c) A contract entered into by member of stock exchange in course of any transaction in nature of jobbing or arbitrage to guard against loss which may arise in ordinary course of his business as such member or

(d) A transaction of trading in derivatives carried out in a recognised stock exchange or

(e) An eligible transaction of trading in commodity derivatives carried out in a recognised association

Set off & Carry forward of Loss Under Head Capital Gain

Step 1 : Sec. 70 : INTRA head set off (Same head set off)

Short Term Capital Loss

- ✓ Loss under head capital gain being STCL
- ✓ can be set off against
- ✓ Income of any Capital Asset i.e STCG or LTCG

Long Term Capital Loss

- ✓ Loss under head capital gain being LTCL
- ✓ can be set off against
- ✓ Income of any Long term Capital Asset i.e LTCG only

Step 2 : Sec. 71 : INTER head set off (Different head set off)

NOT POSSIBLE

Step 3 : Sec 74 : Carry forward of loss under Capital gain to subsequent A/y & then set off

- ✓ Where Loss under Capital Gain
- ✓ could not be set as above
- ✓ That loss can be Carried forward u/s 74
- ✓ for subsequent 8 A/Y
- ✓ to be set off
- ✓ against Income of Capital Gain of subsequent A/Y
- ✓ However STCL can be set off from any Capital Gain of subsequent A/y & LTCL can only be set off against LTCG of subsequent A/y only

Set off & Carry forward of Loss from Owning & Maintaining Race Horses

Step 1 : Sec. 70 : INTRA head set off (Same head set off)

- ✓ Loss from activity of owning & maintaining race horses
- ✓ can be only set off against
- ✓ Income of any other activity of owning & maintaining race horses

Step 2 : Sec. 71 : INTER head set off (Different head set off)

NOT POSSIBLE

Step 3 : Sec 73 : C/F of loss of speculation business to subsequent A/y & then set off

- ✓ Where Loss of owning & maintaining race horses
- ✓ could not be set as above

- ✓ That loss can be Carried forward u/s 74A
- ✓ for subsequent 4 A/Y
- ✓ to be set off
- ✓ against Income of owning & maintaining of subsequent A/Y

Special point: Assessee should carry on with the activity of owning & maintaining race horses in p/y of carry forward & set off.

Other Important sections of the chapter

1. Sec. 80 : No Loss shall be carried forward u/s 72, 73, 74, 74A, unless ROI filed u/s.139(3)
   Sec. 139(3) : For carry forward of losses u/s. 72, 73, 74, 74A, assessee shall have to file ROI within time u/s.139 (1)
   Therefore, loss u/s. 71B, (House property Loss) can be C/f even if return not filed
2. Carry forward & set off possible against Clubbed income also
3. Sec 70 and 71 are mandatory.
4. If losses are C/f under sec 71B to 74A and are not set off against profits of succeeding year inspite of profits being there, they cannot be set off in later years
5. Assessee who incurred the loss & assessee who is claiming carry forward & set off Should be SAME

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CHAPTER – 10 DEDUCTIONS

Basis Rules while computing deductions

Deductions are not allowed from LTCG taxable u/s 112 @ 20%, STCG taxable u/s 111A @ 15% and Casual incomes like winnings from lottery, card games, horse races etc taxable u/s 115BB @ 30%

80A : Restrictions

1. In computing Total Income, deductions u/s 80C to 80U will allowed from GTI
2. Total Deductions cannot exceed amount of GTI

Sec. 80C : Deduction for life insurance premium ,PF contributions etc.

- Available to an Individual or HUF
- Amount deposited in specified investments/securities
- Deduction 1,50,000 or Amount deposited/invested , whichever is less

List of Specified Investments/securities

1. Life insurance premium on life of himself ,spouse and any child (If H.U.F ,for any member)
   Special Point :
   a. Premium > 10% of capital sum assured shall be ignored for policy issued on or after 1/4/2012
   b. Premium > 20% capital sum assured shall be ignored for policy issued upto 31/3/2012
   c. Premium > 15% of capital sum assured shall be ignored for person with disability u/s 80U or suffering from disease u/s 80DDB for policy issued on or after 1.4.2013 (Refer Working Note 1)
2. Contribution by an employee to Statutory Provident Fund or Recognized Provident Fund or Approved superannuation fund
3. Contribution by an person to Public Provident Fund for himself ,spouse and any child
4. Subscription to NSC VIII / IX issue including interest accrued (Refer working note 2)
5. Contribution in ULIP
6. Tuition Fee Paid by an individual
   - ✓ For any two children of such individual
   - ✓ At the time of admission or thereafter
   - ✓ For full time education (Excluding development fees & donation)
   - ✓ To University, College, School, Other Education Institution situated in India
7. Subscription to Deposit scheme of National Housing Bank
8. Contribution to Deposit Scheme of :
   - Public Sector Co. engaged in Long Term Finance for Residential Houses in India.
   - Authority in India, Providing Housing accommodation

9. Payment for Purchase/ Construction of Residential House Property
   (i) Installment under Scheme of any authority ,board
   (ii) Repayment of amount borrowed by assessee from:
   - Central/State govt. ,any bank ,LIC, NHB
   - Public Companies/ Co-Op Society
   - From employer i.e Public Co, University, College, Local Authority or Co-op. society

   (iii) Stamp duty, registration fees for transfer of house property
10. Subscription to Equity shares or Debentures of a Public company registered in India or to a public financial institution which utilizes the proceeds for infrastructural business u/s 80IA
11. Sum deposited in a scheduled bank for atleast 5 years under notified Cgovt scheme
12. Subscription to bonds of NABARD
13. Contribution to ELSS,2005
14. Deposit in Senior citizen saving scheme ,2004
15. Deposit in 5 year time deposit in an account under post office time deposit rules,1981.
16. Subscription, in the name of any specified person, in deposit scheme notified by C Government

    Specified Person : Individual or any girl child of that individual, or any girl child for whom such person is legal guardian

Working Note 1 :
Exemption u/s 10(10D) : Sum received under LIC policy including bonus is exempt
Exceptions : The following amount is taxable under Other Sources

i. Sum received under policy u/s 80DD.
ii. Sum received under Keyman Insurance Policy.
iii. Sum received under life Insurance policy where annual premium greater than specified % of sum insured (However such sum received on death is exempt).

Sec 194DA : <u>TDS on LIC payments</u>

Any person responsible for paying to a resident any sum under a life insurance policy, including bonus, other than amount exempt u/s 10(10D), shall, at time of payment , deduct TDS @ 2% (1% w.e.f 1/6/16)

Provided No TDS if aggregate amount during P/Y is less than 1,00,000.

Working Note 2 :
<u>Interest Accrued on NSC VIII /IX :</u>

1. Interest accrued every year is included in Income under IOS of each P/Y
2. Interest excluding last year is deemed to be reinvested and therefore allowed as deduction u/s 80C

Sec. 80CCC : Deduction for Contribution to Pension Fund

- Amount paid by Individual during P/Y
- out of his income chargeable to tax
- in annuity plan of any insurance company for receiving Pension
- Amount paid or Rs.1,50,000, whichever is less

Special Points: If assessee or nominee receives pension or other amount on Surrender, such amount will be taxable in P/Y in which received.

Sec. 80CCD : Deduction for Contribution to Central Govt Notified Pension Scheme (N.P.S)

- Individual employed by any Employer or Individual
- Deposits any amount during p/y under a Pension scheme notified by C govt.
- Deduction to Employee of his own contribution[Sec 80CCD(1)] :
  Employee contribution to NPS or 10% of Salary, whichever is less
  Additional deduction to employee of employer contribution [Sec 80 CCD(2)] :
  Employer contribution to NPS or 10% of Salary , whichever is less
- Deduction to Other Individual [Sec 80CCD(1)] :Contribution to NPS or 20 % of GTI ,whichever is less

Additional deduction u/s 80CCD(IA)
An assessee, shall be allowed additional deduction upto 50,000 for amount deposited in NPS

Special Points :

1. Salary = Basic + DA(retirement Benefits) + Commission % of turnover
2. If amount standing to credit of assessee in his account, in respect of which a deduction has been allowed is received including accrued thereon by the assessee or his nominee, in any P/Y—
   (a) on account of closure or his opting out of pension scheme or
   (b) as pension received from annuity plan purchased or taken on such closure or opting out, such amount shall be deemed as income of assessee or his nominee, in P/Y of receipt
3. Amount received by nominee, on death of assessee, under point (a) above, shall not be deemed as income of nominee.
4. Sec 10(12A) : Any payment from the National Pension System Trust to an employee on closure of his account or on his opting out of the pension scheme u/s 80CCD,upto 40% of the total amount payable to him at the time of such closure or his opting out of the scheme is Exempt

Sec 80CCE : 80C + 80CCC + 80CCD(1) cannot exceed Rs.1,50,000

Sec. 80D : Deduction of Health Insurance Premium

- Available to Individual or HUF
- Premium paid during P/Y
- Out of Income chargeable to tax
- by any mode other than cash (except for preventive health check up)
- INDIVIDUAL

  - For Himself, spouse, Dependent children

    a. Health Insurance

    b. Contribution to Central Government Health Scheme or to other notified scheme

    Maximum Deduction for (a) + (b) is Rs.25,000

    Upto Rs.5,000 extra deduction if any of above person is Senior Citizen or Very Senior Citizen

    c. Payment made on account of preventive health check-up upto 5,000

    d. Medical expenditure on health of a Very Senior Citizen upto 30,000 and no amount has been paid for health insurance of such member

    Maximum Deduction : (a) + (b) + (c) + (d) = 30,000

  - For Parent/s

    a. Health Insurance

    Maximum Deduction for (a) is Rs.25,000

    but Upto Rs.5,000 extra deduction either parent is Senior Citizen or Very Senior Citizen

    b. Payment made on account of preventive health check-up upto 5,000

    c. Medical expenditure on health of a Very Senior Citizen upto 30,000 and no amount has been paid for health insurance of such member

    Maximum Deduction : (a) + (b) + (c) = 30,000

- H.U.F

  a. For Health insurance of any member

  Maximum Deduction for (a) is Rs.25,000 but Upto Rs.5,000 extra deduction if memeber is a Senior Citizen or Very Senior Citizen

  b. For Medical expenditure on health of a member who is a very senior citizen upto 30,000 and no amount has been paid for health insurance of such member [FA,2015]

  Maximum Deduction : (a) + (b) = 30,000

Special Point:

1. Dependant: means a person who is dependent for support/maintenance on Assessee
2. Senior Citizen: Individual Resident in India, age of 60 years or more at any time during P/Y

3. Very Senior Citizen : Individual Resident in India, age of 80 years or more at any time during P/Y

Sec. 80U: Deduction in case of a person with Disability

- Individual, Resident in India
- Suffering from disability at any time during the previous year
- Amount of deduction

  Flat Amount : Rs. 75,000 In case of Disability only
  : Rs.1,25,000 In case of Severe Disability

Special Points :

1. Disability & Severe disability:

   Person with Disability: means a person suffering from at least 40% of the following disability, as certified by medical authority

   Blindness, Low vision, leprosy, Hearing impairment, Locomotor disability Mental retardation/Illness

   Severe Disability : means at least 80% of the above Disabilities
2. For claiming deduction, certificate obtained from medical authority to be furnished with ROI for relevant P/Y

Sec. 80 DD: Medical Treatment of Handicapped Dependant Relatives

- Individual or HUF (Resident in India)
- Incurred Expenditure for medical treatment (including nursing, training etc.) or Amount deposit
- under approved scheme for annuity of any insurer
- For Disabled Dependent Relative
- Amount of deduction

  Flat Amount : Rs.75,000 in case of Disability only
  : Rs.1,25,000 in case of Severe Disability

Special Points:

1. Dependant Relative

   Individual : Spouse, Children, Parents, Brothers & Sisters of the Individual

   HUF : Any member of HUF
2. Who is Dependent wholly or mainly on such individual or HUF for his support & maintenance and not claimed deduction u/s. 80U
3. If disabled dependent dies before the individual, the amount deposited shall be deemed to be income of the assessee of the previous year in which such amount is received by the assesse (Exception to 10(10D)
4. For claiming deduction, certificate from medical authority to be furnished with ROI for relevant P/Y

Sec. 80 DDB : Deduction in respect of Medical Treatments

- Individual or HUF (Resident in India)
- Incurred Expenditure for Medical Treatment of Specified Disease for Himself or Dependant Relative (Incase of HUF , for any member of HUF)
- Amount paid or Rs.40,000/- whichever is less
  Rs.60,000/- (If any of above is Senior Citizen)
  Rs.80,000/- (If any of above is a Very senior Citizen)

Special Points:

1. For claiming deduction assessee should obtains the prescription for such medical treatment from a neurologist, an oncologist, a urologist, a haematologist, an immunologist or such other specialist, as may be prescribed
2. Dependant Relative: Same as 80DD
3. Senior Citizen: Individual Resident in India & age of 60 years or more at any time during P/Y
4. Very Senior Citizen: Individual Resident in India & age of 80 years or more at any time during P/Y

Sec. 80E : Deduction for repayment of loan for Higher Education

- Available to Individual
- for Loan taken from Financial Institution(Including Banks) or approved Charitable Institution for
- pursuing Higher education for HIMSELF or RELATIVE
- Deduction : Actual Interest paid during p/y (out of his income chargeable to tax)

Special Points:

1. Period of deduction : 8 A/Y beginning from A/Y of 1st payment of Interest
2. Higher Education : means any course of study after passing the Senior Secondary Examination or its equivalent from any Recognised.school, board or university
3. Relative means Spouse & children or the student for whom the individual is the legal guardian

Sec 80EE : Interest on loan taken for Residential House Property

Assessee	Individual who has taken a loan from any financial institution for the purpose of acquisition of a residential house property
Deduction	Interest payable during P/Y upto 50,000
Conditions	(i) loan is sanctioned by financial institution between 1/4/16 & upto 31/3/17

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(ii) Loan sanctioned is upto Rs.35,00,000
(iii) Value of residential house property is upto Rs.50,00,000
(iv) Assessee does not own any residential house property on date of sanction of loan

(4) If deduction is allowed under this section than such interest shall not be allowed under any other provisions of the Act for the same or any other assessment year.

"Financial institution" means a banking company to which the Banking Regulation Act, applies or a housing finance company"

"Housing finance company" means a public company formed or registered in India with the main object of carrying on the business of providing long-term finance for construction or purchase of houses in India for residential purposes".

Sec. 80EEA

1. Features of Section 80EEA

a) **Eligibility criteria :** The deduction under this section is available only to individuals. This deduction is not available to any other taxpayer. Thus, if you are a HUF, AOP, Partnership firm, a company, or any other kind of taxpayer, you cannot claim any benefit under this section.

b) **Amount of deduction:** A deduction for interest payments up to Rs 1,50,000 is available under Section 80EEA. This deduction is over and above the deduction of Rs 2 lakh for interest payments available under Section 24 of the Income Tax Act. Read more about the deduction of Rs 2 lakh on interest on home loan here. Therefore, taxpayers can claim a total deduction of Rs 3.5L for interest on home loan, if they meet the conditions of section 80EEA.

c) **Other conditions:** Similar to Section 80EE, in order to claim deduction under Section 80EEA, you should not own any other house property on the date of the sanction of a loan.

2. Conditions for claiming the deduction

- Housing loan must be taken from a financial institution or a housing finance company for buying a residential house property.
- Stamp duty value of the house property should be Rs 45 lakhs or less.
- The individual taxpayer should not be eligible to claim deduction under the existing Section 80EE.
- The taxpayer should be a first-time home buyer. The taxpayer should not own any residential house property as on the date of sanction of the loan.

Conditions with respect to the carpet area of the house property. These conditions have been specified in the memorandum to the finance bill, but not mentioned in section 80EEA:

- Carpet area of the house property should not exceed 60 square meter (645 sq ft) in metropolitan cities of Bengaluru, Chennai, Delhi National Capital Region (limited to Delhi, Noida, Greater Noida, Ghaziabad, Gurgaon, Faridabad), Hyderabad, Kolkata and Mumbai (whole of Mumbai Metropolitan Region)
- Carpet area should not exceed 90 square meter (968 sq ft) in any other cities or towns.
- Further, this definition will be effective for affordable real estate projects approved on or after 1 September 2019

Section 80EEA has been introduced to further extend the benefits allowed under Section 80EE for low-cost housing. Earlier, Section 80EE had been amended from time to time to allow a deduction for interest paid on housing loan for the FY 2013-14, FY 2014-15, and FY 2016-17.

The section does not specify if you need to be a Resident to be able to claim this benefit. Therefore, it can be concluded that both Resident and Non-Resident Indians can claim this deduction.

The section also does not specify if the residential house should be self-occupied to claim the deduction. So, borrowers living in rented houses can also claim this deduction. Moreover, the deduction can only be claimed by individuals for the house purchases jointly or singly. If a person jointly owns the house with a spouse and they both are paying the instalments of the loan, then both of them can claim this deduction. However, they must meet all the conditions laid down.

3. Section 80EEA and Section 24

Under Section 24, homeowners can claim a deduction for interest payments up to Rs 2 lakh on their home loan, if the owner or his family resides in the house property. The deduction of up to Rs 2 Lakh applies even when the house is vacant. If you have rented out the property, the entire home loan interest is allowed as a deduction.

If you are able to satisfy the conditions of both Section 24 and Section 80EEA of the Income Tax Act, you can claim the benefits under both the sections. First, exhaust your deductible limit under Section 24, which is Rs 2 lakh. Then, go on to claim the additional benefits under Section 80EEA. Therefore, this deduction is in addition to the Rs 2 lakh limit allowed under Section 24.

Sec. 80EEB

1. Features of Section 80EEB

a) Eligibility criteria : The deduction under this section is available only to individuals. This deduction is not available to any other taxpayer. Thus, if you are a HUF, AOP, Partnership firm, a company, or any other kind of taxpayer, you cannot claim any benefit under this section.

b) Amount of deduction: A deduction for interest payments up to Rs 1,50,000 is available under Section 80EEB. An individual taxpayer may have an electric vehicle for personal use or for business use. This deduction would facilitate individuals having an electric vehicle for personal use to claim the interest paid on the vehicle loan.

In case of business use, an individual can also claim the deduction up to Rs 1,50,000 under section 80EEB. Any interest payments above Rs 1,50,000 can be claimed as a business expense. To claim as a business expense, it is necessary that the vehicle should be registered in the name of the owner or the business enterprise.

Do note that an individual taxpayer should obtain the interest paid certificate and keep the necessary documents such as tax invoice and loan documents handy at the time of filing of the return.

2. Conditions for claiming the deduction

- The loan must be taken from a financial institution or a non-banking financial company for buying an electric vehicle.
- The loan must be sanctioned anytime during the period starting from 1 April 2019 till 31 March 2023.
- "Electric vehicle" has been defined to mean a vehicle which is powered exclusively by an electric motor whose traction energy is supplied exclusively by traction battery installed in the vehicle and has such electric regenerative braking system, which during braking provides for the conversion of vehicle kinetic energy into electrical energy.

3. Promotion of electric vehicle mobility solution

The union cabinet has approved Phase-II of FAME scheme for promotion of electric mobility in the country. The FAME (Faster Adoption and Manufacturing of Electric Vehicles) is an incentive scheme of the government of India for the promotion of electric and hybrid vehicles in the country. The ultimate objective of the scheme is to promote electric mobility and the scheme offers financial incentives for the purchase of electric vehicles and the creation of electric transportation and charging infrastructure. Under the scheme, the incentives are available for 3 Wheelers, 4 Wheelers and electric 2 wheelers.

The Phase-II of the scheme has started from 1 April 2019 and will be completed by 31 March 2022. The Phase-II is an expanded version of the first phase. FAME India Phase II has a total outlay of Rs 10000 Crores over a period of 3 years from 1 April 2019 to 31 March 2022.

Sec. 80G: Deduction in respect of Donation etc.

- Deduction under this section is available to All Assessees. However donations in Kind are not eligible for deduction.
- No deduction shall be allowed under this section in respect of donation of any sum exceeding two thousand rupees unless such sum is paid by any mode other than cash.

The following donations are eligible for deduction

100% deduction without qualifying Limit

1. National Defence Fund
2. Army/Naval/Air Force Welfare Fund.
3. National Cultural Fund
4. National Sports Fund
5. National Children Fund
6. National Foundation for communal Harmony.
7. National Illness Assistance Fund.
8. National Trust for Welfare of Person with Mental Retardation & Mental Disabilities.
9. National/State Blood Transfusion Council.
10. Maharashtra CM Earthquake Relief Fund.
11. Andhra Pradesh CM Cyclone Relief Fund.
12. Gujarat Fund for Earthquake Relief.
13. PM National Relief Fund.
14. Chief Minister Relief Fund for the state or Lieutenant Governor relief Fund for union territory.
15. Africa (Public Contribution India) Fund.
16. Any Fund set by State Government for Medical Relief of Poor.
17. Zila Saksharta Samiti of a District.
18. Approved University/Education Institution of National Eminence.
19. Fund for technology Development Set by Central Government
20. National Fund for Control of Drug Abuse
21. Swachh Bharat Kosh, set up by Central Government, other than sum spent by assessee for Corporate Social Responsibility u/s 135 of Companies Act,2013[FA,2015]
22. Clean Ganga Fund, set up by Central Government, where such assessee is resident, other than the sum spent by the assessee for Corporate Social Responsibility u/s 135 of Companies Act, 2013

    50% Deduction without qualifying Limit

    a. Jawaharlal Nehru Memorial Fund.
    b. Prime Minister Drought Relief Fund.
    c. Indira Gandhi Memorial trust.
    d. Rajiv Gandhi Foundation.

100% Deduction subject to Qualifying Limit

a. Govt./Local authority for promoting Family Planning.
b. Sum paid by Company to Indian Olympic Association or their notified Institutions for development of Infrastructure for sports or sponsorship of sports in India.

50% Deduction subject to Qualifying Limit

a. Govt/Local Authority for any Charitable Purpose (except Family Planning).
b. Approved Charitable Institution, which has obtained approval u/s 80G(5).
c. Authority engaged in planning, development of cities, towns
d. Corporation established by C Govt or S Govt. for promoting interest of minority community.
e. Notified Temple, Church, Mosque, Gurdwara or other place notified by CG of Artistic Importance for Renovation/Repairs.

Qualifying Limit : 10% of

Gross Total Income
***Less* :**
a) LTCG
b) Short Term Capital Gain u/s 111A
c) All deductions u/s. Chapter VI-A (Except 80G)

Sec. 80GG: Deduction of Rent paid

- Available to Individual (other than salaried employee) or If Individual is Salaried employee he should not be entitled to HRA in order to claim deduction u/s 80GG.
- In respect of Rent paid
- For his Residential Accommodation
- Amount of Deduction

  (a) Rent paid – 10% of Adjusted total Income
  (b) 25% of Adjusted total Income
  (c) Rs.5,000/- per month

  Whichever is less

Special Points:

1. Deduction shall be available only if
   - Assessee/ Spouse/ Minor Child does not own residential accommodation at a place where assessee ordinarily resides or carries on Business or Profession AND
   - Assessee also does not own residential accommodation at other place Which is assessed as self occupied property i.e. value as NIL

2. Adjusted Total Income :

Gross Total Income
Less :
a) LTCG
b) STCG u/s 111A
c) All deductions of Chapter VI-A (other than 80GG)

Sec. 80GGA : Donation for Scientific Research or Rural Development

- Available to All Assessee (provided no P/G/B/P Income)
- For payment made to certain Institutions
- 100% of sum paid to such Institutions is allowed as deduction
- Provided amount greater than 10,000 shall be paid by any mode other than cash.

Donations to Institutions		
Approved Research association or University, college for **Scientific , Social Science or Statistical research**	Public Sector Company or Local Authority or Association approved by National committee for **Social & Economic welfare**	Association engaged in approved Prog. for **Rural Development** or to **Rural development fund**

Special Point : Deduction u/s 80GGA shall not be disallowed if subsequent to payment , approval of such institution or project is withdrawn

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Sec. 80GGB : Contribution to Political Parties

- Assessee being a Indian Company
- Sum contributed to Any Political Party / Electoral Trusts
- 100% of Sum Paid is allowed as deduction
- Provided paid by mode other than Cash

Sec. 80GGC : Contribution to Political Parties

- Any Assessee other than Indian Company, (except institution funded by Govt.)
- Sum contributed to Any Political party/ Electoral Trusts
- 100% of Sum Paid is allowed as deduction
- Provided paid by mode other than Cash

Special Point :

1. Sec 13A : Exemption of Income of Political Party

Following Incomes of Political Party (Registered under Representation of People Act) is Exempt

- Income from house property
- Income from other sources
- Capital gains
- Voluntary contributions received from any person
- Provided
    a. Books of account and documents are maintained to enable AO to compute its income
    b. For voluntary contribution in excess of Rs.20,000 , Name & address of contributor is maintained
    c. Accounts of such political party are audited by CA
    d. Treasurer submits a report under Representation of the People Act,for financial year

2. Electoral trusts - Sec 2(22AAA) : Trust approved by Board in accordance to scheme of C. govt.

Sec 13B. Exemption of Income of Electoral trust

Any voluntary contributions received by an electoral trust during a previous year shall be exempt if

a. such electoral trust distributes to any political party, registered under Representation of People Act, during previous year, 95% aggregate donations received by it during previous year along with surplus, if any, brought forward from any earlier previous year; and
b. such electoral trust functions in accordance with the rules made by the Central Government

Sec 80TTA : Deduction of Interest on Deposits in Savings account

1. Assessee : Individual or HUF
2. Type of Income : Interest on deposits (not being time deposits) in a savings account with (a) Banking including Co-operative bank, (b) Post Office
3. Deduction : Interest income or Rs.10,000 , whichever is less

Special Point : Where interest is derived in a savings account on behalf of Firm/AOP/BOI, no deduction shall be allowed of such interest to partner of firm or member of AOP/BOI

Section 80 TTB – Interest Income

Deduction of Interest on Deposits for Senior Citizens

A new section 80TTB has been inserted vide Budget 2018 in which deductions with respect to interest income from deposits held by senior citizens will be allowed. The limit for this deduction is Rs.50,000

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CHAPTER - 11

Income Tax Authorities, Return of Income & Assessment

Income Tax Authorities (Appointment, jurisdiction, power) Sec 116

The following are the income-tax authorities who are statutorily empowered to administer the law of Income tax:

1. CBDT
2. Directors-General/Chief Commissioners
3. Directors/Commissioners/Commissioner(Appeals);
4. Additional Directors /Additional Commissioners/ Additional Commissioner (Appeals);
5. Joint Directors/Joint Commissioner.
6. Deputy Directors/ Deputy Commissioners/ Deputy Commissioners (Appeals);
7. Assistant Directors/Assistant Commissioner;
8. Income-tax (Assessing) Officers;
9. Tax Recovery Officers;
10. Inspectors of Income-tax.

Types of Assessment

(a) Self assessment (Section 140A)
(b) Regular assessment (Section 143)
(c) Best judgement assessment (Section 144)
(d) Income escaping assessment or re-assessment (Section 147)
(e) Precautionary assessment.
(f) Assessment in case of search or requisition (Section 153A)

(A) SELF ASSESSMENT (SECTION 140A)

Every person, before furnishing return shall make self assessment of his income and pay the tax, if due on the basis of such assessment. The total tax payable is calculated on the total income of the assessee after considering the following amount:

(i) Tax already paid or deducted
(ii) Relief of tax or deduction of tax claimed

Such determined value of tax along with the interest is paid before furnishing the return and the proof of payment of such tax is attached with the return.

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Inquiry before Assessment u/s 142

1. Issue of notice to assessee to submit return (if not submitted earlier)

In a case where a person has not made a return of his income before the end of relevant A/Y, AO may serve a notice after the end of relevant A/Y requiring such person to furnish his return of income.

The AO may ask to produce, such accounts or documents and to furnish in writing and verified in the prescribed manner information in such form and on such points or matters (including a statement of all assets & liabilities, whether included in the accounts or not).

However, previous approval of Joint Commissioner shall be obtained before requiring assessee to furnish a statement of all assets and liabilities not included in the accounts.

Further, AO shall not require the production of any accounts relating to a period more than 3 years prior to p/y.

2. Make Inquiry and give opportunity of being heard u/s 142(2)

3. Give direction to get books of accounts audited u/s 142(2A) to (2D):

Having regard to the nature and complexity of the accounts volume of the accounts, doubts about the correctness of accounts, multiplicity of transaction in the accounts of the assessee and the interests of the revenue, assessing officer is of the opinion that it is necessary to order audit

then with the previous approval of Chief Commissioner or Commissioner the Assessing Officer may direct an assessee to get his accounts audited by an accountant even if the accounts have earlier been audited.

ESTIMATION OF VALUE OF ASSETS BY VALUATION OFFICER (SECTION 142A)

1. The AO may, for the purposes of assessment or reassessment, make a reference to a Valuation Officer to estimate the value, including FMV, of any asset, property or investment and submit a copy of report to him.
2. The Valuation Officer shall, estimate the value of the asset, property or investment after taking into account such evidence as the assessee may produce and any other evidence in his possession gathered, after giving an opportunity of being heard to the assessee.
3. The AO may, on receipt of the report from the Valuation Officer, and after giving assessee an opportunity of being heard, take into account such report in making the assessment orreassessment.

Processing of Return/Intimation to Assessee u/s 143(1)

Where a return has been made u/s 139(1), or u/s 142(1), such return shall be processed in following manner, namely:—

(a) Total income or loss shall be computed after making following adjustments, :—

- Arithmetical error in the return;

- Incorrect claim apparent from any information in return;
- Disallowance of loss claimed, if return of P/Y for which set off of loss is claimed was furnished beyond the due date u/s 139(1);
- Disallowance of expenditure indicated in the audit report but not taken into account in
- computing the total income in return;
- Disallowance of deduction claimed u/s 10AA, 80-IA, 80-IAB, 80-IB, 80-IC, 80-ID or section
- 80-IE, if the return is furnished beyond the due date u/s 139(1); or
- Addition of income appearing in Form 26AS or Form 16A or Form 16 which has not been included in computing the total income in the return:

Provided that no such adjustments shall be made unless an intimation is given to assessee of such adjustments either in writing or in electronic mode:

Provided further that the response received from assessee, if any, shall be considered before making any adjustment, and in a case where no response is received within 30 days of the issue of such intimation, such adjustments shall be made

(b) Tax and Interest, if any, shall be computed on the basis of the total income computed under clause (a);
(c) Sum payable by, or Refundable to, the assessee shall be determined after adjustment of the tax and interest , if any
(d) Intimation shall be prepared or generated and sent to the assessee specifying sum payable or refundable and
(e) Amount of refund due to the assessee in pursuance of the determination under clause (c) shall be granted to assessee:

Provided that an intimation shall also be sent to the assessee in a case where the loss declared in thereturn by the assessee is adjusted but no tax or interest is payable by, or no refund is due to, him:

Provided further that no intimation under this sub-section shall be sent after the expiry of one year from the end of F/Y in which the return is made.

Special Point :

1. Acknowledgement of return shall be deemed to be intimation in a case where no sum is payable or refundable to assessee.
2. Sec 143(1D) : Notwithstanding anything contained in sec143(1), the processing of a return shall not be necessary, where a notice has been issued to the assessee u/s 143(2)

Provided that the provisions of this sub-section shall not apply to any return furnished for A/Y 17/18 onwards

(B) SCRUTINY (REGULAR) ASSESSMENT [SECTION 143(2) & (3)]

- Where a return has been, the AO shall, if he considers necessary or expedient to ensure that
- the assessee has not understated the income or
- has not computed excessive loss or
- has not underpaid the tax in any manner,
- serve on the assessee a notice requiring him,
- on a date to be specified therein,
- either to attend his office or to produce
- any evidence on which the assessee may rely in support of the return

Provided that no notice shall be served on assessee after expiry of 6 months from the end of F/Y in which the return is furnished.

AO shall, by an order in writing, make an assessment of the total income or loss , and determine the sum payable or refundable

(C) BEST JUDGEMENT ASSESSMENT U/S 144

The AO, after taking into account all relevant material which he has gathered, and after giving the assessee an opportunity of being heard, makes the assessment of the total income or loss to the best of his judgment and determine the sum payable by the assessee on the basis of such assessment in the following cases:

- If any person fails to make the return required u/s 139(1)
- When a person fails to comply with all the terms of a notice u/s 142(1) or
- fails to comply with a direction u/s 142(2A) for getting the accounts audited, or
- fails to comply with all the terms of a notice issued u/s 143(2).

Prior to the proceedings the AO should issue a show cause notice to the assessee. However if the assesse has already issued notice under section 142(1)and the assessee has not complied with the terms then AO can proceed further without issuing a show cause notice.

Further AO cannot assess the income below returned income and cannot assess losses higher than the returned losses. A refund cannot be granted under section 144.

The AO can also reject accounts book u/s 145 and can make best judgment assessment u/s144 if:

- The accounts books are incorrect, false or incomplete.
- If the accounting method employed is such that profit cannot be derived from it correctly.
- Where the method of accounting adopted is not followed regularly or
- Income has not been computed in accordance with notified standards or
- income computation and disclosure standards notified by the government are not followed

(D) INCOME ESCAPING ASSESSMENT OR RE-ASSESSMENT (SECTION 147)

If AO has reason to believe that any income chargeable to tax has escaped assessment for any A/Y, he may

– assess or reassess income which has escaped assessment or

– recompute the loss or depreciation allowance or any other allowance,

Assessing Officer shall serve on assessee a notice requiring him to furnish, within such period, as may be specified in the notice,

a return of his income or the income of any other person in respect of which he is assessable under this Act during P/Y corresponding to the relevant A/Y,

Cases	upto 4 years from the end of relevant A/Y	Beyond 4 years but upto 6 years from end of the relevant A/Y
Where assessment order passed u/s 143(3) or 147	Notice can be issued for any amount of escaped income Notice by AC or DC or by AO with approval of JC	Notice can be issued only if escaped income is of Rs.100,000 or more. Notice by AO with approval CCIT or CIT
Where no assessment order passed u/s 143(3) or 147	Notice can be issued by AO whatever be the amount.	Notice can be issued by the AO with approval JC only when the amount is likely to be Rs.100,000 or more

However, the time lime of 6 years is not sufficient in cases where assets are located outside India because gathering information regarding such assets takes much more time on account of additional procedures and laws of foreign jurisdictions.

Therefore, the time limit for issue of notice for reopening an assessment has been increased to 16 years, where the income in relation to any asset (including financial interest in any entity) located outside India, chargeable to tax, has escaped assessment.

(E) PRECAUTIONARY ASSESSMENT

Where it is not clear as to who has received the income and prima facie, it appears that the income may have been received either by A or by B or by both together, the Assessing Officer can commence proceedings against both A and B to determine the question as to who is responsible to pay the tax [Lalji Haridas v. I.T.O(S.C.)].

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Time limit for completion of Assessment/Reassessment (Sec 153)

Section reference	New time limit
Regular assessment u/s 143 Best judgment assessment u/s 144	18 months from the end of the AY in which income was first income was first assessable
Reassessment u/s 147	9 months from the end of the financial year in which notice for reassessment is served
An order of fresh assessment as a result of an order u/s 254 or 263 or 264 setting aside or cancelling assessment	9 months from the end of the financial year in which such in which such order is received by prescribed authorities
Assessment u/s 153A	21 months from the end of the financial year in which the last of the authorisations for search u/s 132 or for requisition u/s 132A was executed prior to FY 2018-19 18 months from the end of the financial year in which the last of the authorisations for search u/s 132 or for requisition u/s 132A was executed during FY 2018-19 12 months from the end of the financial year in which the last of the authorisations for search u/s 132 or for requisition u/s 132A was executed after FY 2018-19
Assessment u/s 153C	21 months from the end of the financial year in which the last of the authorisation for search u/s 132 or requisition u/s 132A was executed prior to FY 2018-19 18 months from the end of the financial year in which the last of the authorisation for search u/s 132 or requisition u/s 132A was executed during 2018-19 12 months from the end of the financial year in which the last of the authorisations for search u/s 132 or for requisition u/s 132A was executed after FY 2018-19

Rectification of mistake (sec 154)

With a view to rectifying any mistakes apparent from the record, an income-tax authority referred to in Section 116 may amend

– any order passed by it under provisions of this Act or

– any intimation or deemed intimation

This power of rectification can be exercised by the authorities either on their own motion or at the instance of the assessee.

Time limit

The time limit for rectification of mistakes is a period of 4 years from the end of F/Y in which the order sought to be amended was passed.

Sec.139(1): Furnishing of Return of Income

- ✓ Every Person
  - Being a company or a firm
  - Being a person other than a company or firm , if his Gross Total Income before exemption u/s 10(38) exceeds exemption amount
- ✓ Shall file return of income
- ✓ On or before due date
- ✓ In the prescribed form
- ✓ Verified in the prescribed manner
- ✓ And containing prescribed particulars

Mandatory return for assessee having foreign assets

- ROR ,who is not required to furnish a return u/s 139(1)
- Holds, Any asset (including any financial interest in any entity) located outside India or
- has signing authority in any account located outside India; or
- shall furnish ,Return of income or loss, on or before the due date,

DUE DATE OF FILING RETURN OF INCOME

Assessee required to furnish a report u/s 92E	:	30th Nov. OF A/Y
Assessee is a Company	:	30th Sept. OF A/Y
Other than Company		
1) Accounts audited under this act. or any other law	:	30th Sept. OF A/Y
2) Working Partner a firm & Firms accounts are audited under this act or any other law	:	30th Sept. OF A/Y
3) Other assessee	:	31ST JULY OF A/Y

Special Point : Sec 92E: Every person who has entered into an international transaction during P/Y shall obtain a report from accountant & furnish such report on or before specified date in the prescribed form duly signed and verified in prescribed manner by such accountant & setting forth prescribed particulars

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Sec. 139(3) : Return of Loss

- ✓ Loss under
  - Business/Profession
  - Speculation
  - Specified Business u/s 35AD
  - Capital Gains or
  - Owning & maintaining race horses
- ✓ Can be carried forward only if
- ✓ return of Loss is furnished
- ✓ Within due date prescribed u/s. 139(1)

Special Points:

1. Return filed u/s 139(3) shall be deemed to be return filed u/s. 139(1)
2. If loss return not filed within due date, then loss cannot be carried forward
3. Set off of Losses : Sec. 139(3) restricts only carry forward of losses. Therefore, losses can be set off even if ROI filed after due date
4. Unabsorbed Depreciation: Sec. 139(3) deals with C/f of losses only. Therefore, unabsorbed depreciation can be C/f if ROI filed after due date
5. Loss under Head House Property: Loss under this head can be C/f even if ROI filed after due date
6. Loss Return furnished u/s. 142(1): Loss determined under return u/s. 142 (1) cannot be C/f

Sec. 139(4) : Belated Return

- ✓ Person not furnished ROI
- ✓ within time allowed u/s. 139(1) or 142(1)
- ✓ He may still furnish ROI
- ✓ At any time before
- ✓ Upto end of relevant A/Y or completion of Assessment , whichever is earlier

Sec. 139(5) : Revised Return

- ✓ Person having furnished ROI u/s. 139(1) or 139(4)
- ✓ Discovers any Omission or Wrong statement
- ✓ May furnish Revised ROI
- ✓ At any time before
- ✓ the end of relevant A/Y or completion of Assessment , whichever is earlier

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Special Points :

- Revised return substitutes original return
- Loss return u/s. 139(3) can be revised
- Return can be revised any number of times

Sec. 139(4A): ROI of Charitable or Religious Trust

- ✓ Total Income of a trust
- ✓ before Exemption u/s. 11 & 12 Exceeds Exempted amount
- ✓ Then it shall file ROI
- ✓ Within time allowed u/s. 139(1)
- ✓ Return filed u/s 139(4A) shall be deemed to be return u/s. 139(1)

Sec. 139(4B): ROI of Political Party

- ✓ Total Income of party
- ✓ before Exemption u/s. 13A Exceeds Exempted amount
- ✓ Then it shall file ROI
- ✓ Within time allowed u/s. 139(1)
- ✓ Return filed u/s 139(4A) shall be deemed to be return u/s. 139(1)

Sec 139(4C): ROI by Assessees Claiming Exemption u/s 10

- ✓ Total income of
- ✓ Research association u/s. 10(21) or
- ✓ News Agency u/s. 10(22B) or
- ✓ Profession associations u/s. 10(23A) or
- ✓ Funds, Trusts, University, Hospitals etc u/s 10(23C) or
- ✓ Trade Unions, Associations u/s. 10(24)
- ✓ Body, Trust u/s 10(46)
- ✓ Infrastructure Debt Fund u/s 10(47)
- ✓ Before Exemption u/s.10 Exceeds Exempted amount.
- ✓ Then such Assessee shall file ROI
- ✓ Within time allowed u/s. 139(1)

Sec 139(4D): ROI by various institutions

- ✓ Every university, college or other institution
- ✓ Referred in sec 35(1)(ii) & 35(1)(iii)
- ✓ Which is not required to furnish return of income or loss under any other provisions
- ✓ Shall furnish the return in respect of its income or loss in every previous year
- ✓ And it shall be deemed to be a return u/s 139(1)

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Sec 139(6) : Particulars to be furnished with the return of income

As per section 139(6), the prescribed form of return of income, shall in certain prescribed cases, require the assessee to furnish the particulars of:

1. Income exempt from tax;
2. Assets of the prescribed nature and value, held by him as a beneficial owner or otherwise or in which he is a beneficiary.
3. Details of bank account and credit card held ;
4. Expenditure exceeding prescribed limits incurred under prescribed heads; and
5. Such other outgoings, as may be prescribed

Sec. 139(9) : Defective Return

ROI shall be regarded as defective unless it is filed in prescribed form with all columns &annexures duly filled in.

Special Points:

1. Notice by AO to rectify defect
   - If AO considers ROI to be defective,
   - he may intimate assesse to rectify the defect
   - within 15 days from the date of receiving the intimation
   - AO can also extend the time limit of 15 days upon application by the assesse

If defect is not rectified within above time period then return treated as void-ab-initio.(invalid)

2. Unsigned return is not invalid return but void-ab-initio. (invalid)

Sec. 140: Verification of ROI

1. Individual
   - Present in India : Himself
   - Absent from India : Either himself or authorized person
   - Mentally Incapacitated : Legal Guardian
   - Other reasons : Authorized Person

(Where ROI is verified by an authorized person, attach Power of Attorney with ROI)

2. Partnership Firm
   - If there is a Managing Partner: Managing Partner.
   - Due to unavoidable reasons MD cannot verify or If no Managing Partner: Any partner (not a minor)
3. Limited Liability partnership
   - By Designated Partner or
   - Due to unavoidable reason such designated partner cannot verify or If no designated partner : Any partner

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4. Company

If there is Managing Director	No MD or he cannot sign due to unavoidable reasons	Where company is a Non-resident	Company Being wound-up	Company whose management taken over by C or S Govt
By Managing Director himself	By any Director	By any person duly uthorised	By the liquidator	By Principal Officer

5. HUF
   - By the Karta himself
   - If Karta is absent from India or Mentally incapacitated : By Any Adult member
6. Political Party : By Chief Executive Officer of the Party
7. Local Authority : By the Principal Officer of the authority
8. AOP/BOI : By any member or Principal Officer of such AOP/BOI
9. Any other Assessee : By that person or a person who is competent to act on his behalf

Sec. 139A : Permanent Account Number (PAN)

Application for allotment of PAN shall be made in the following cases

1. If total income of the person exceeds exemption amount
2. If total sales, turnover or receipts are or likely to exceed 5 lakhs in any p/y
3. If return is to be filed u/s 139(4A)

Time limit for making an application

For point (1) : Upto 31st May of A/Y relevant to P/Y whose Income exceeds exemption amount

For point (2) & (3) : Before the end of financial year

Special points:

1. PAN Suo Moto By AO : Having regard to prescribed transactions, AO may also allot a PAN to any person whether tax is payable by him or not
2. PAN under Central Govt. Directions : for collecting any useful information ,central govt. may direct any class of persons to apply for allotment of PAN
3. Voluntary application of PAN : Any person not required under this section to apply for a PAN may also apply for allotment of PAN

Cases where PAN has to be quoted

- In all returns, correspondences with any Income Tax authority
- In all challans for payment of any sum due under this act
- In documents relating to PRESCRIBED TRANSACTIONS

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Prescribed Transactions where PAN has to be quoted: Rule 114B

	Particulars of Transactions	Value of Transaction
1 2	Sale & Purchase of Immovable property Payment to a dealer for purchase of bullion or jewellery	Rs.5,00,000 or More
3	Sale/Purchase of Securities	Greater than Rs.1,00,000
4 5	Time deposit with any bank Deposit with post Office Saving Banks	
6 7 8 9 10 11 12	Cash Payment for purchase of bank draft, pay order, banker cheque from any bank during one day Cash Deposit in any bank in one account in a day Payment to Mutual Fund for purchase of its units Payment to company for acquiring shares issued by it Payment to company for acquiring debentures or bonds issued by it Payment to RBI for acquiring bonds issued by it Payment of life insurance premium to an insurer	Atleast Rs.50,000
13 14	Payment of Hotel/Restaurant bill at one time Cash payment for travel to foreign country (Does not includes travel to Pakistan ,Nepal ,Bhutan, Bangladesh, Srilanka, Maldives or travel to China on kailash mansarover or to Saudi Arabia on Haj	Greater than Rs.25,000
15 16 17 18	Sale/Purchase of Motor vehicle (other than 2 wheelers) Application for installation of Telephone/Cellular Opening an Account with any bank Application for Credit/Debit Card	Any value

Special Points: A person does not have PAN Has to give declaration in Form 60

139B: Scheme for submission of returns through Tax return Preparers

- Every person Other than
- A company or person required to get his accounts audited under any law
- May furnish his return
- Through Tax Return Preparers
- Authorised to act under scheme framed by CBDT

Special Points:

1. Every TRP shall assist, the person furnishing the return, in manner as specified in scheme and affix his signature on such return
2. TRP shall not include
   - Officer of schedule bank in which assessee has current a/c or has regular dealings or
   - a Legal practitioner in civil courts or
   - a Chartered accountant or
   - an employee

CHAPTER – 12 ADVANCE TAX & INTEREST

Sec 207 : Liability for payment of Advance Tax

- Tax shall be payable
- in ADVANCE
- during any financial year
- on Total Income which would be chargeable in following assessment year
- as per sections 208 to 219

Special point : Advance Tax is not applicable for Individual who is a Senior Citizen & does not have any income chargeable under the head "Profits and Gains of business or profession.

Sec 211 : Liability for payment of Advance tax for person u/s 44AD/ADA

An eligible assessee engaged in an eligible business referred to in section 44AD/ADA is liable to pay advance tax in a single instalment on or before the 15th of March every financial year.

Interest under the said section shall be levied, if the advance tax paid on or before the 15th March, is less than the tax due on the returned income

Sec 208 : When liability arises

- Advance tax shall be payable during a financial year
- where amount of Advance tax Liability
- during that year is 10,000 or more

Sec 209 : Computation of Advance tax Liability

Step 1 : Estimate TOTAL INCOME of the current financial year
Step 2 : Compute Tax on such Estimated income
Step 3 : Add Education cess @ 3%
Step 4 : Deduct T.D.S
Balance is advance tax liability during the financial year

Special point : For computing liability for advance tax, income-tax calculated shall not be reduced by TDS during the said F/Y if payer has paid such income without deduction of tax.

Sec 210 : Payment of Advance Tax

<u>Payment by assessee on his own</u>

- Every person who is liable to pay advance tax u/s 208
- Shall on his own
- Pay Advance tax on his income
- on or before due date u/s 211
- Calculated in manner u/s 209

Increase or decrease of subsequent installments

- A person who pays any installment of advance tax
- May increase or reduce advance tax payable in remaining installment
- In accordance with estimate of current income

Sec 211: Due dates for Payment of Advance Tax

Due Date of installment	**% of Advance Tax**
Upto 15 June of current financial year	**Atleast 15%** of advance tax liability
Upto 15 September of current financial year	**Atleast 45%** of advance tax liability
Upto 15 December of current financial year	**Atleast 75%** of advance tax liability
Upto 15 March of current financial year	**Atleast 100%** of advance tax liability

Special point

1. Where assessee declares profits u/s 44AD, whole amount of such advance tax can be paid on or before the 15th March of the F/Y
2. Any amount paid by way of advance tax on or before 31st day of March shall also be treated as advance tax paid during F/Y ending on that day for all the purposes of this Act.

Sec 234C: Interest for Deferment of Advance Tax

Conditions	**Rate**	**Months**	**Amount on which interest payable**
Advance tax paid upto 15th june is less than 12% of Tax as per ROI	1% Pm	3	15% of Tax as per ROI Less Advance tax paid upto 15th june
Advance tax paid upto 15th Sept is less than 36% of Tax as per ROI	1% Pm	3	45% of Tax as per ROI Less Advance tax paid upto 15th Sept.
Advance tax paid upto 15th Dec is less than 75% of Tax as per ROI	1% Pm	3	75% of Tax as per ROI Less Advance tax paid upto 15th Dec
Advance tax paid upto 15th March is less than 100% of Tax as per ROI	1% Pm	3	100% of Tax as per ROI Less Advance tax paid upto 15th March
For assessee covererd u/s 44AD			
Advance tax paid upto 15th March is less than 100 % of Tax as per ROI	1% Pm	1	100% of Tax as per ROI Less Advance tax paid upto 15th March

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Proviso to Sec 234C: Payment of Advance tax in case of Capital Gain/Casual income

Advance tax is payable on all incomes including capital gains and winnings from lottery and cross word puzzles etc.

Normally it is not possible for an assessee to estimate such gains.

No interest liability will arise u/s 234C if advance tax is paid as follows

- ✓ If such gains arises after due date of installment
- ✓ Then entire tax payable on such incomes
- ✓ Should be paid in remaining installments which are due
- ✓ However if such income arises after 15 march, then entire tax has to be paid by 31st march of relevant financial year.

Sec 234B: Interest for Non Payment of Advance tax

- ✓ If advance tax not paid or
- ✓ If advance tax paid is less than 90% of tax as per ROI
- ✓ Interest shall be payable @ 1% per month or part of the month
- ✓ From 1st April of the following financial year
- ✓ Upto the date of payment of self assessment tax
- ✓ Interest shall be payable on Tax as per ROI less Tax paid

Sec 234A : Interest for defaults in furnishing Return of Income

- ✓ Where the Return of Income for any assessment year
- ✓ Is furnished after the due date
- ✓ Interest shall be payable @ 1% per month or part of the month
- ✓ From date after Due date of return to Date of payment of tax
- ✓ On Tax as per ROI less Tax Paid

Sec 244A : Interest on Refund

- ✓ Where refund of any amount becomes due to the assessee under this Act,
- ✓ he shall be entitled to receive,
- ✓ in addition to the said amount
- ✓ Interest @ 0.5 % pm or part
- ✓ from the 1st April of assessment year to the date on which the refund is granted

Special point :

1) No interest u/s 244A shall be receivable if the amount of refund is less than 10%of the tax
2) If the proceedings resulting in the refund are delayed for reasons attributable to the assessee, whether wholly or in part, the period of the delay so attributable to him shall be excluded from the period for which interest is payable.

Illustration:

Mr. X Estimates his total taxable income for Rs.500000/= for financial year 2019-20. After considering all the deduction u/s Chapter VI-A, The amount of Income Tax liability is Rs.25000/=. He is 45 years old. Calculate the amount of advance tax to be paid by him.

Solution:

Mr. X is supposed to pay advance income tax during financial year 2016-17 as under:-

DATE OF PAYMENT	ADVANCE TAX TO PAY	AMOUNT
UP TO 15.06.19	15% OF RS.25000/=	=25000*15% = 3750
UP TO 15.09.19	45% OF RS.25000/=	=25000*45% =11250-3750 =7500
UP TO 15.12.19	75% OF RS.25000/=	=25000*75% = 18750 – 3750-7500 =7500
UP TO 15.03.20	100% OF RS.25000/=	=25000*100%= 6250
TOTAL	ADVANCE TAX TO PAY	

How to Deposit Advance Income Tax? Advance Income Tax can be deposited with any authorized bank by Income Tax Department. Challan No.280 is used to pay income tax amount.

Note : W.e.f. 01.04.2008 All Companies and the assessees whose accounts are supposed to be audited U/s 44AB, are required to pay through Internet Banking (Online Payment) only. However, any other assessee also can make payment of income tax through net-banking from his account or from the account of any other person. Advance Tax also can be paid through internet by way of credit or debit card.

Illustration:

Estimated income tax to be paid by Mr. X for financial year 2019-20 (Assessment year 2020-21) is Rs.50000/=. He paid Rs.5000/= on 13.06.19, Rs.8000/= on 14.09.19, Rs.10000/= on 15.12.19 and Rs.20000/= on 10.03.20. Calculate the interest liabilities on income tax if he pays balance amount along with interest on 12.07.2020.

Solution:

a) Installments of Income tax to be paid

Estimated income tax for F.Y. 2019-20		Rs.50000/=
Add: Education Cess @ 2%		Rs.1000/=
Add: Secondary & Higher Education Cess @1%		Rs. 500/=
Total Advance Tax payable		Rs.51500/=
Tax should be deposited on or before 15.06.16	(15%)	Rs.7725/=
Tax should be deposited on or before 15.09.16	(45%	Rs.23175/=
Tax should be deposited on or before 15.12.16	(75%)	Rs.38625/=
Tax should be deposited on or before 15.03.17	(100%)	Rs.51500/=

b) Interest on Short-fall under section 234C

Due Date	Total Amount Due	Total Amount Paid	Short fall	Period	Interest 1% P.M.
15.06.16	7725	5000	2725	3 months	82
15.09.16	23175	13000	10175	3 months	305
15.12.16	38625	23000	15625	3 months	469
15.03.17	51500	43000	8500	1 month	85
Total interest payable up to 31.03.17					**941**

Note: 90% of total tax payable of Rs.50000/= is Rs.45000/= but Mr. X deposited Rs.43000/=. It means he deposited less than 90% of total tax amount during financial year 2016-17. Therefore he has to pay interest under section 234C.

c) Interest on late of payment of advance income tax under section 234B and total amount to be paid

Income Tax Payable	8500
Interest Payable for shortfall of Advance Tax Payment under section 234C	941
Interest payable on Rs.8500/= for 4 months @ 1%	340
Total Amount of tax and interest to be deposited on 12.07.17	9781

Note:

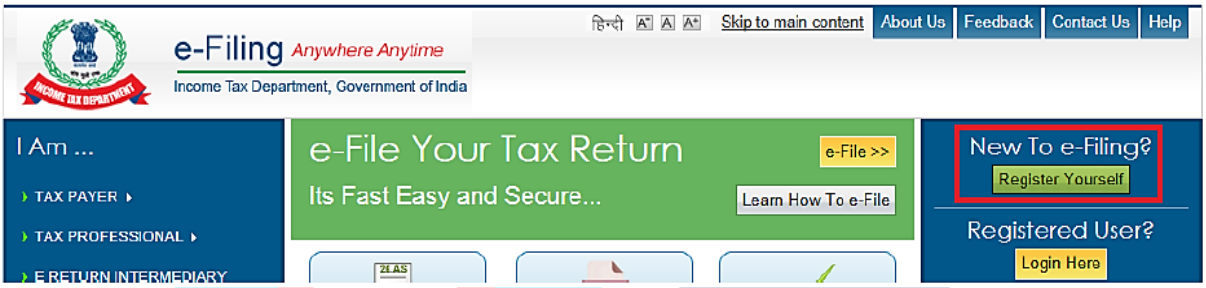
- Interest is calculated for complete month not in friction of month.
- Education Cessis charged on amount of income tax payable @ 2%.
- Secondary and Higher Education Cess is charged @ 1% on income tax amount.
- If 90% of total tax is deposited up to 31.03.17 then no interest is charged on balance amount from 01.04.17 under section 234B. In above illustration, total amount of advance tax paid is less than 90%. That is why interest is being charges @ 1% from April' 2017 to July,2017 under section 234B.

Individual User Registration

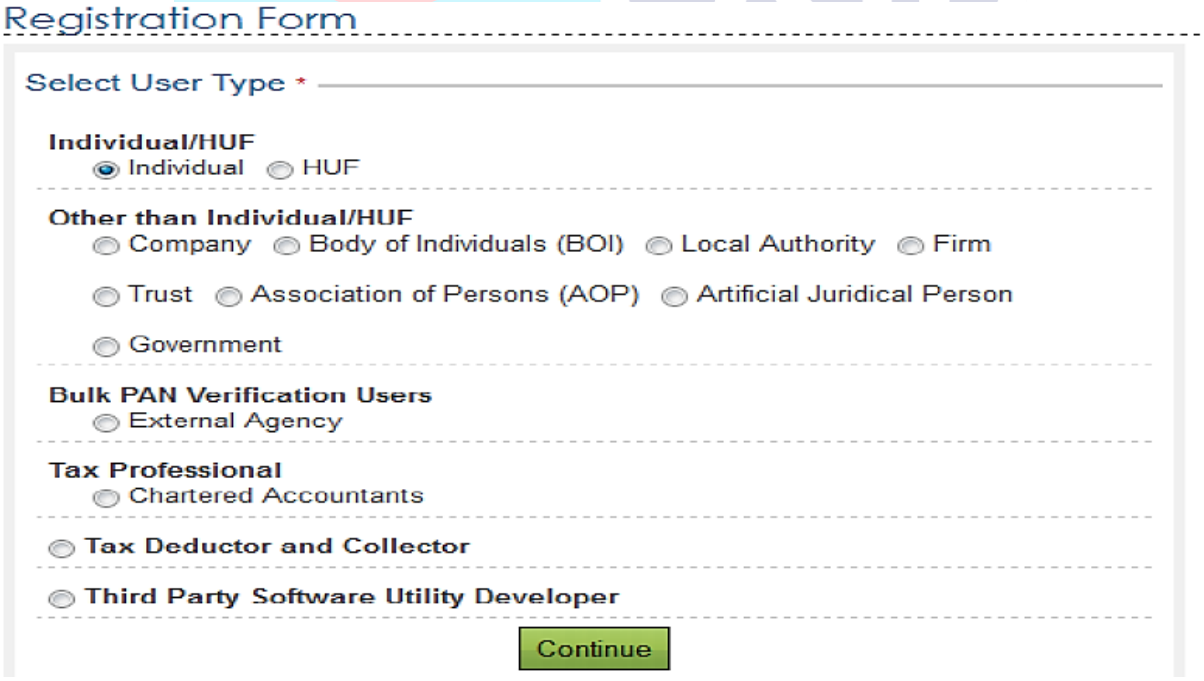
An **Individual** should have a valid PAN for registering with the e-Filing application.

Registration Process

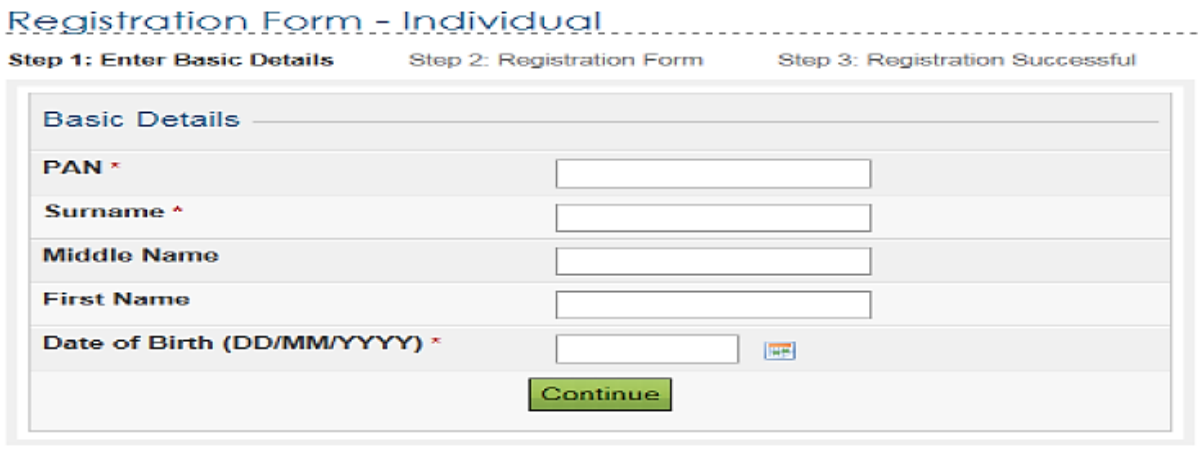
- Type in the URL of e-Filing application (https://incometaxindiaefiling.gov.in)



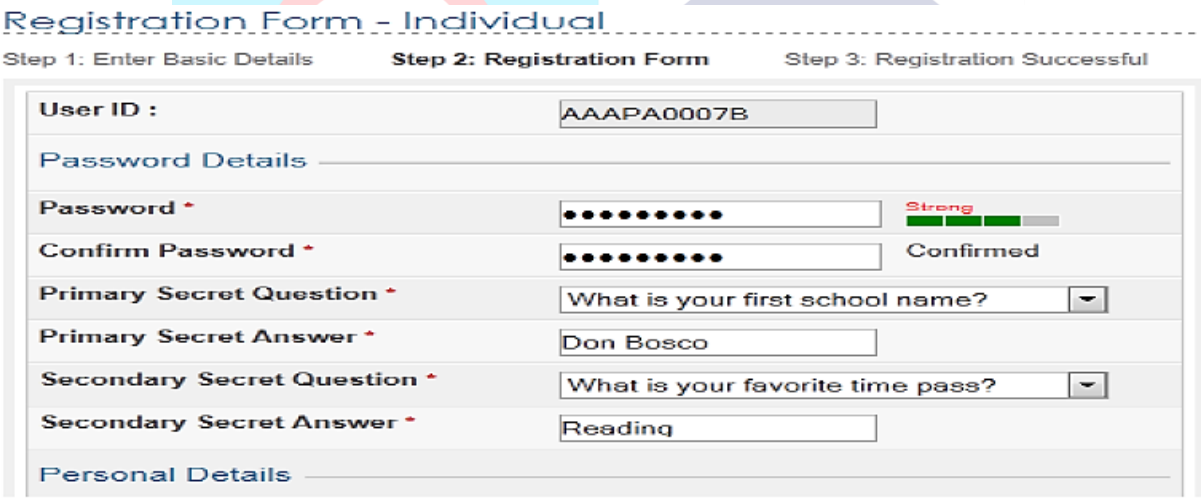
- Click on the '**Register Yourself** 'tab and select '**Individual** 'against the radio button found under "**Individual/HUF**".



- The user will be directed to the registration page and the user will fill the following fields for further validation.
  - **PAN** –Mandatory, should be valid PAN.
  - **Surname** –Mandatory, should be as per the PAN details.
  - **First Name**–Not mandatory, should be as per the PAN details.
  - **Middle Name**-Not mandatory, should be as per the PAN details.
  - **Date of Birth**–Mandatory, should be as per the PAN details.



➢ Click on the **"Continue" button**. The registration details page should be displayed.

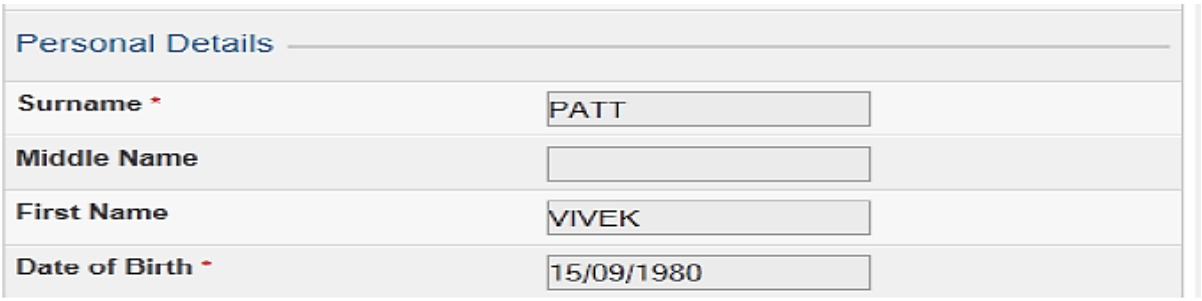


A. Password Details

- **User ID–**This will be automatically populated by the system, which is entered in the **Basic Details** screen.
- **Password**–Mandatory, should be between 8 –14 characters, alphanumeric and should contain at least one special character.
- **Confirm Password**–Mandatory, The user has to enter the same password as entered above.
- **Primary Secret Question**–Mandatory, The user needs to select any one question from available in the drop down.
- **Primary Secret Answer**–Mandatory.
- **Secondary Secret Question**–Mandatory, The user needs to select any one question from available in the drop down.
- **Secondary Secret Answer** –Mandatory.

B. Personal Details

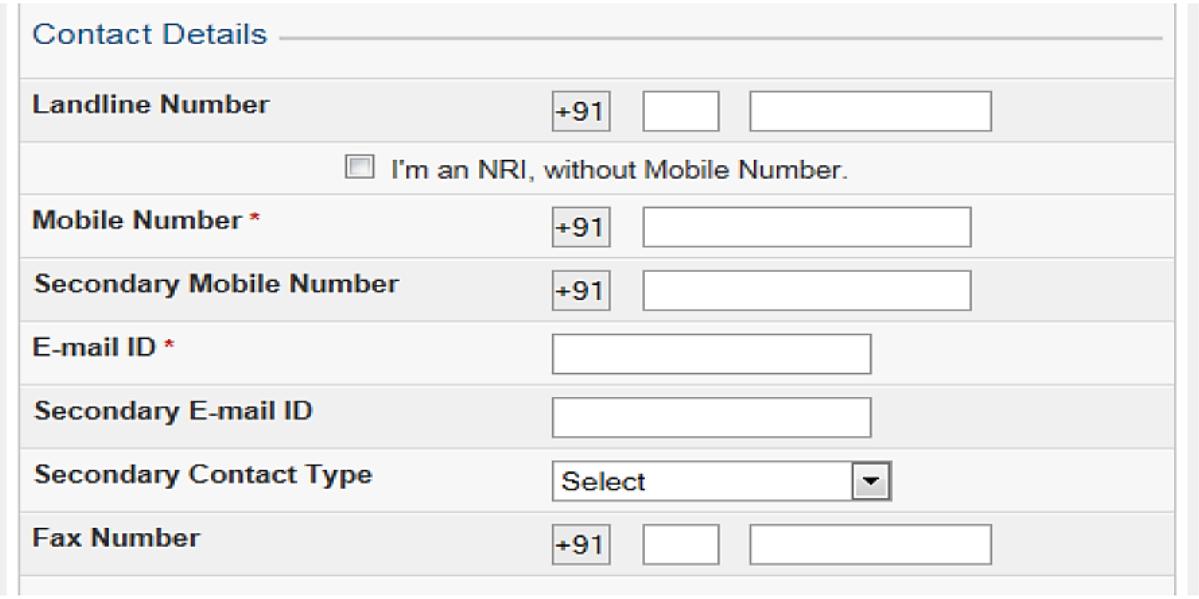
These details could be automatically populated by previously entered basic details.



C. Contact Details

- **Landline Number –**Not mandatory.
- **Mobile Number –**Mandatory.
- **Alternate Mobile Number -**Non mandatory.
- **Email ID –**Mandatory, should be valid E-mail ID.
- **Alternate Email ID -**Non mandatory, should be valid E-mail ID.
- **Fax Number –**Non-mandatory.

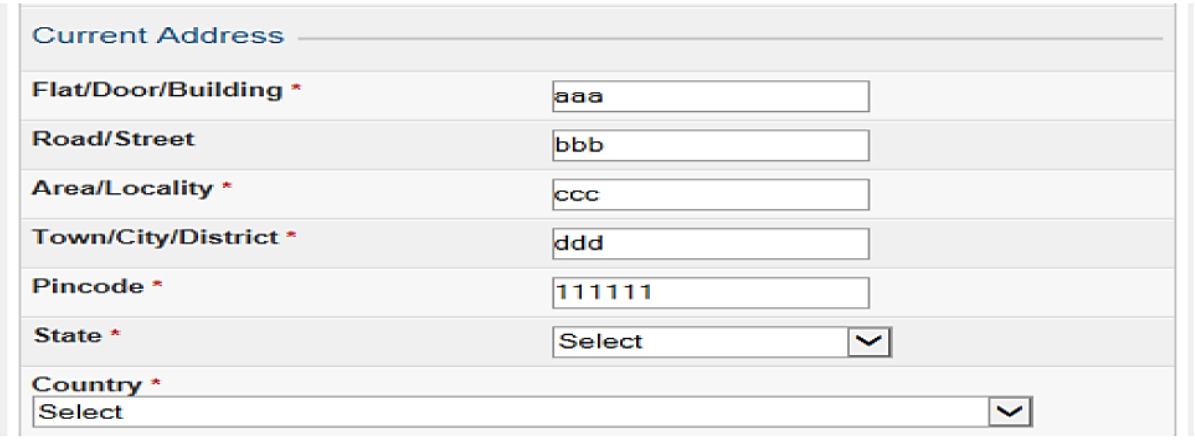
Note: Same Mobile Number and Email ID can be used for a maximum of 10 assessees, as their Primary Contact details.



D. Current Address

- **Flat/Door/Building –**Mandatory.
- **Road/Street –**Non-mandatory.
- **Area/Locality –**Mandatory.

- **Town/City/District –**Mandatory.
- **State –**Mandatory, user selects from the drop down provided.
- **Pincode –**Mandatory.
- **Country-**Mandatory, user selects from the drop down provided.



E. Subscribe to Mailing List

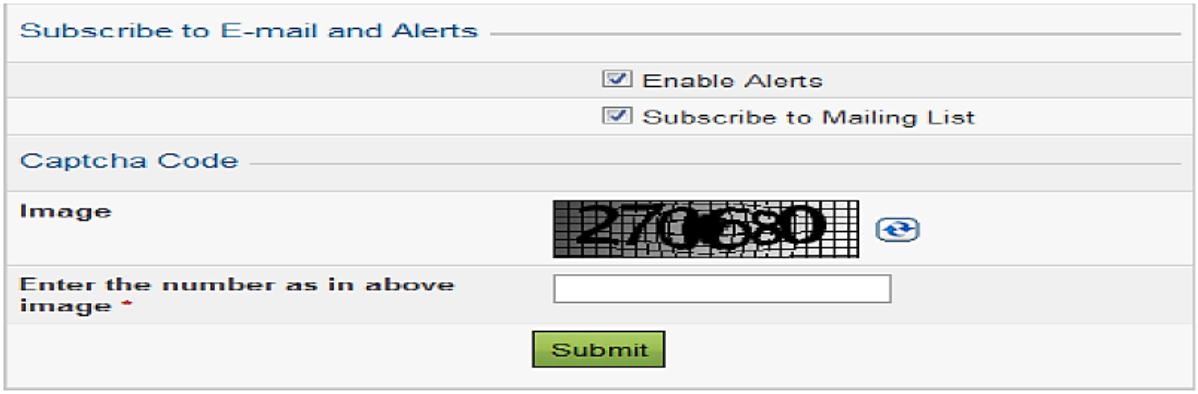
This will be auto-selected. User can un-check the box provided to un-subscribe for mailing list.

F. Enable Alerts, reminder and notifications

This will be auto-selected. User can un-check the box provided to disable alerts, reminders and notification.

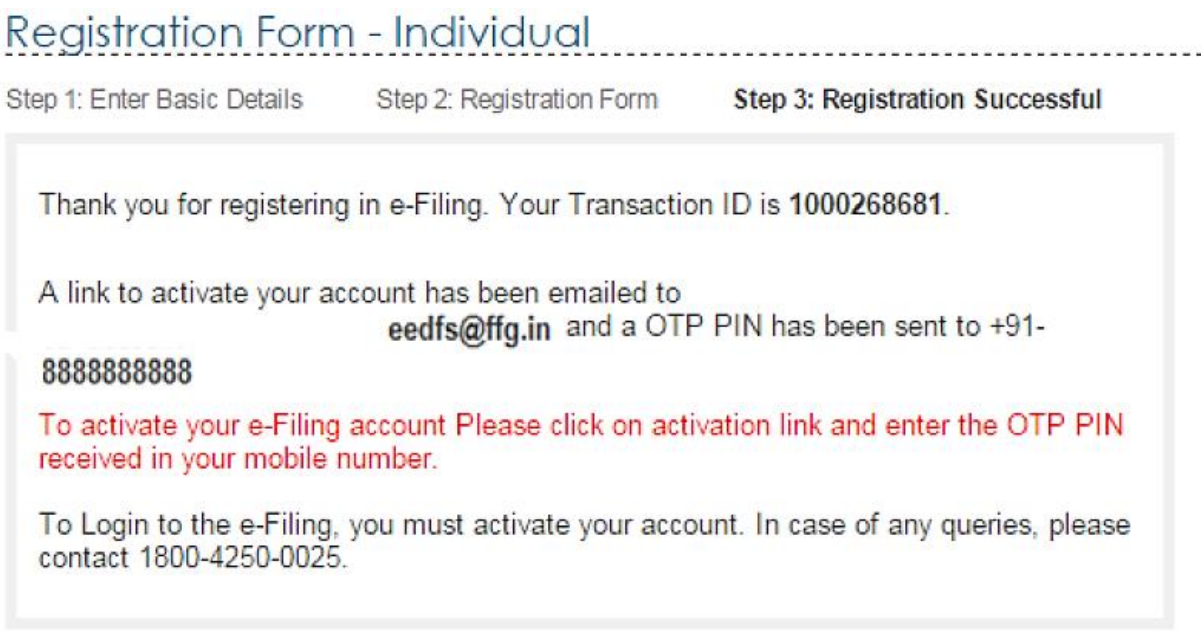
G. Captcha

This is mandatory and the user has to type in the numeric code which appears on the screen.



➢ Click on 'SUBMIT'. If it is success, user will be navigated to the "**Registration successful**" screen.

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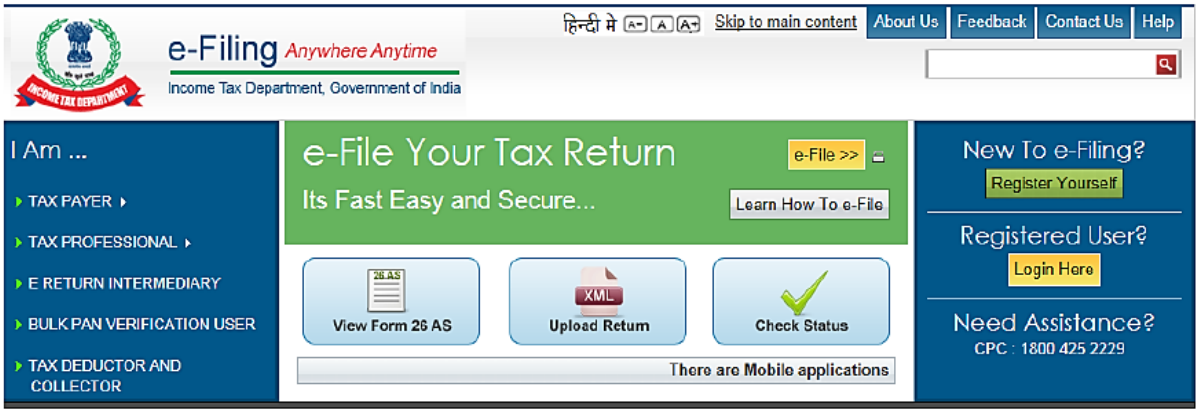
The user receives a confirmation e-mail with an **activation link to the registered Email ID**. An SMS along with OTP (One time Password) is also sent to the registered Mobile number.

In order to activate the account, the user should click on the **Activation link and enter the Mobile PIN.** On success, the user account is activated and the database is updated.

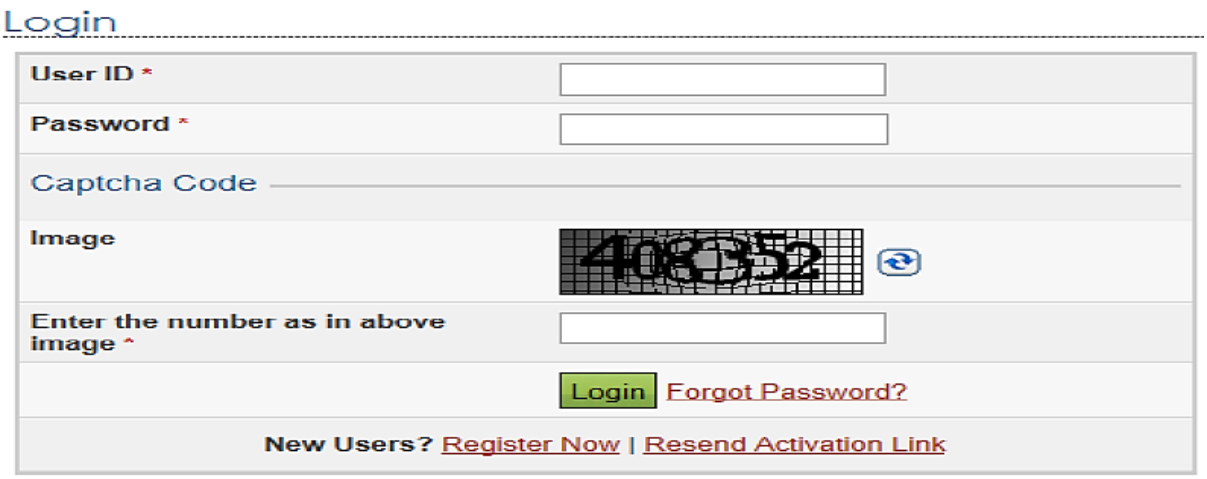
For Non-Resident Indian, Mobile PIN is exempted.

Login

In browser, enter the URL of the e-Filing application (https://Incometaxindiaefiling.gov.in).



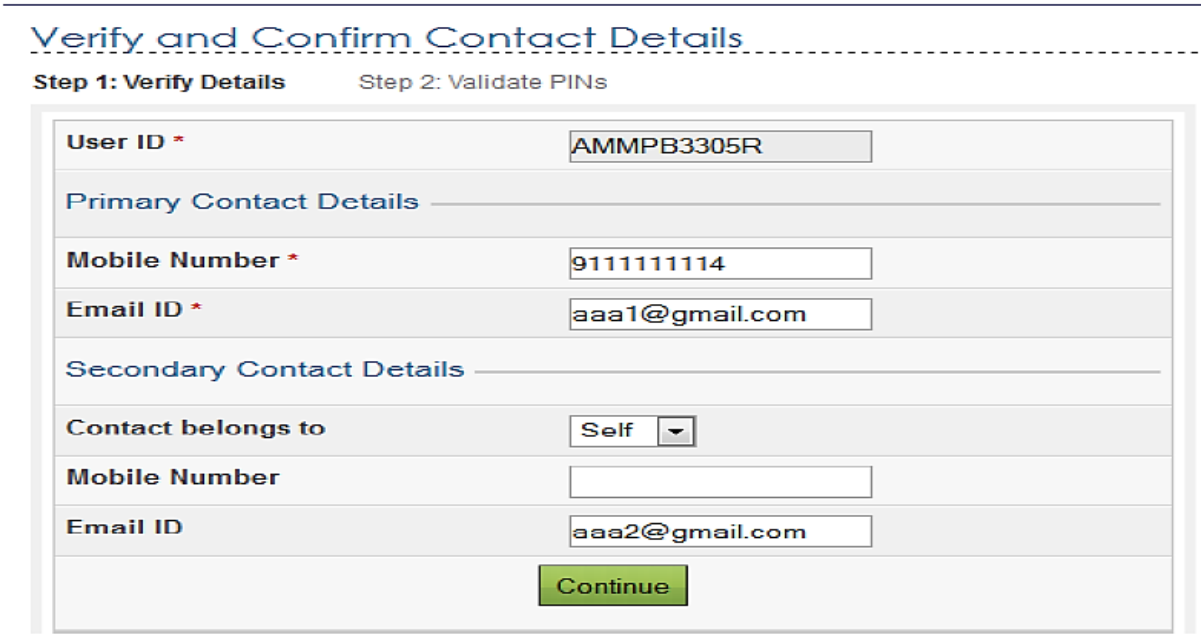
Click 'Login Here' button. Enter User name (PAN/TAN), password, DOB and Captcha code



Click Login.

The user is requested to update a valid Mobile number and E-mailID or confirm the Mobile number and Email ID already registered is their profile. (Department would share all critical communications only to the mobile number and Email ID registered in e-Filing portal.)

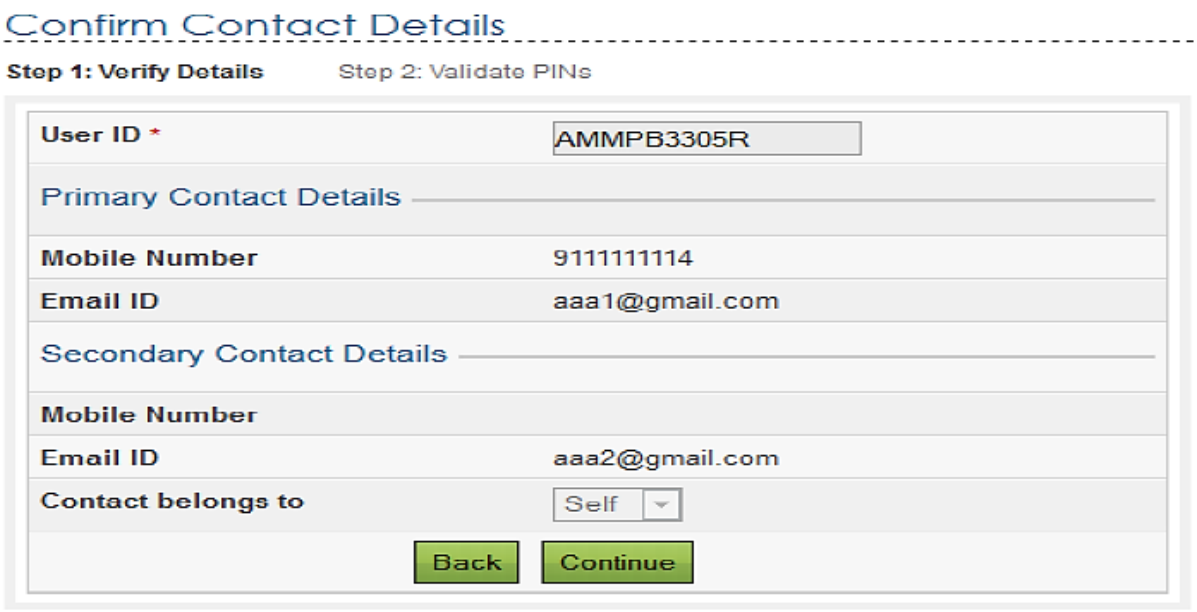
The user can edit his details and click on the “Continue” button.



User has to confirm the Contact details and Click on Continue button.

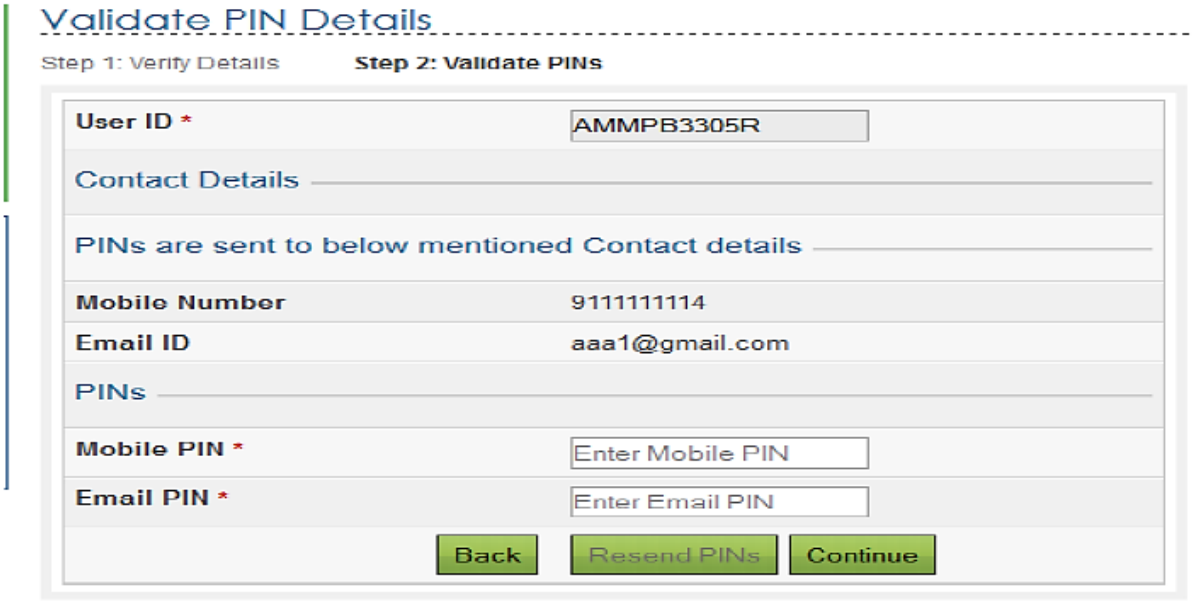
Or click on Back button to change the details

A mobile PIN and email PIN will be sent to the primary mobile number and primary Email ID respectively.

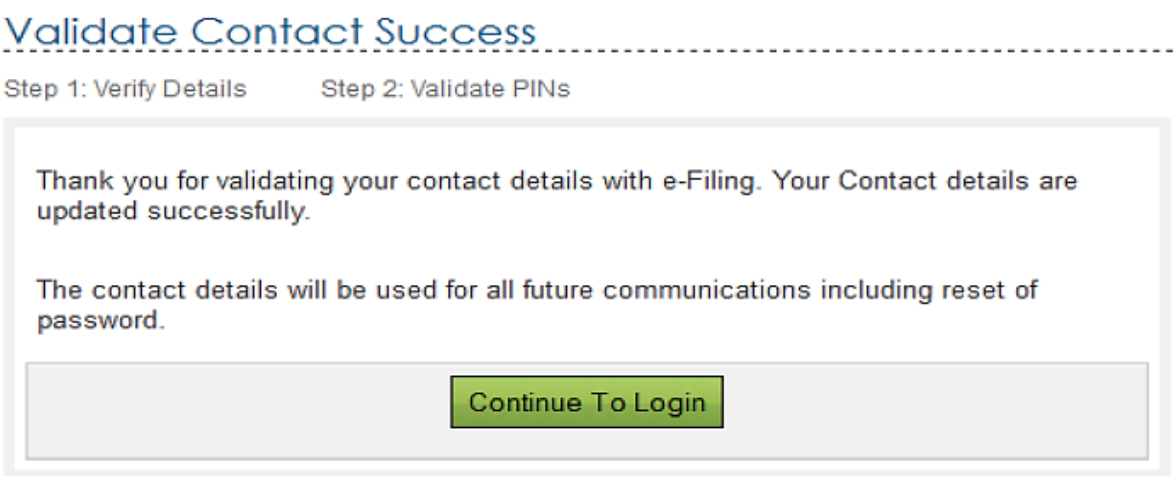


Enter Mobile PIN and Email PIN is respective fields and click Continue button

If the PINs are not received within the specified time (say 2 minutes), the taxpayer may opt for “Resend PINs” option. The PINs once received will be valid for 24hours.



A success message will be displayed. The user can click on “Continue to Login” button wherein the user will be taken to the Dashboard.

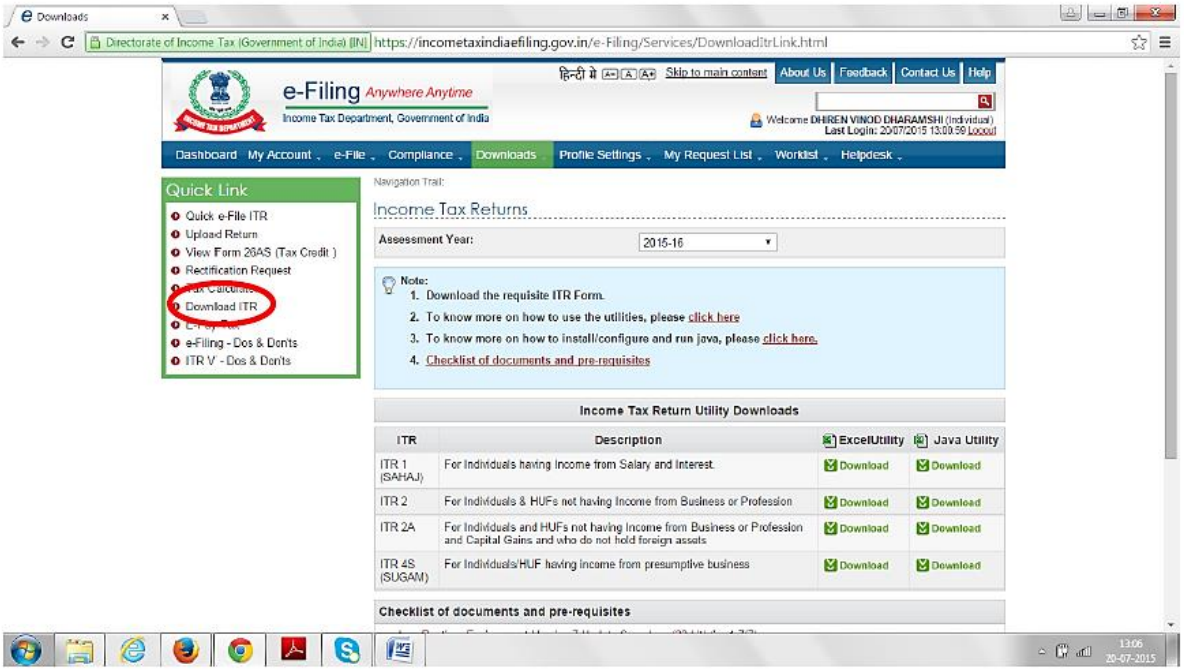


E-FILING OF RETURNS

Returns can be filed either in the offline mode or in the online mode. Although the details to be updated are the same in both the modes, the mode of uploading the returns differs. The Income Tax website indicates a checklist to be kept ready while filing the returns. This includes salary/income certificates, TDS certificates, savings and deductions certificates, copy of the previous year's income tax returns, interest and capital gains statements among others. Let's look at the steps involved in both the modes:

Filing returns in the offline mode:

You will have to download the return preparation software for this purpose. Click on Download ITR given in the left panel after you login to your account.

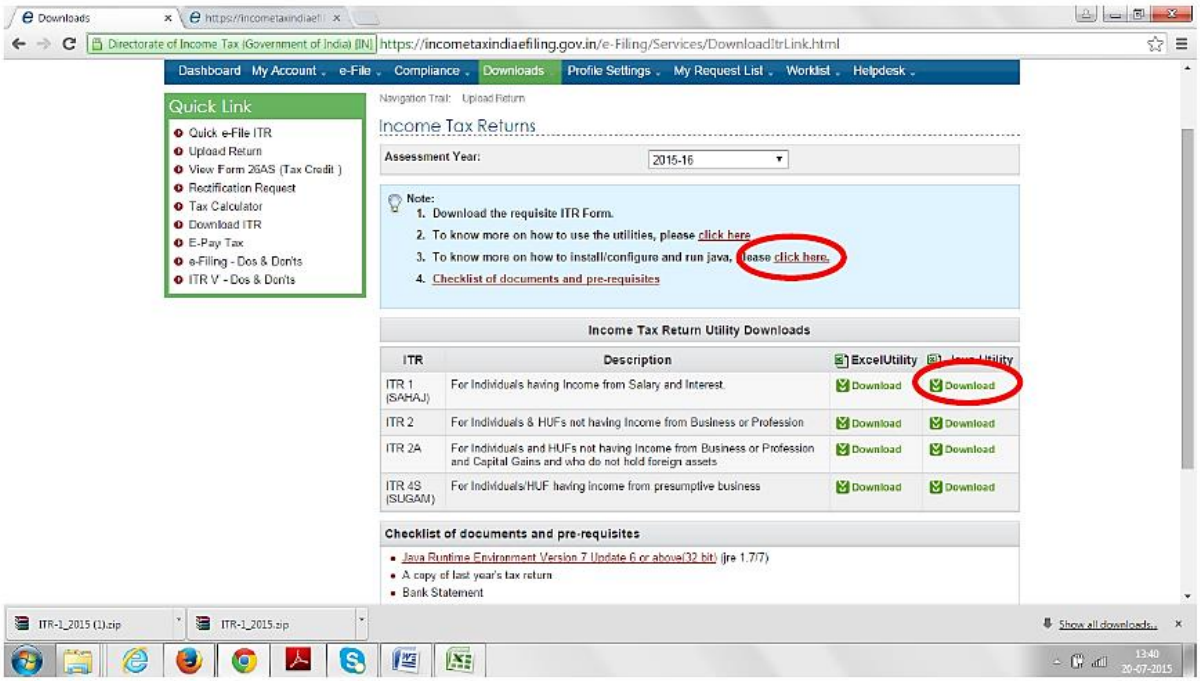


There are two ways of filing the returns in the offline mode. It is seen that the return utility can be an Excel Utility or a Java Utility. Click on the appropriate utility pertaining to the ITR which is applicable to you.

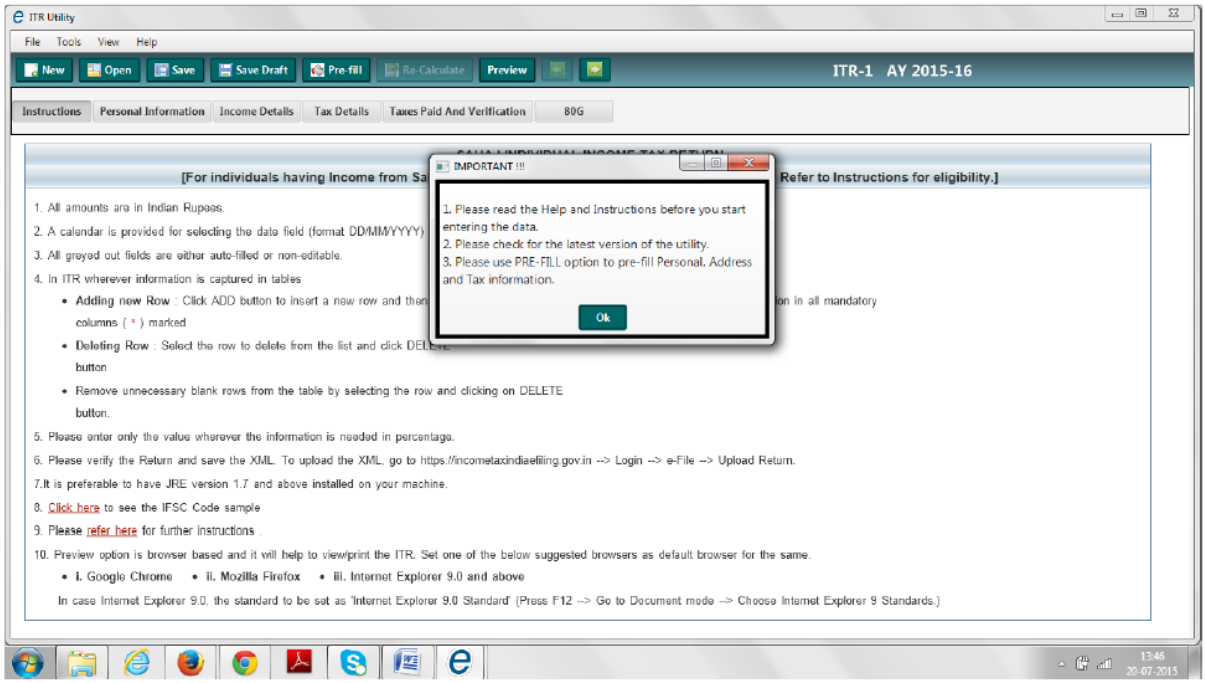
Let us look at filing through both the Java Utility and the Excel Utility for ITR 1, i.e.: for individuals with income from salary and interest.

JAVA UTILITY

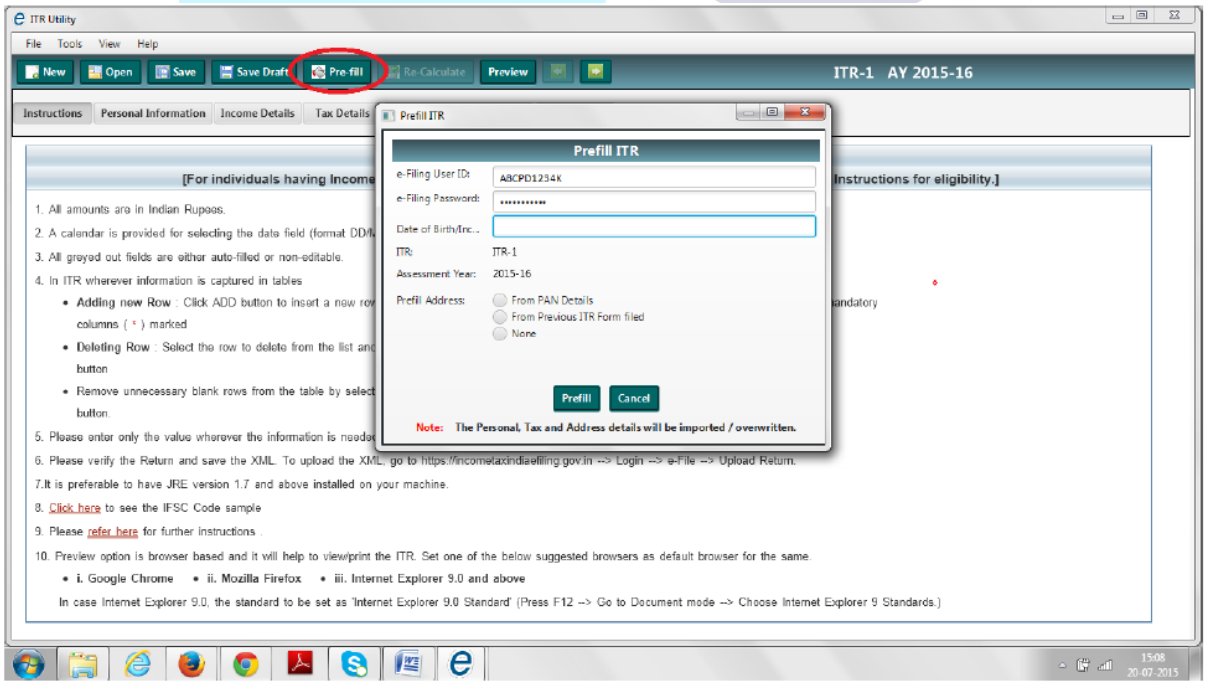
Step 1: Click on Download under the Java Utility column. The Java Utility zip file will be downloaded on your computer. It must be remembered to have the updated Java version to run the utility. The same page also has details of how to install and configure the utility.



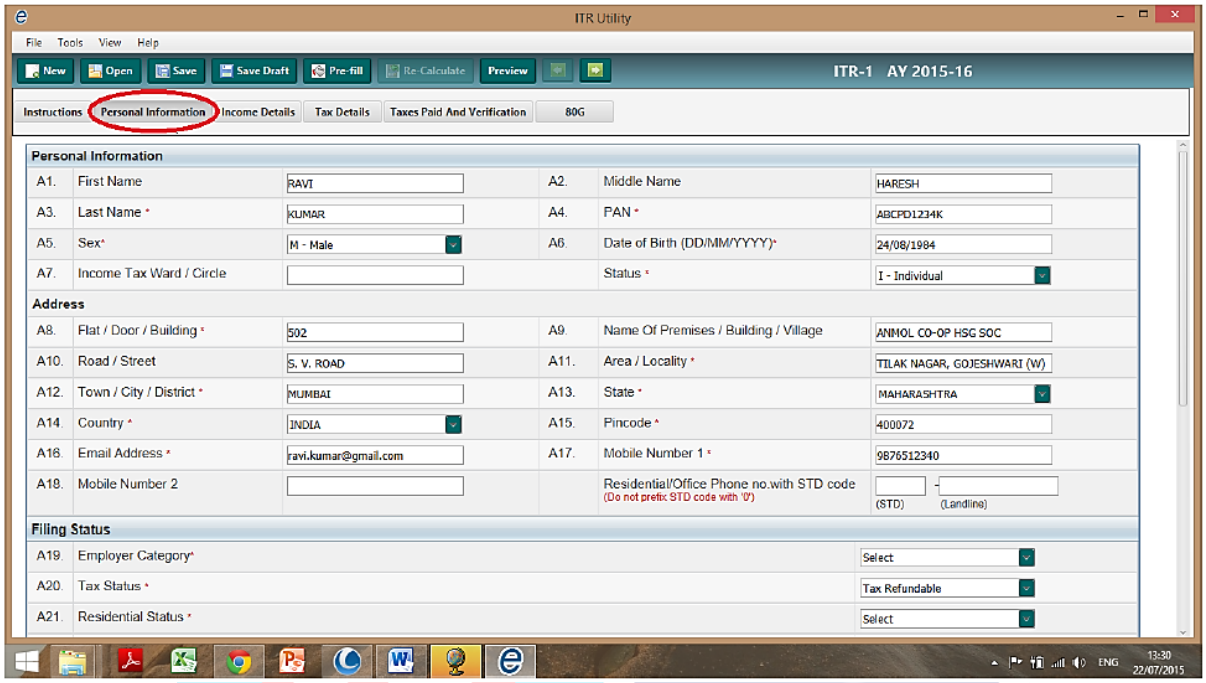
Step 2: Unzip the file and open the Batch file. You will now see a screen like this:



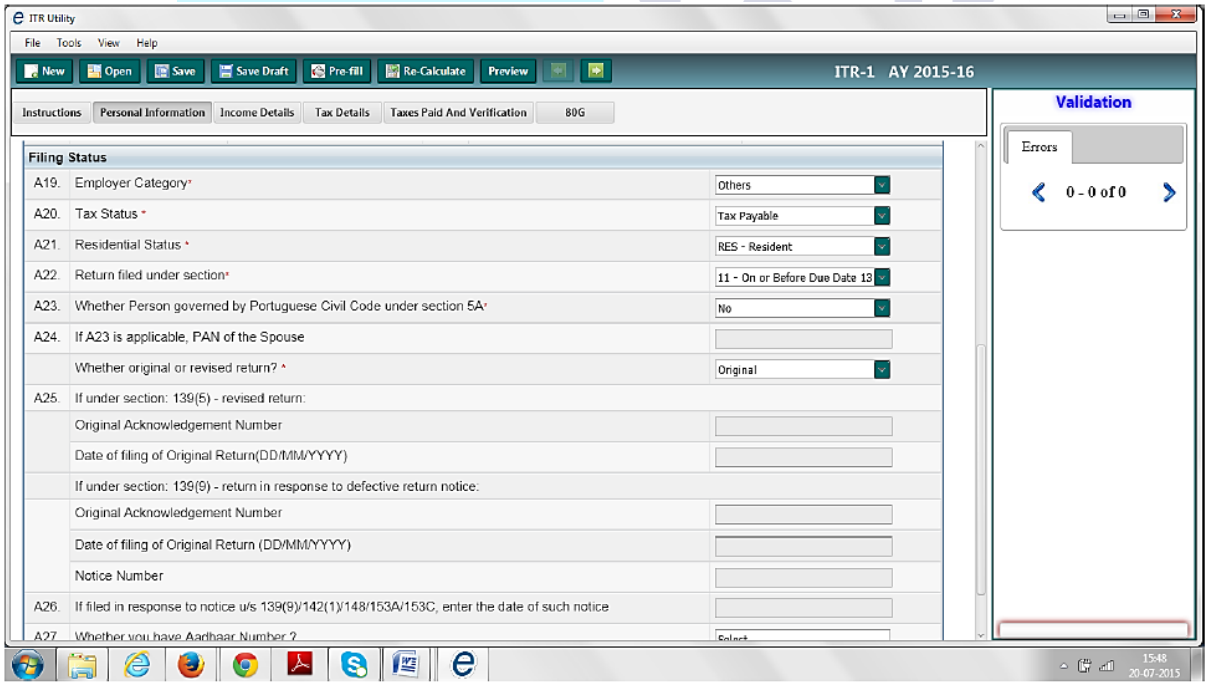
Step 3: Remember to read the instructions carefully before you proceed to fill the information. Click on Pre-Fill to automatically fill your personal details. You will be asked to fill in your PAN, password, Date of Birth and the option from which source you would like to pre-fill the details (from the previous IT returns or from the PAN database).



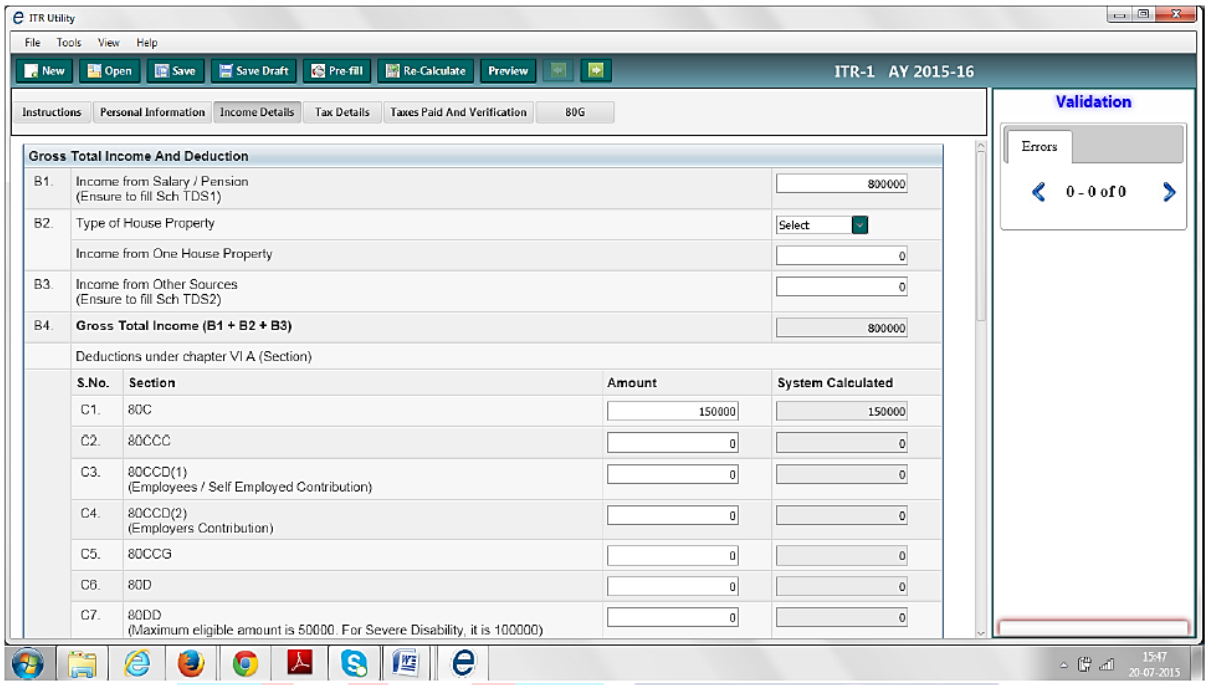
Step 4: You will need to verify the details which have been pre-filled. Click on the 'Personal Information' tab to check these details.



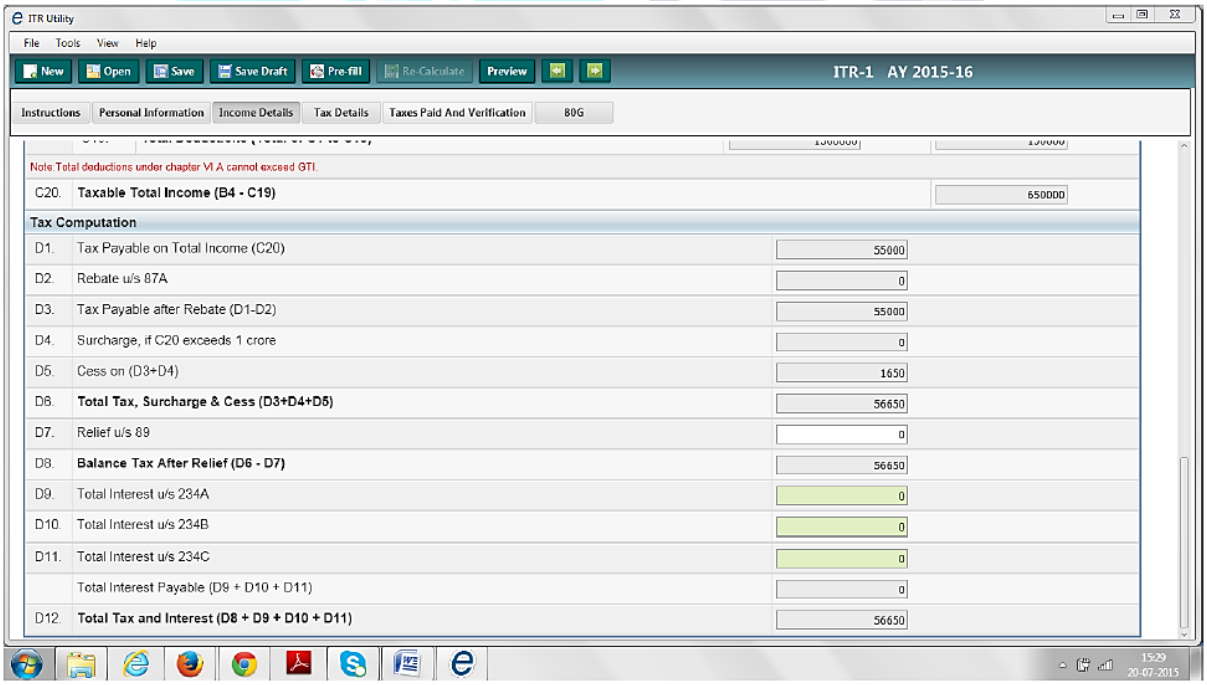
Details under the section 'Filing Status' is usually not pre-filled. Therefore, these details must be filled in manually.



Step 5: Input income details by click on the 'Income Details' tab in the ITR Utility. Remember to fill in all details, including income and the deductions under various Sections.

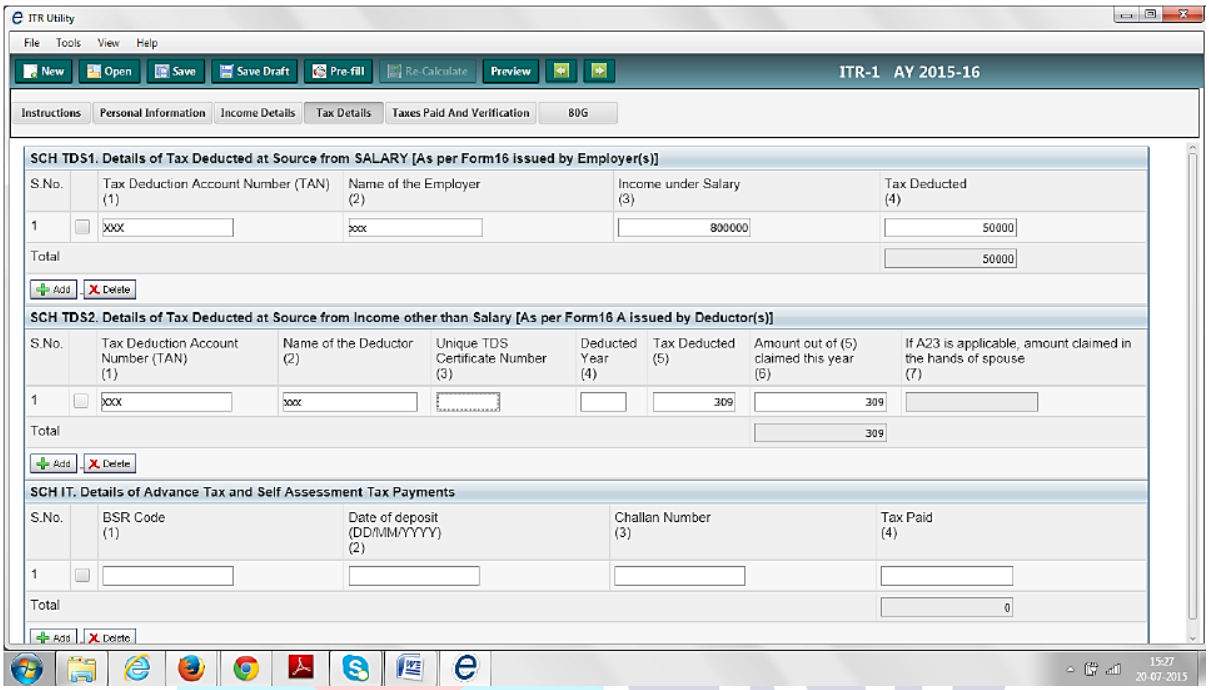


Tax Computation is done by the software and the total tax to be paid by the assessee is shown in this tab:

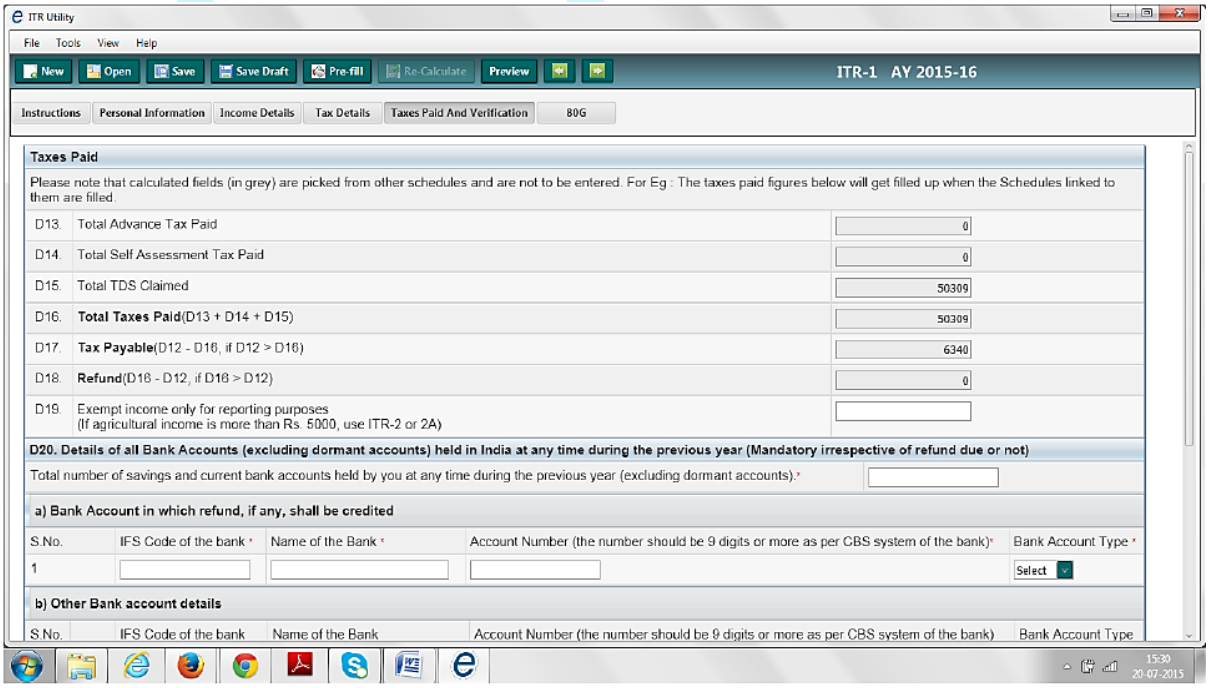


Step 6: The 'Tax Details' tab in the ITR Utility pertains to details on the Tax Deducted at Source under various heads and details on the Advance Tax and Self Assessment Tax paid. Usually, some of these details are populated when you use the pre-fill option. The fields which are not filled in automatically should be filled in manually. For this purpose, you should use the Form

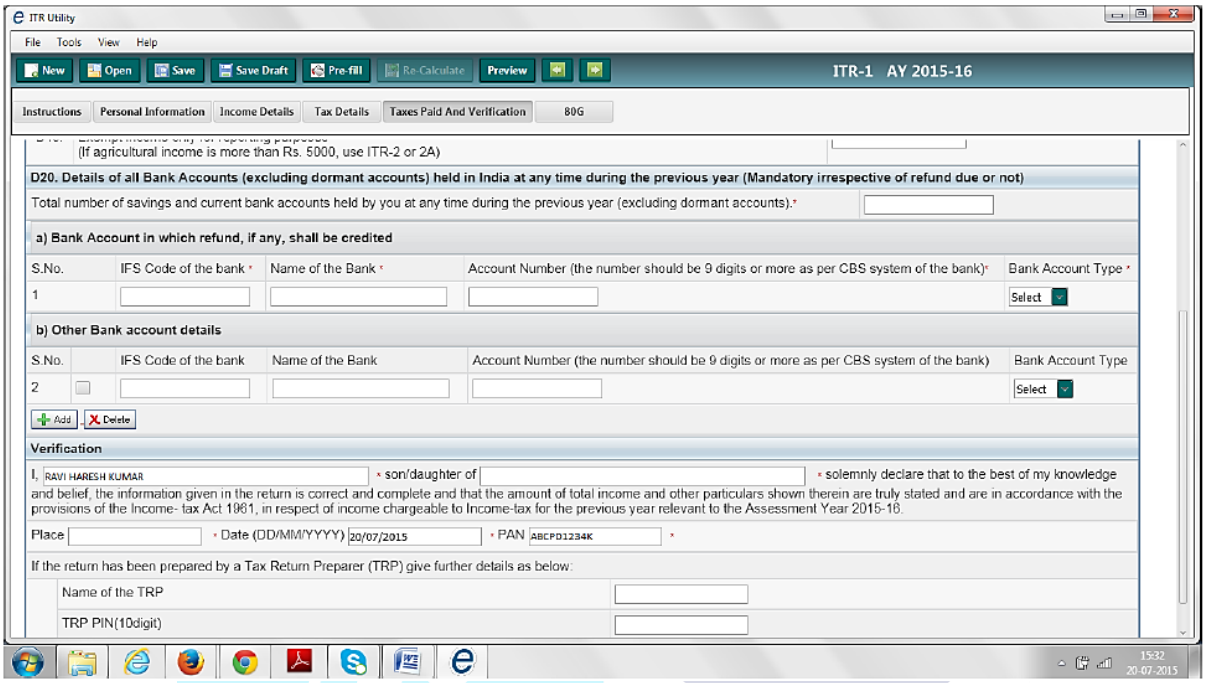
16 issued by your employer and Form 16A issued by other deductors (if applicable). Remember to fill in the correct details of TAN and name of the deductor.



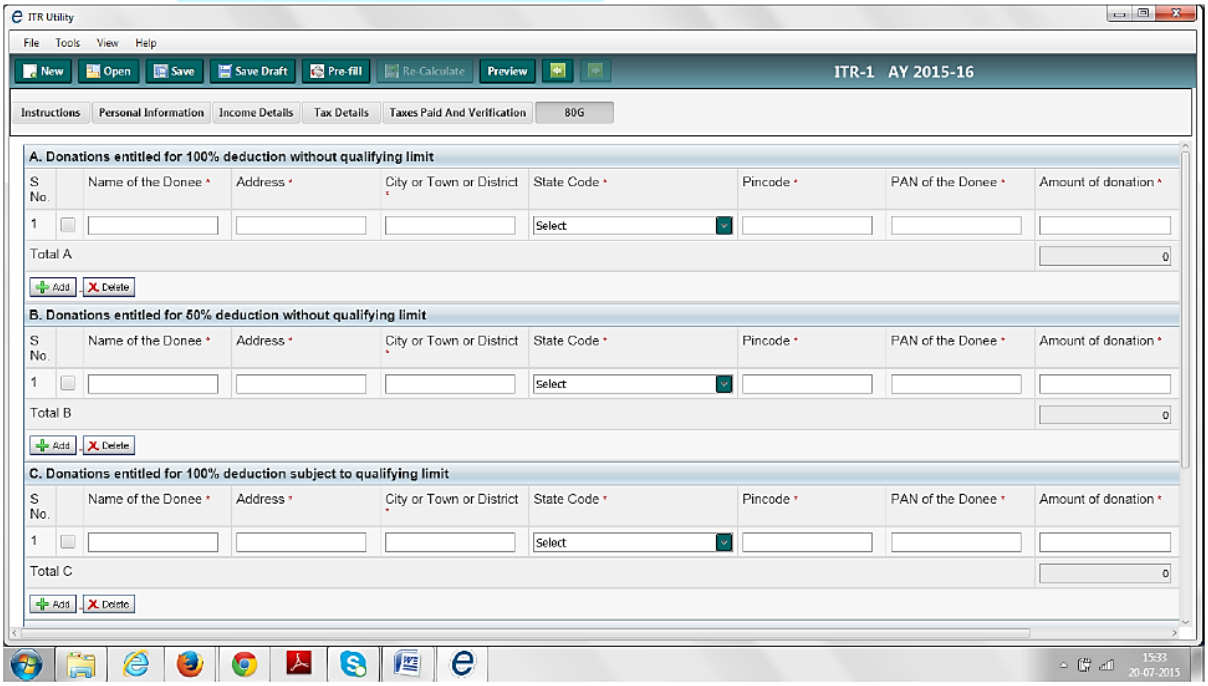
Step 7: The next tab 'Taxes Paid and Verification' is a summary of what has already been deducted and what should be paid as taxes. The Taxes Paid section in this tab is automatically updated based on the income details and the TDS details.



Step 8: Fill in the details of your bank account. Although this is primarily used to credit refund claims, it is mandatory for everyone to enter the bank details. This includes the IFSC code of the bank, name of the bank, account number and account type. This section also has the declaration, wherein the name, place, date and PAN number should be updated.



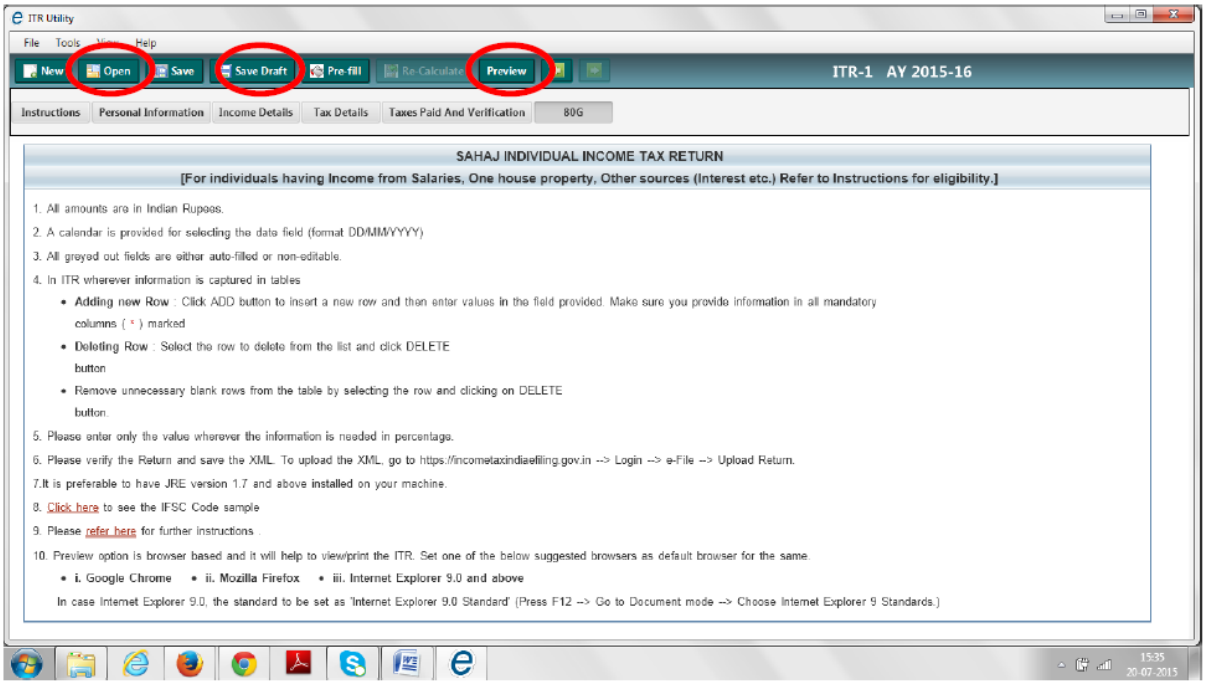
Step 9: The last tab '80G' has details about the donations made and the resultant deduction which one can claim. This is an optional section. Input details of the donations you have made in the previous year which are eligible for benefits.



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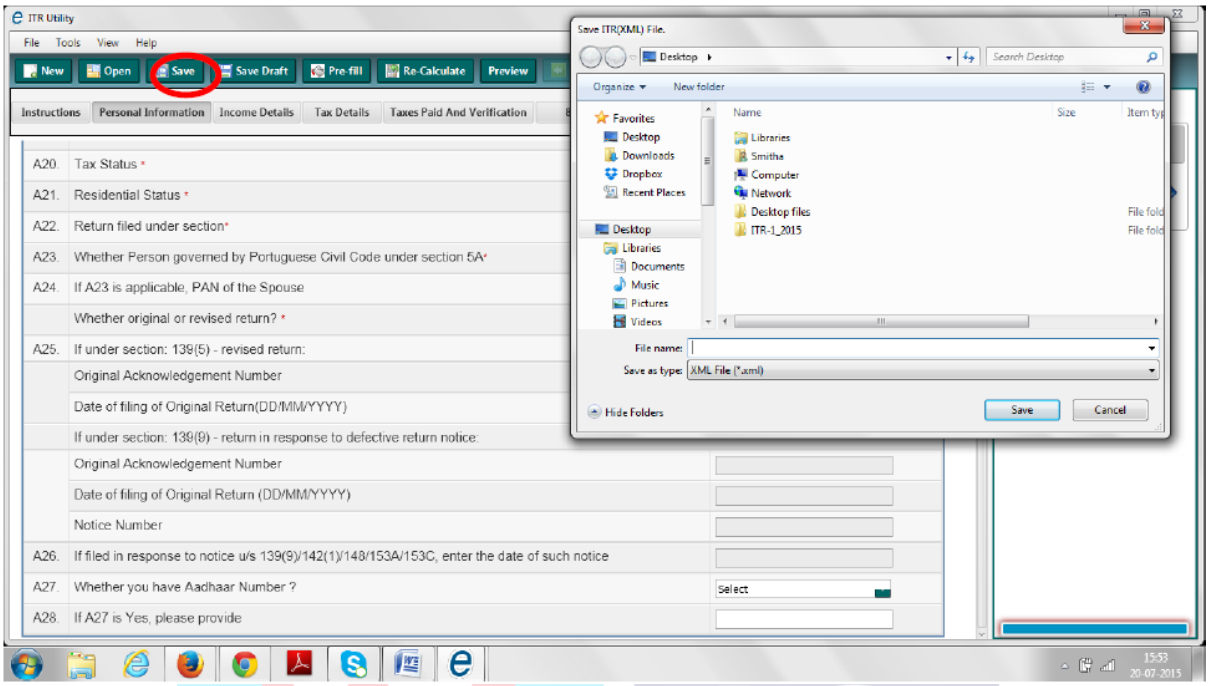
Step 10: When you are done filling all the details, you can click on 'Preview' to view the complete returns form.

If you wish to save your work and proceed later, you can click on 'Save Draft'. This means you can save the unfinished form and complete it at a later time. However, if you have saved the form as a draft and wish to work on it at a later time, remember that simply clicking on it will not open it for you. You will need to open the ITR Utility and click on 'Open' and select the file from the location where you had saved it in the first place.



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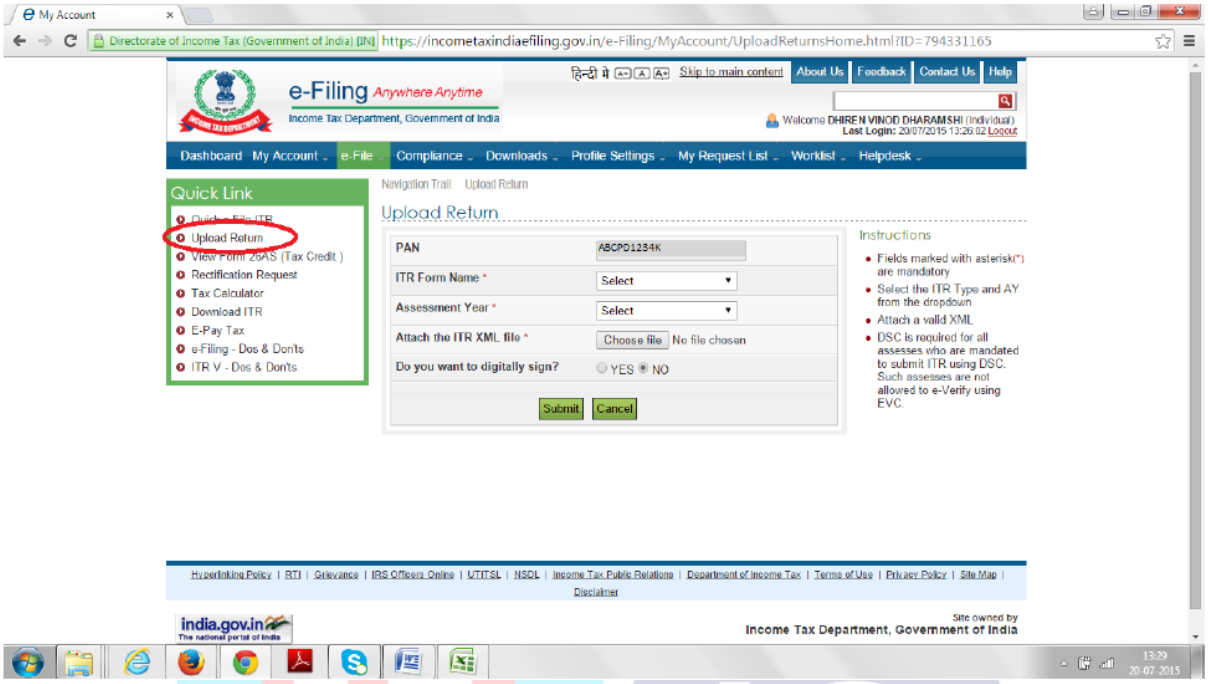
Step 11: You can then click on the 'Save' tab to generate the XML file. You will be asked the location where you wish to save the file.



Step 12: A file with the extension of .xml will be generated and saved on your computer. Note the location on your computer where this file is saved, as this needs to be uploaded on the E-Filing website.

Step 13: To upload the xml file, you will need to login to your account on the eFiling website and then click on 'Upload Return' at the left panel of your screen. You will be directed to the screen as shown below. Now enter the ITR form applicable to you and the Assessment Year for which you are filing returns. Click on 'Choose File' to upload the XML file which you had generated in Step 11. Select if you wish to digitally sign the return or not. If you have a Digital Signature, then you can select 'Yes'. Otherwise choose 'No' and submit the form.

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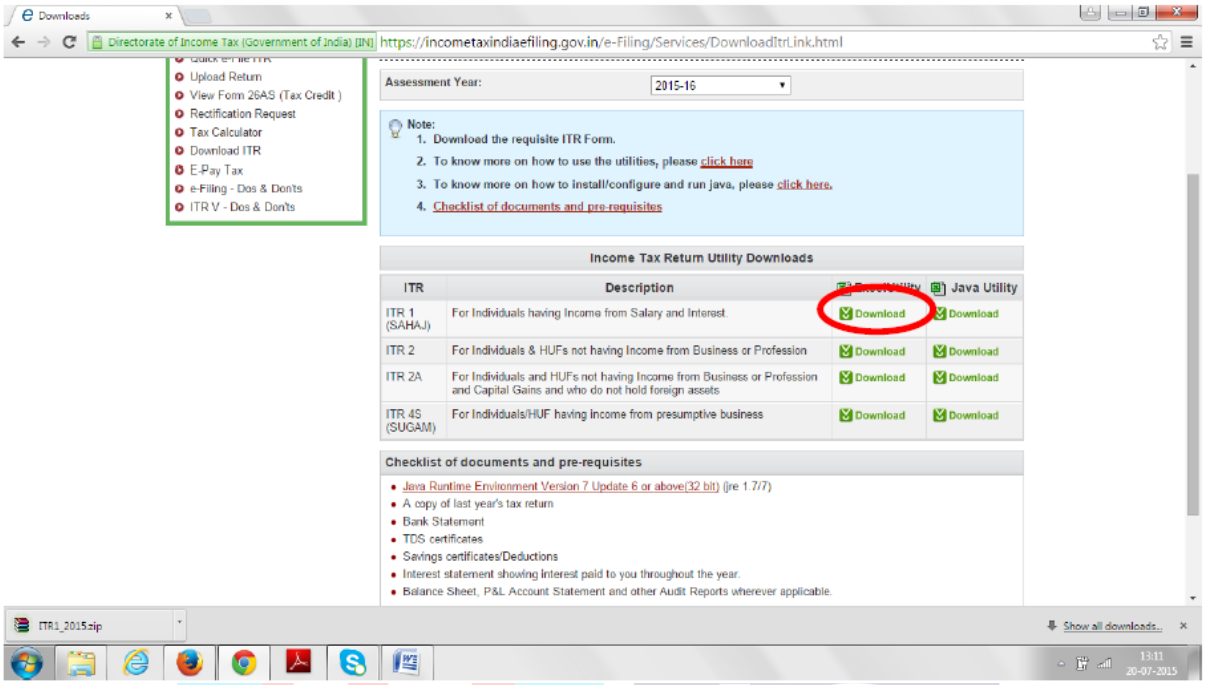
Step 14: On clicking Submit, you will get a message on the screen which indicates successful filing of your Income Tax returns. Simultaneously, you will receive an email notification as well on your registered email id.

Step 15: When you sign the form digitally, the process of filing returns stands completed. However, most people do not have a digital signature. In this case, you should take a printout of the return, sign it and send it by post to the address mentioned in the form within 120 days of filing the return.

EXCEL UTILITY

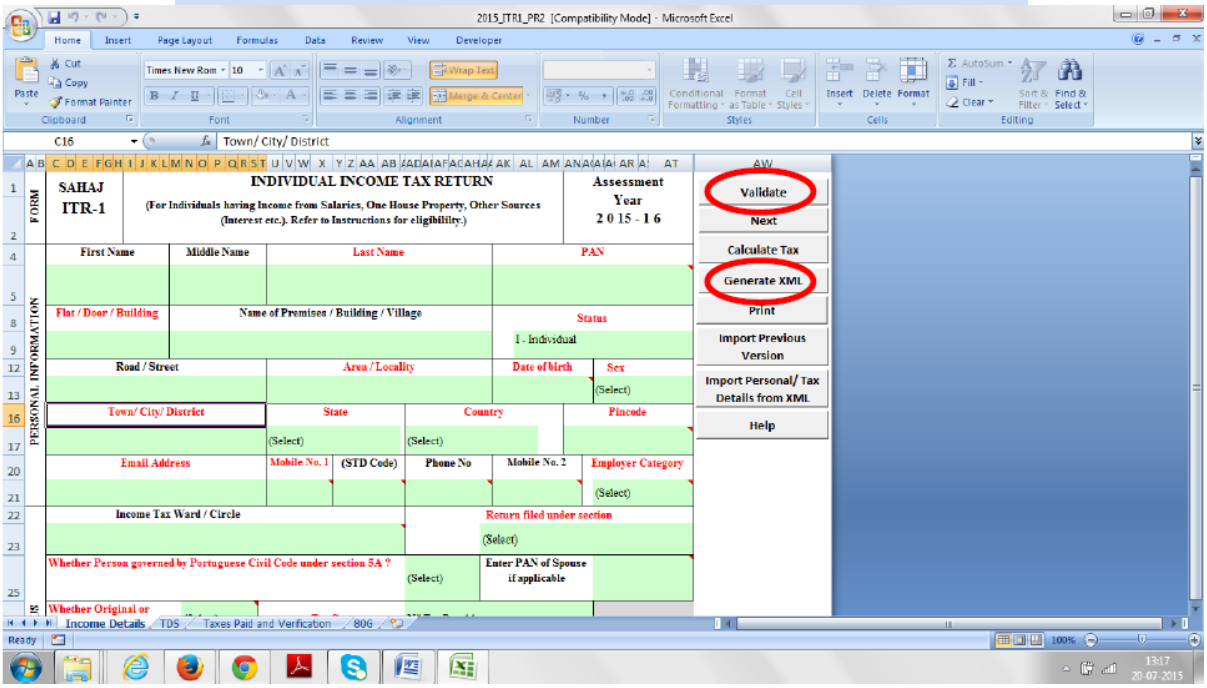
Step 1: Click on Download under the Excel Utility column. The Excel utility zip file will be downloaded on your computer.

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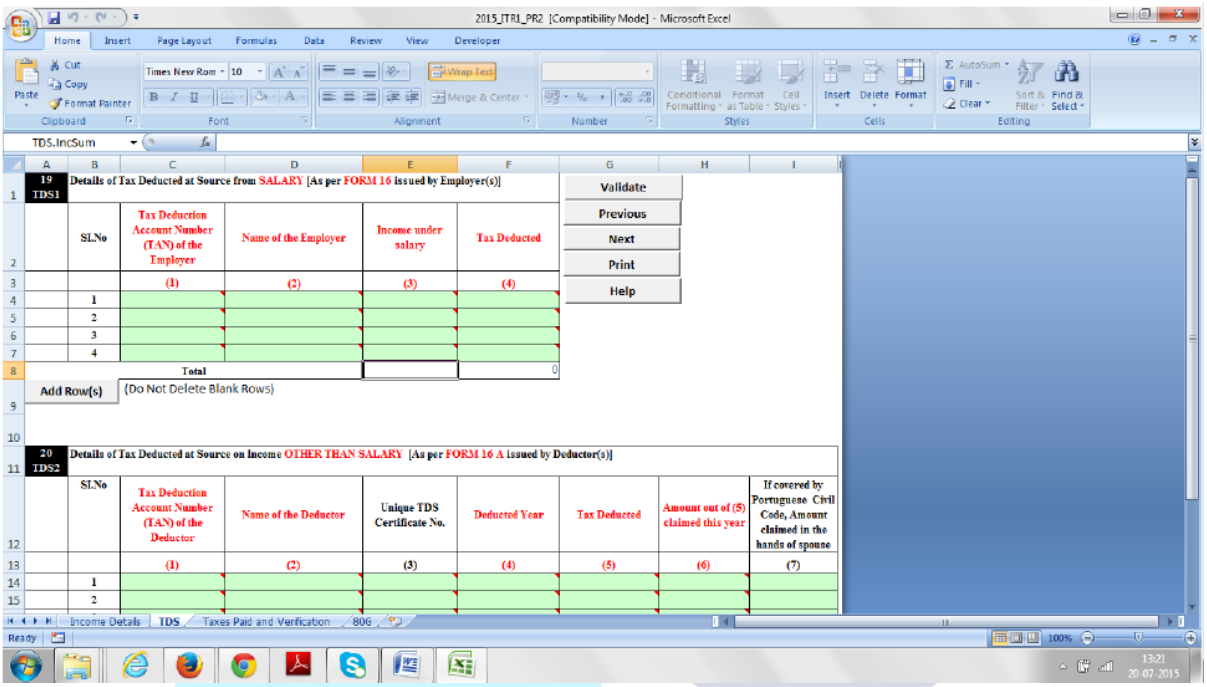
Step 2: Unzip the file and open the excel Return Preparation Software (hereafter referred to as file). The 'Macros' needs to be enable in your excel software for all the commands to work. Remember to do this before you begin to fill the form.

Step 3: The cells marked green in the file will need to be manually entered. This includes personal details, income details, the tax deducted at source and taxes you have paid. The Form 16 issued by your employer, TDS certificates and other statements which have your income details for the year can be used as the basis for filing the details.

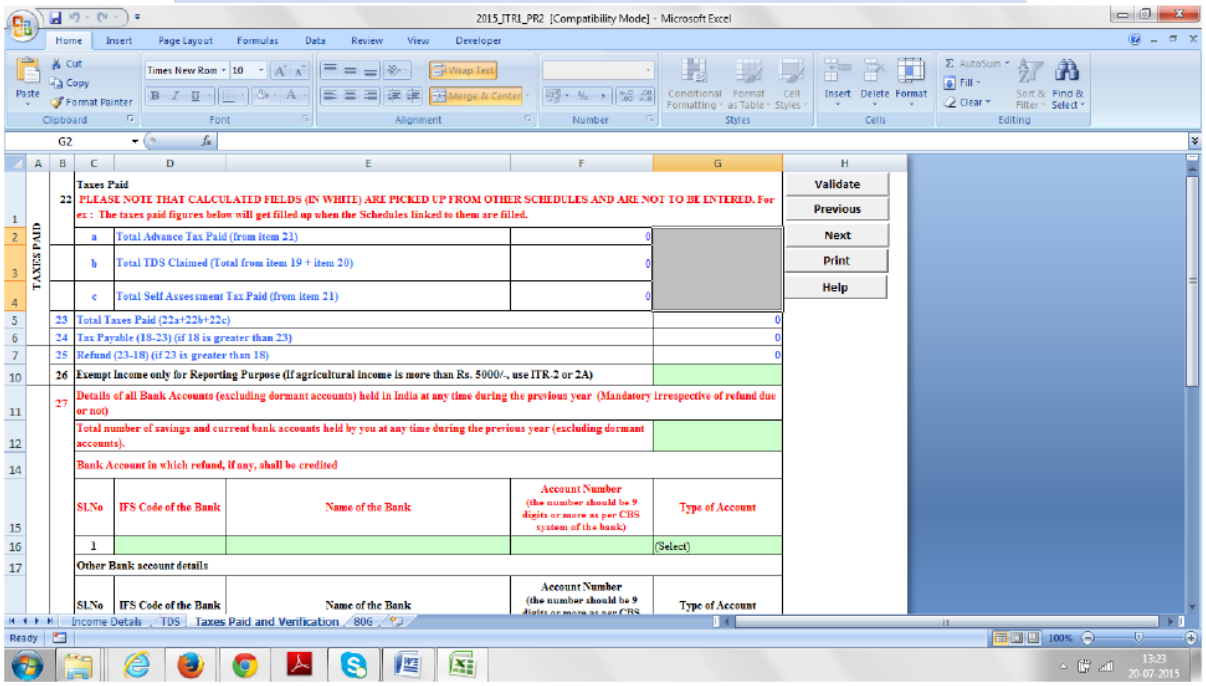


Step 4: After details are filled in, click on 'Validate' in the right panel. This will make sure all the fields are entered. This needs to be done for each sheet.

Step 5: Click on the next sheet and fill in the details of the Tax Deducted at Source by your employer and other third parties, if any.

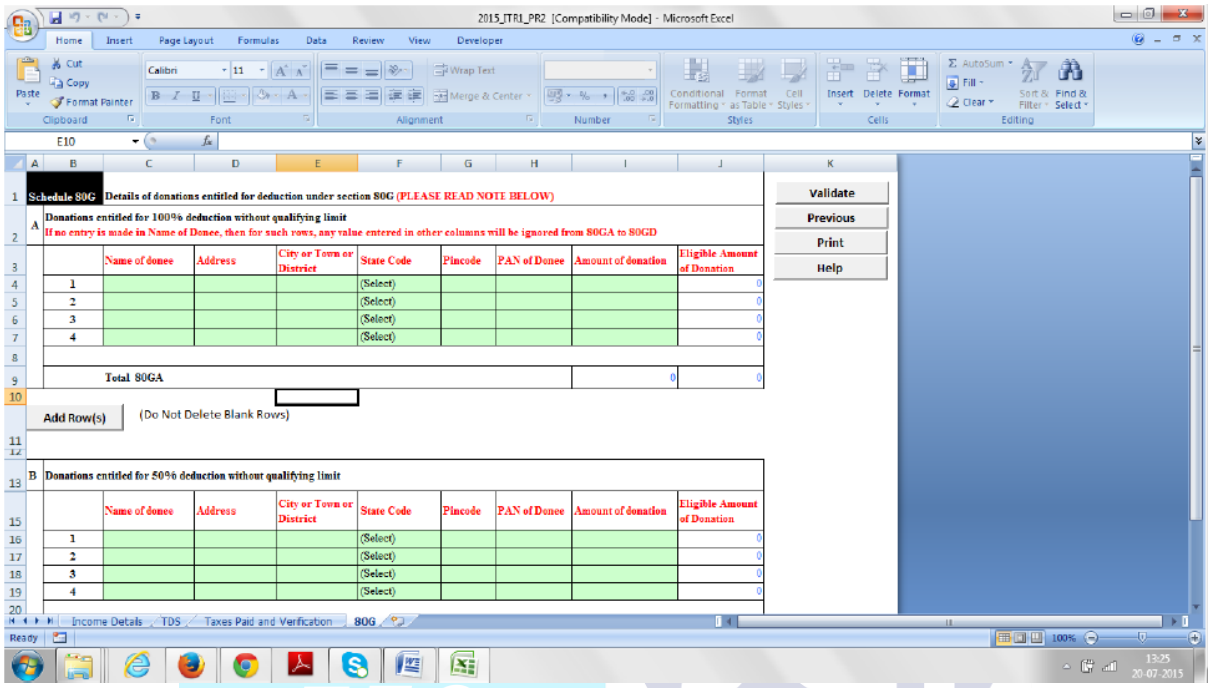


Step 6: The third sheet on 'Taxes Paid and Verification' should be filled with bank details (for refund, if any), and declaration. Remember to fill in other the green coloured cells as other cells are automatically filled.



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Step 7: The last sheet on '80G' pertains to any donations you have made under this section, which is eligible for deductions. There are different types of donations which are entitled to different deduction levels, and remember to fill in your details at the appropriate place.



Step 8: Once all the details are filled, return to the first sheet and click on 'Generate XML'. Remember that all mandatory fields should be filled in and the details need to be correct. Double check your entries before generating the XML file.

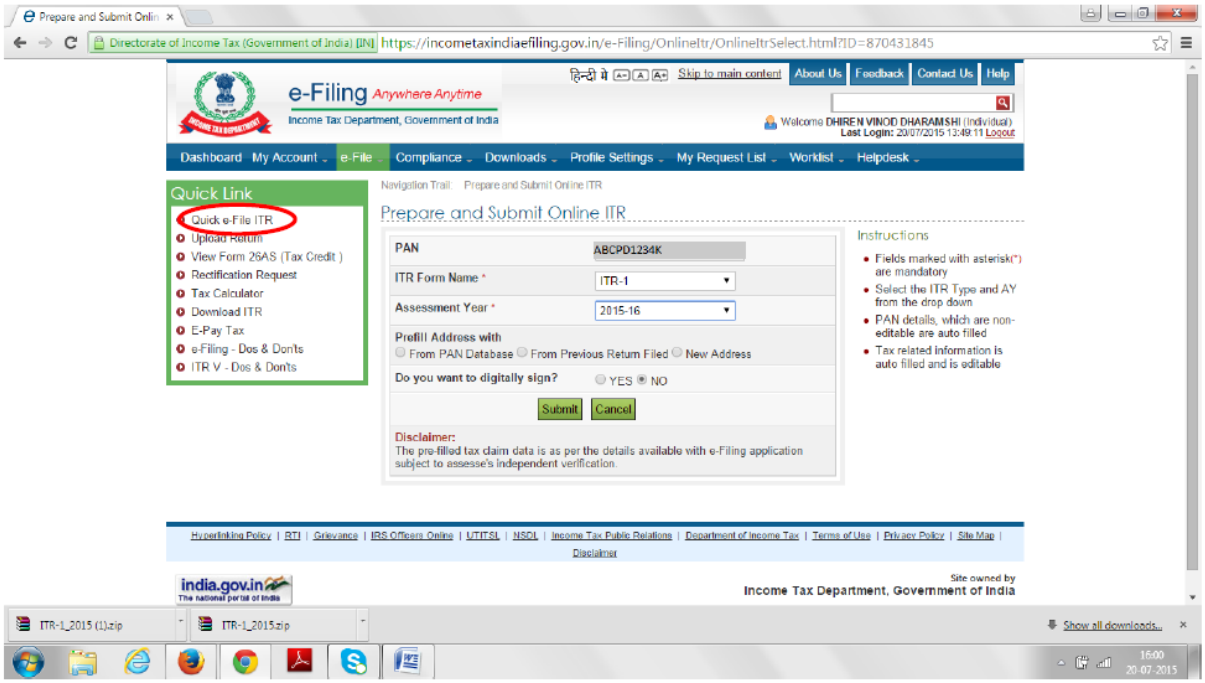
Thereafter, follow Steps 12-15 as given above when you file the return using the Java Utility.

Filing returns in the online mode:

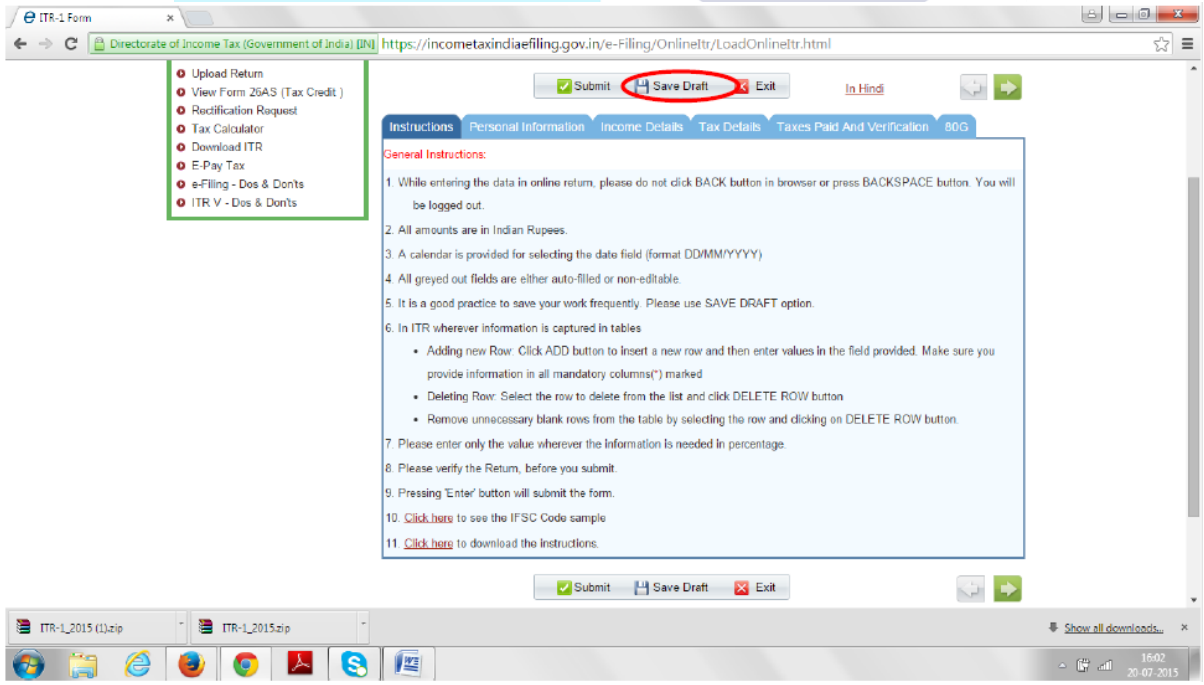
The ITR can be filed online as well, by filling in details online instead of generating an xml file offline as given above. However, this is possible only in the case of form ITR 1 and ITR 4S. This option also allows pre-filling of details as available under the Java Utility.

Step 1: Click on Quick e-File ITR from the left panel after you login to your account. Fill in your ITR Form name, assessment year and the option of how you want to pre-fill the return. Also choose the option of whether or not you want to digitally sign the return.

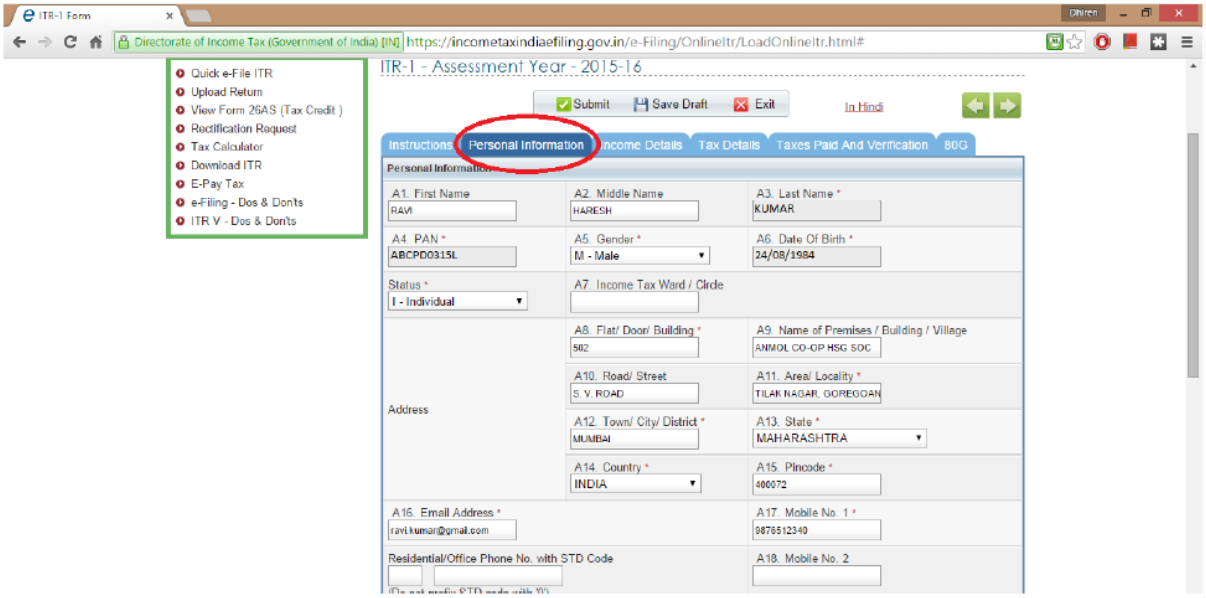
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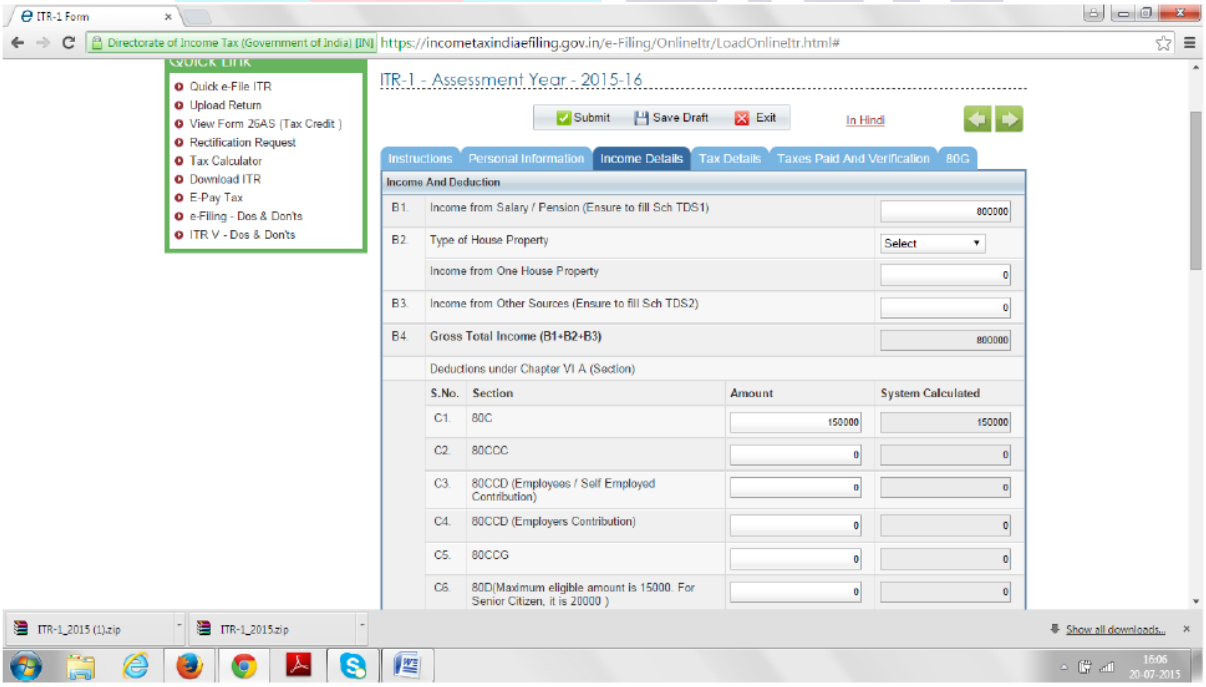
Step 2: This brings you to the next screen, which has the instructions to fill the form online. The tabs are the same as how they are under the Java Utility software. It is always recommended to periodically save your work by using the 'Save Draft' tab, as you will be working online and this is riskier.

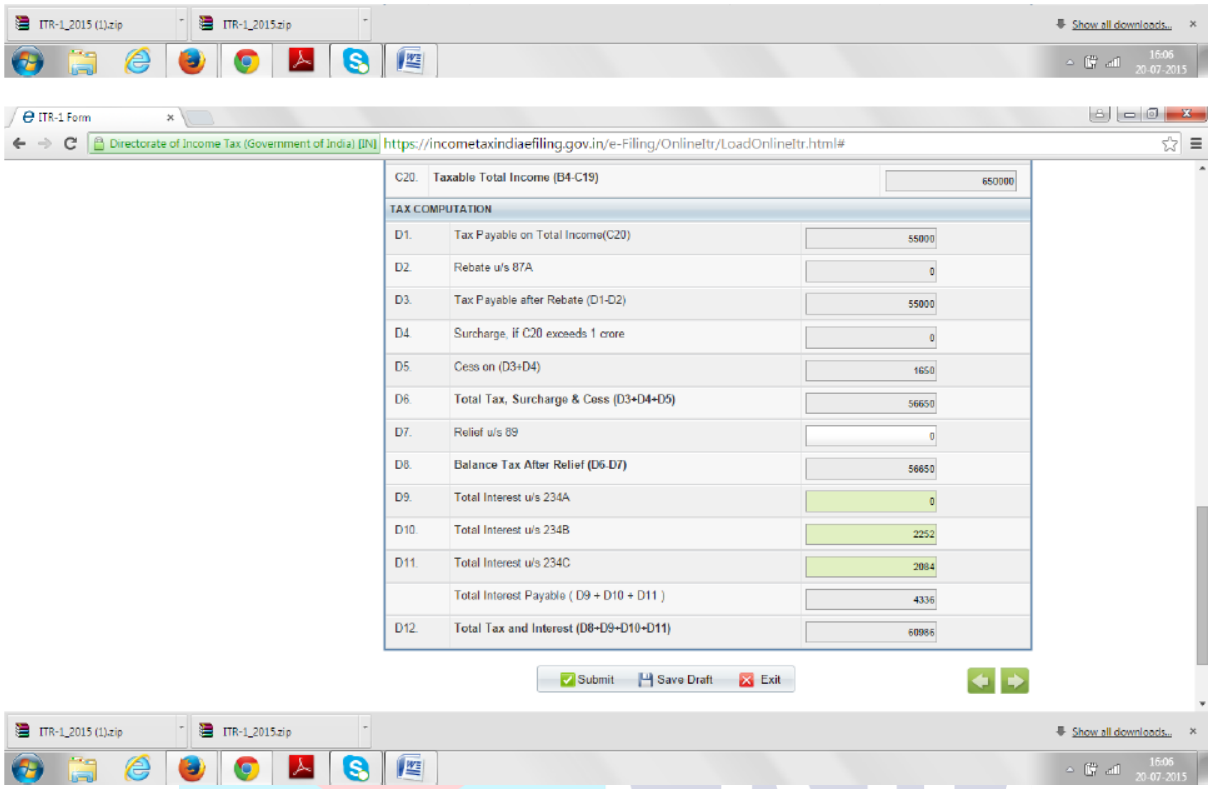


Step 3: Check the 'Personal Information' tab to verify the details which have been pre-filled. Again, the section pertaining to Filing Status may not be automatically updated, and you will need to update this.

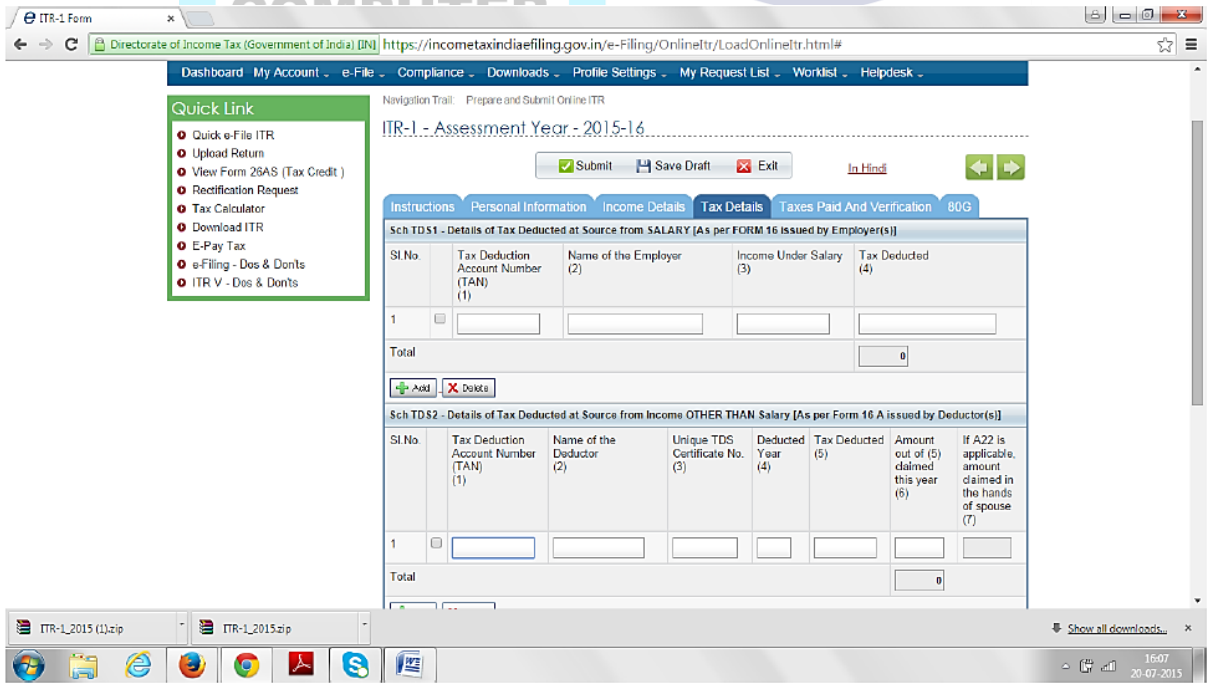


Step 4: Fill in the 'Income Details' tab with all your income particulars and deductions under the various sections. On entering the income details, the tax computation is automatically carried out and updated.

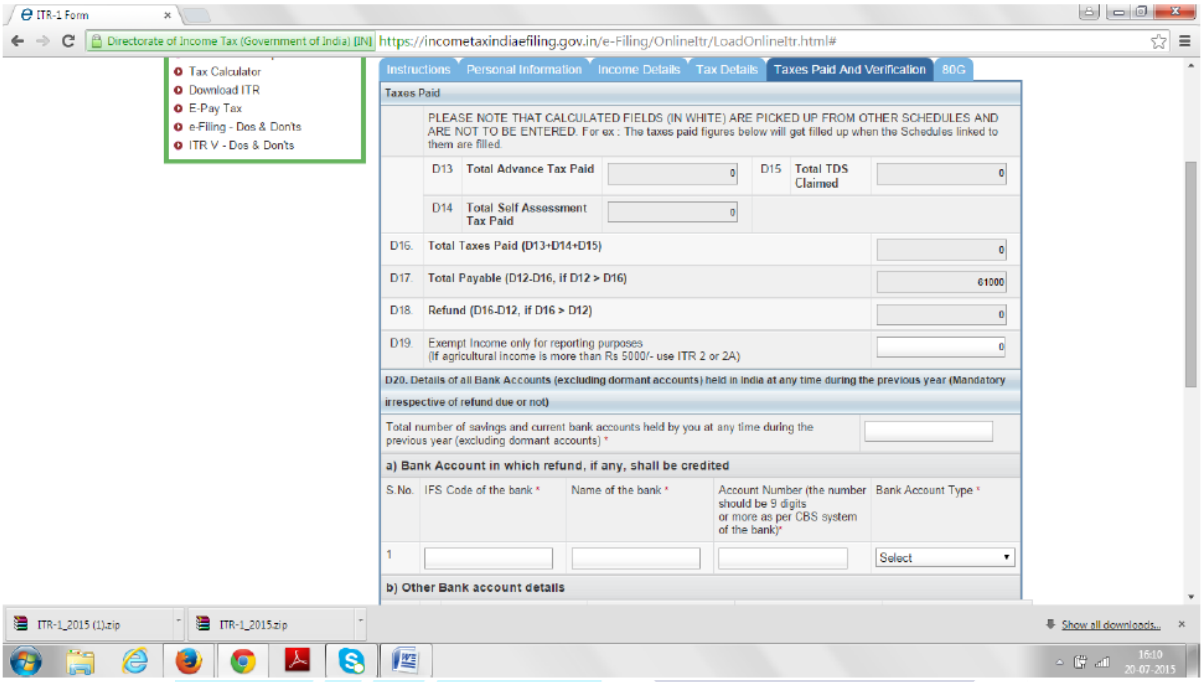




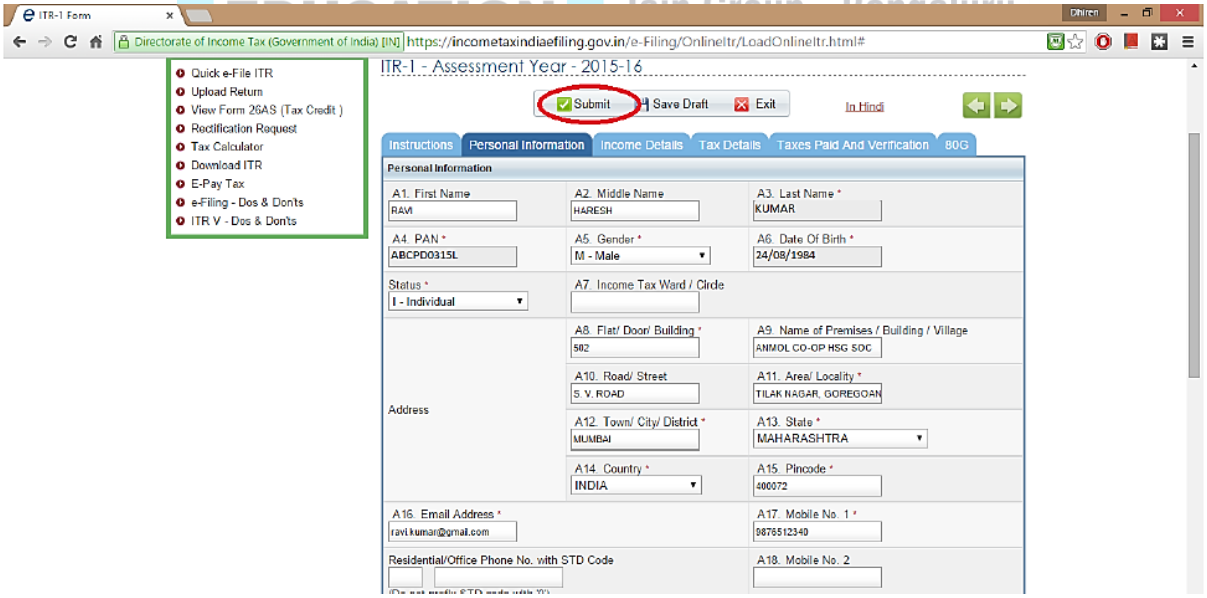
Step 5: The tab 'Tax Details' has details of the TDS details which needs to be updated manually if it is not pre-filled.



Step 6: 'Taxes Paid and Verification' tab gives a summary on the taxes which are payable, taxes which have already been paid and the excess to be paid or refundable, as the case may be. This tab also needs to be updated with bank details and the declaration.



Step 7: On completing all the details, check if you have entered everything and if all the information is correct. Then click on 'Submit' to submit the ITR online.



In all the three modes given above, the E-Filing process gets completed only when you digitally sign the form or send the form physically to the IT Department. Therefore, simply clicking the 'Submit' button is not sufficient. Again, you must ensure that your form reaches the IT

Department before 120 days of filing the return. The IT Department sends you an acknowledgement for receipt. If you do not receive this, then you should send the form again.

E-Filing is not as complicated as it looks. With more assessees coming under the E-Filing umbrella every year, it is expected that this process will be simplified further.

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CHAPTER – 13 TAX DEDUCTED AT SOURCE

What is TDS?

TDS or Tax Deducted at Source is income tax reduced from the money paid at the time of making specified payments such as rent, commission, professional fees, salary, interest etc. by the persons making such payments.

Usually, the person receiving income is liable to pay income tax. But the government with the help of Tax Deducted at Source provisions makes sure that income tax is deducted in advance from the payments being made by you.

The recipient of income receives the net amount (after reducing TDS). The recipient will add the gross amount to his income and the amount of TDS is adjusted against his final tax liability. The recipient takes credit of the amount already deducted and paid on his behalf.

When should TDS be deducted and by whom?

Any person making specified payments mentioned under the Income Tax Act are required to deduct TDS at the time of making such specified payment. But no TDS has to deducted if the person making the payment is an individual or HUF whose books are not required to be audited.

However, in case of rent payments made by individuals and HUF exceeding Rs 50,000 per month, are required to deduct TDS @ 5% even if the individual or HUF is not liable for a tax audit. Also, such Individuals and HUF liable to deduct TDS @ 5% need not apply for TAN.

Your employer deducts TDS at the income tax slab rates applicable. Banks deduct TDS @10%. Or they may deduct @ 20% if they do not have your PAN information. For most payments rates of TDS are set in the income tax act and TDS is deducted by payer basis these specified rates.

If you submit investment proofs (for claiming deductions) to your employer and your total taxable income is below the taxable limit – you do not have to pay any tax. And therefore no TDS should be deducted on your income. Similarly, you can submit Form 15G and Form 15H to the bank if your total income is below taxable limit so that they don't deduct TDS on your interest income.

In case you have not been able to submit proofs to your employer or if your employer or bank has already deducted TDS and your total income is below the taxable limit) – you can file a return and claim a refund of this TDS.

The complete list of Specified Payments eligible for TDS deduction along with the rate of TDS.

What is the due date for depositing the TDS to the government?

The Tax Deducted at Source must be deposited to the government by 7th of the subsequent month.

For instance:

TDS deducted in the month of June must be paid to the government by 7th July. However, the TDS deducted in the month of March can be deposited till 30th April.

For TDS deducted on rent and purchase of property, the due date is 30 days from the end of the month in which TDS is deducted.

How to deposit TDS?

Tax Deducted at Source has to be deposited using Challan ITNS-281 on the government portal.

How and When to file TDS returns?

Filing Tax Deducted at Source returns is mandatory for all the persons who have deducted TDS. TDS return is to be submitted quarterly and various details need to be furnished like TAN, amount of TDS deducted, type of payment, PAN of deductee, etc. Also, different forms are prescribed for filing returns depending upon the purpose of the deduction of TDS. Various types of return forms are as follows:

Form No	Transactions reported in the return	Due date
Form 24Q	TDS on Salary	Q1 – 31st July Q2 – 31st October Q3 – 31st January Q4 – 31st May
Form 26Q	TDS on all payments except salaries	Q1 – 31st July Q2 – 31st October Q3 – 31st January Q4 – 31st May
Form 27Q	TDS on all payments made to non-residents except salaries	Q1 – 31st July Q2 – 31st October Q3 – 31st January Q4 – 31st May
Form 26QB	TDS on sale of property	30 days from the end of the month in which TDS is deducted
Form 26QC	TDS on rent	30 days from the end of the month in which TDS is deducted

What is a TDS certificate?

Form 16, Form 16A, Form 16 B and Form 16 C are all TDS certificates. TDS certificates have to be issued by a person deducting TDS to the assessee from whose income TDS was deducted while making payment.

For instance, banks issue Form 16A to the depositor when TDS is deducted on interest from fixed deposits. Form 16 is issued by the employer to the employee.

Form	Certificate of	Frequency	Due date
Form 16	TDS on salary payment	Yearly	31st May
Form 16 A	TDS on non-salary payments	Quarterly	15 days from due date of filing return
Form 16 B	TDS on sale of property	Every transaction	15 days from due date of filing return
Form 16 C	TDS on rent	Every transaction	15 days from due date of filing return

TDS credits in Form 26AS

It is important to understand how TDS is linked to your PAN. TDS deductions are linked to PAN numbers for both the deductor and deductee. If TDS has been deducted from any of your income you must go through the Tax Credit Form 26AS. This form is a consolidated tax statement which is available to all PAN holders. Since all TDS is linked to your PAN, this form lists out the details of TDS deducted on your income by each deductor for all kinds of payments made to you – whether those are salaries or interest income – all TDS linked to your PAN is reported here. This form also has income tax directly paid by you – as advance tax or self assessment tax. Therefore, it becomes important for you to mention your PAN correctly, wherever TDS may be applicable on your income.

TDS Rates for AY 2021-22 are given below:

Sl. No.	Nature of Payment	Sec	Basic Cut-off (Rs.) p.a.	TDS rate for Residents		
				Individual and HUF	Other than Individual / HUF	If valid PAN / Aadhaar are not given
1	Payment of Salaries by Employers	192	Slab rates for AY 2021-22	Slab rate	Not applicable	Not applicable
2	Premature payment by PF Organization from EPF A/c (i.e. before 5 Years).	192A	50,000.00	10%	Not applicable	Not applicable

3	Payment of Interest on Securities by company.	193	10,000.00	10%	10%	10%
4	Payment of Dividend (w.e.f. 01.04.2020)	194	2,500.00	10%	10%	10%
5	Payment of Interest by bank	194A	40000 (Non Sr. Citizen) 50000 (Sr. Citizen)	10%	10%	10%
6	Payment of Interest by others	194A	5,000.00	10%	10%	10%
7	Payment of prize from Wining from Lotteries by any person.	194B	10,000.00	30%	30%	30%
8	Payment of prize from Wining from Horse Race by any person.	194B	10,000.00	30%	30%	30%
9	Payment to Contractors by any person.	194C	30,000.00 (Single bill) or 1,00,000.00 aggregate bills during the year.	1%	2%	2%
10	Payment to Transporter Covered u/s. 44E and submit declaration in prescribed format. (i.e. owning less than 10 goods carriages)	194C		–	–	–
11	Payment to Transporter not covered u/s. 44E (i.e. owning more than 10 goods carriages)	194C	30,000.00 (Single bill) or 75,000.00 aggregate bills during the year.	1%	2%	2%
12	Payment of Insurance Commission to agents by Insurance Company.	194 D	15,000.00	5%	10%	10%
13	Payment in respect of maturity of Life Insurance Policy by Life Insurance Company.	194 DA	1,00,000.00	1%	1%	1%

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14	Payment to NRI sportsman or association by any person or organization	194E	–	20%	20%	20%
15	Payment out of deposit under National Saving Scheme (NSS)	194EE	2,500.00	10%	10%	10%
16	Payment with respect to repurchase of units by Mutual Fund Companies.	194F	–	20%	20%	20%
17	Payment of Lottery Commission	194G	15,000.00	5%	5%	5%
18	Payment of commission or Brokerage	194H	15,000.00	5%	5%	5%
19	Payment of rent on land, building, furniture and fittings.	194I	240,000.00	10%	10%	10%
20	Payment of rent on plant, machinery or equipments.	194I	240,000.00	2%	2%	2%
21	Payment made on account of transfer of immovable property other than agriculture land.	194IA	50,00,000.00	1%	1%	1%
22	Rent payable by individual not covered u/s. 194I for land, building, furniture and fittings	194IB	50,000.00 Per Month	5%	5%	5%
23	Payment of Professional Fees other than call centers and Technical Fees	194J	30,000.00	10%	10%	10%
24	Payment of Technical Fees (w.e.f. 01.04.2020)	194J	30,000.00	2%	2%	2%
25	Payment of Professional Fees to call centers.	194J	30,000.00	2%	2%	2%
26	Compensation on transfer of certain immoveable property than Agriculture Land	194LA	250,000.00	10%	10%	10%

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27	Payment of any income in respect of: a) Units of a Mutual Fund as per Section 10(23D) b) The Units from the administrator c) Units from specified company (w.e.f. 01.04.2020)	194K	–		10%	10%
28	Cash withdrawal in excess of Rs. 1 crore during the previous year from one or more account maintained by a person with a banking company, co-operative society engaged in business of banking or a post office	194 N		2%	2%	2%
29	Payment of commission (not being insurance commission), brokerage, contractual fee, professional fee to a resident person by an Individual or a HUF who are not liable to deduct TDS under section 194C, 194H, or 194J.	194 M		5%	5%	5%
30	E-Commerce operator for sale of goods or provision of service facilitated by it through its digital or electronic facility or platform.	194 O	500,000.00	1%	1%	1%

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Sec 196 : No TDS if payments to Specified Payee

No deduction of tax shall be made by any person from any sums payable to

- ✓ **Government**
- ✓ **Reserve Bank of India**
- ✓ **Corporation** established under **Central Act** which is exempt from income-tax on its income
- ✓ **Mutual Fund** specified u/s 10(23D)

Sec 197 : Certificate for No deduction or deduction at lower rates

- ✓ Assessee can make an application to AO
- ✓ For deduction of tax at lower rates/No deduction (Except for Sec 194B , 194BB , 194E)
- ✓ AO is satisfied that assessee application is justified
- ✓ Grant the assessee a certificate for deduction of tax at lower rates/No deduction

Special Point:

3. Upon furnishing of such certificate ,person responsible for deducting tax shall deduct tax at lower rates or deduct no tax, as the case may be.
2. Certificate will be valid until it is cancelled by AO

Sec 197A : Self Declaration for No deduction of Tax

- ✓ Individual, who is resident in India
- ✓ having income liable for deduction u/s 193, 194 or 194A or 194I
- ✓ furnishes declaration in writing
- ✓ In duplicate in prescribed form to the payer
- ✓ no deduction of tax shall be made by Payer

Special point : This declaration shall be made only if

a) Tax on his estimated Total income of the previous year is NIL &

b) Aggregate such incomes during previous year does not exceed Exemption limit

Sec 198 : Tax deducted is Income Received

- ✓ All sums deducted under TDS provisions shall
- ✓ for the purpose of computing the income of an assessee
- ✓ be deemed to be income received

Special point :

This section is not applicable if payment u/s 192(1A) is applicable (i.eTax on non monetary perquisite paid by employer is not deemed as income of employee)

Sec 199 : Credit for Tax Deducted

- ✓ Any TDS deducted & paid to Central Government by payer

- ✓ Shall be treated as payment of tax on behalf of payee &
- ✓ Payee shall get the Credit of Tax deducted

Sec 201 : Consequences of Failure to Deduct / Pay TDS

- ✓ Where any person
- ✓ who is required to deduct TDS
- ✓ does not deduct, or after deducting fails to pay
- ✓ the whole or any part of the tax
- ✓ then, such person be deemed to be an Assessee in default and liable to Penalty u/s 221 upto the amount of Tax in Arrears and
- ✓ Liable to pay Interest @ 1% pm or part
- ✓ for period from Due date of deduction TO Date of actual Deduction AND
- ✓ Interest @ 1.5% Pm or part
- ✓ for the period from Date of actual deduction TO Date of actual deposit
- ✓ and such interest shall be paid before furnishing the statement u/s 200

Sec 203 : Certificate for Tax Deducted

- ✓ Every person deducting TDS
- ✓ Shall, within Prescribed period & Prescribed form
- ✓ furnish to Payee
- ✓ a Certificate of deduction
  - Specifying the amount so deducted
  - Rate of TDS and
  - Other prescribed particulars

Sec 203A : Tax deduction Account Number (TAN)

- ✓ Every person, liable to deduct tax
- ✓ Shall apply to the Assessing Officer
- ✓ for the allotment of TAN in prescribed form
- ✓ TAN shall be quoted in all
- ✓ Challans for the Deposit of TDS
- ✓ Certificates furnished under section 203
- ✓ Statements u/s section 200
- ✓ other documents

Sec 203AA : Furnishing of Statement of tax deducted

- ✓ The Income-tax authority shall
- ✓ within prescribed time after the end of each financial year

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- ✓ prepare and deliver to every person
- ✓ on whose income Tax Deducted or Paid
- ✓ a statement in the prescribed form
- ✓ specifying the amount of tax deducted or paid

Sec 205 : Bar against direct demand on Assessee

- ✓ Where tax is deductible
- ✓ assessee shall not be called upon to pay the tax himself
- ✓ to the extent to which tax has been deducted from that income

Sec 206AA : Requirement to furnish Permanent Account Number

- ✓ Any person entitled to receive any amount on which tax is deductible (Deductee)
- ✓ shall furnish his Permanent Account Number (PAN)
- ✓ to the person responsible for deducting such tax (Deductor)

If Deductee does not disclose his PAN, TDS will be deducted at Higher of the following rate

- Applicable TDS rate or 20%

Sec 206CC : Requirement to furnish Permanent Account Number

- ✓ Any person paying any amount on which tax is collectible (Collectee)
- ✓ shall furnish his Permanent Account Number (PAN)
- ✓ to the person responsible for collecting such tax (Collector)

If Deductee does not disclose his PAN, TDS will be deducted at Higher of the following rate

- Twice the Applicable TDS rate or 5%

E-payment Taxes :

Challan no.280 : Income tax payment

Challan no.281 : TDS payment

